## Middle East and North Africa

# Macro Poverty Outlook

Country-by-country Analysis and Projections for the Developing World

Annual Meetings 2024

WORLD BANK GROUP
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Poverty & Equity

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# Middle East and North Africa

Annual Meetings 2024

Algeria
Bahrain
Djibouti
Egypt, Arab Republic
Iran, Islamic Republic
Iraq, Republic
Jordan
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Lebanon
Libya
Morocco
Oman
Palestinian Territories
Qatar
Saudi Arabia
Syrian Arab Republic
Tunisia
United Arab Emirates
Yemen, Republic

# ALGERIA

| Table 1 | 2023 |
|---|---|
| Population, million | 45.6 |
| GDP, current US$ billion | 239.9 |
| GDP per capita, current US$ | 5260.2 |
| National poverty rate[a] | 5.5 |
| International poverty rate ($2.15)[a] | 0.5 |
| Lower middle-income poverty rate ($3.65)[a] | 4.0 |
| Gini index[a] | 27.6 |
| School enrollment, primary (% gross)[b] | 108.8 |
| Life expectancy at birth, years[b] | 77.1 |
| Total GHG emissions (mtCO2e) | 286.5 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2011).
b/ WDI for School enrollment (2023); Life expectancy (2022).

*Algeria's growth remained dynamic, and inflation decelerated in early 2024, amid OPEC quota reductions but resilient agricultural output, higher public spending, and strong investment. Declining oil and gas exports and revenues and higher public spending on wages, pension, and subsidies are expected to increase pressures on the fiscal and external balances. Continued modernization of the public sector, improvements to the business environment, and digitalization are critical to diversify the economy and promote more private sector investment and jobs.*

## *Key conditions and challenges*

Algeria's economy is driven by the oil and gas sector and public sector spending. Oil and natural gas accounted for 14 percent of GDP, 86 percent of exports, and 47 percent of budget revenues between 2019 and 2023.

Following the pandemic-induced recession in 2020, Algeria's economy recovered rapidly, and economic output surpassed its pre-pandemic level by 2022 helped by surging hydrocarbon prices and higher European demand for Algerian gas. The current account deficit turned into a surplus and the fiscal deficit narrowed in 2022, but they both started to deteriorate in 2023 amid declining global oil and gas prices, OPEC quota cuts, larger imports, and higher public spending.

Significant improvements in living standards, education, and health took place prior to the pandemic and inequality is relatively low, but estimated poverty remains high for Algeria's level of development. The government responded to high inflation in 2021-2023 and to persistent unemployment challenges by increasing public sector wages and pensions, introducing unemployment benefits, as well as expanding food subsidies.

Since the pandemic, the government has also adopted policies to boost export diversification, private investment, digitalization, and financial sector development. Over the past two years, the Algerian authorities notably enacted an Investment Law (2022), a Banking and Monetary Law (2023), and a law to ease access to land for investors (2023). Deepening these reforms is critical to renew Algeria's growth and jobs strategy towards a more private sector-led economic diversification model.

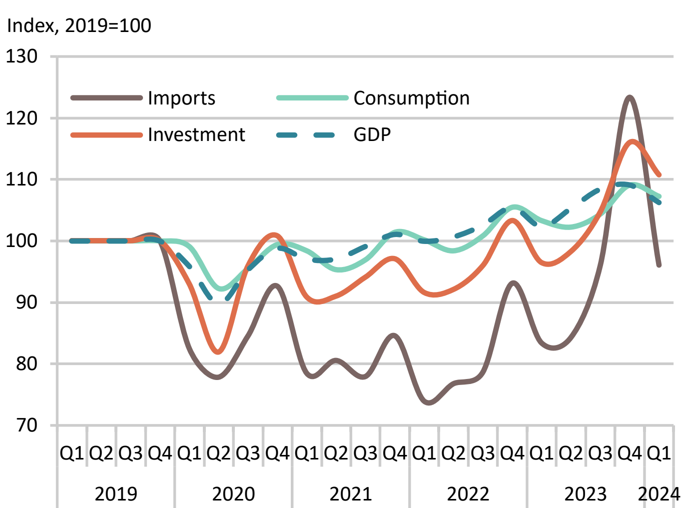
## *Recent developments*

Economic activity remained robust in Q1-2024 (+3.8 percent y-o-y), as broad-based growth in the non-extractive sectors compensated for OPEC-mandated crude oil production cuts. Strong private consumption growth (+4.2 percent y-o-y) pulled the services sector (+ 4.3 percent y-o-y). Industrial growth was more moderate because the demand from stronger investment (+14.8 percent y-o-y) was largely met through imports.

Satellite data suggest that non-hydrocarbon growth remained robust in Q2-2024 and that agricultural output growth was stable as more rainfall in the Eastern regions compensated for a drier season in the West.

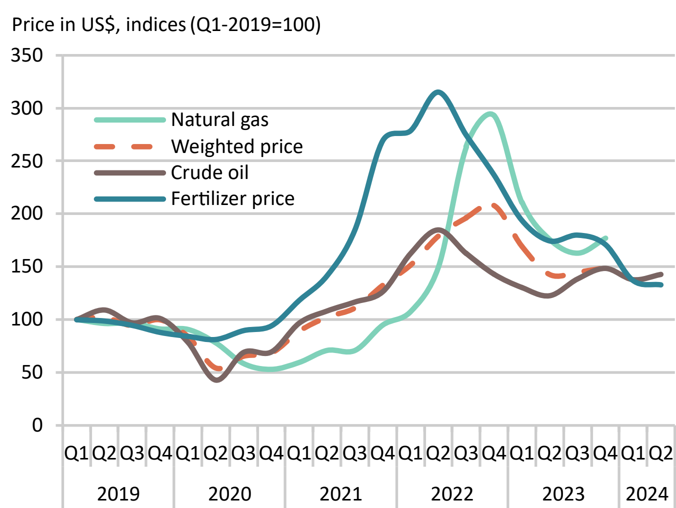
The trade surplus decreased from US$6.3 billion in H1-2023 (2.8 percent of 2023 GDP) to US$3.4 billion in H1-2024 (1.5 percent of 2023 GDP), as hydrocarbon prices and exports moderated, and imports continued to rebound. The higher imports were driven by machinery, equipment, and vehicles as investment grew and some car import restrictions were temporarily removed. The estimated current account

**FIGURE 1 Algeria** / Real GDP and selected components, indices (2019=100)




Sources: Algerian authorities and World Bank staff estimates.

**FIGURE 2 Algeria** / Hydrocarbon and fertilizer export prices




Sources: Algerian authorities and World Bank staff estimates.

was nearly balanced in H1-2024 down from a surplus of US$2.4 billion a year earlier. Official reserves as of end-2023 stood at 16 months of imports.

After reaching 5.2 percent of GDP in 2023, the budget deficit is expected to widen in 2024, driven by lower hydrocarbon revenues, higher public investment, and the third and last wave of public sector wage increases. Public debt remains relatively low and is almost completely domestically owned with long-term maturities and low interest rates.

Inflation decelerated to 4.1 percent over H1-2024, down from 9.3 percent in 2022 and 2023, driven by stabilizing fresh food prices, moderating import prices, and a stable exchange rate. As in many comparable countries, lower inflation—particularly in food prices—has likely improved household purchasing power, especially for the most vulnerable. Money supply growth decelerated through 2023 and H1-2024 while credit growth remained moderate. The Central Bank has kept its key interest rate unchanged at 3 percent since May 2020 and increased the reserve requirements slightly in April 2023.

# Outlook

GDP growth is expected to moderate in 2024 driven by lower oil production in line with Algeria's OPEC quota and despite higher public spending. It would accelerate in 2025 as agricultural output fully recovers, non-hydrocarbon dynamism continues, and oil production rebounds.

The current account balance is expected to post a modest deficit in 2024 and widen in 2025-2026 due to moderating oil prices, and higher imports driven by investment.

After widening in 2024 due to lower hydrocarbon receipts, higher investment, and current spending, the budget deficit would stabilize in 2025 and narrow somewhat in 2026, in line with the consolidation plan in the medium-term budget framework. The public debt-to-GDP ratio would stabilize in 2024 as the government uses hydrocarbon savings to finance the deficit but then increase to 59 percent of GDP by 2026 as they are exhausted.

Hydrocarbon price and market fluctuations represent the most important risk for Algeria's macroeconomic prospects. Recent drought episodes and forest fires also underscore Algeria's vulnerability to climate change. Accelerating structural reforms to improve the business environment and diversify the economy are critical to spur more private sector-led growth and job creation. Though hard to quantify without data, such policies would likely reduce poverty and vulnerability, both estimated to be relatively high for the country's income level.

**TABLE 2 Algeria** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 3.8 | 3.6 | 4.1 | 3.1 | 3.8 | 3.3 |
| Private consumption | 1.6 | 3.5 | 3.8 | 3.6 | 3.4 | 3.2 |
| Government consumption | 1.2 | 2.8 | 2.6 | 2.4 | 2.2 | 2.0 |
| Gross fixed capital investment | 0.4 | 2.6 | 8.4 | 7.0 | 5.8 | 5.2 |
| Exports, goods and services | 11.5 | 0.2 | 3.1 | -2.8 | 2.5 | 1.2 |
| Imports, goods and services | -4.5 | -0.2 | 19.4 | 4.9 | 4.2 | 3.9 |
| **Real GDP growth, at constant factor prices** | 4.3 | 3.8 | 3.8 | 3.1 | 3.8 | 3.3 |
| Agriculture | -2.2 | 5.2 | 2.8 | 2.7 | 3.0 | 2.6 |
| Industry | 10.3 | 2.9 | 3.6 | 2.5 | 4.1 | 3.4 |
| Services | 1.9 | 4.1 | 4.2 | 3.7 | 3.8 | 3.3 |
| **Inflation (consumer price index)** | 7.2 | 9.3 | 9.3 | 4.0 | 4.9 | 4.4 |
| **Current account balance (% of GDP)** | -2.4 | 8.6 | 2.3 | -1.2 | -3.1 | -4.2 |
| **Fiscal balance (% of GDP)** | -6.3 | -3.0 | -5.2 | -9.8 | -9.9 | -8.7 |
| **Revenues (% of GDP)** | 26.2 | 29.7 | 32.9 | 29.9 | 28.4 | 27.4 |
| **Debt (% of GDP)** | 55.2 | 48.1 | 49.2 | 49.5 | 55.2 | 58.9 |
| **Primary balance (% of GDP)** | -5.7 | -1.8 | -3.9 | -8.6 | -8.6 | -7.3 |
| **GHG emissions growth (mtCO2e)** | 3.1 | 2.3 | 2.6 | 2.1 | 2.7 | 2.4 |
| **Energy related GHG emissions (% of total)** | 52.9 | 54.0 | 55.1 | 56.1 | 57.1 | 58.0 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# BAHRAIN

| Table 1 | 2023 |
|---|---|
| Population, million | 1.5 |
| GDP, current US$ billion | 46.1 |
| GDP per capita, current US$ | 31019.6 |
| School enrollment, primary (% gross)[a] | 92.3 |
| Life expectancy at birth, years[a] | 79.2 |
| Total GHG emissions (mtCO2e) | 59.8 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2022).

*Diversification efforts are well underway, with a robust performance of the non-hydrocarbon sector. Sustained fiscal reforms have helped improving fiscal and current account balances in 2024, yet Bahrain continues to face fiscal challenges, notably the elevated debt levels and gross financing needs. Under current commodity price projections, additional consolidation measures are needed to ensure a sustainable fiscal position over the medium term. Downside risks to the outlook include oil market volatility, climate change risks, and the impact of heightened geopolitical tensions.*

## Key conditions and challenges

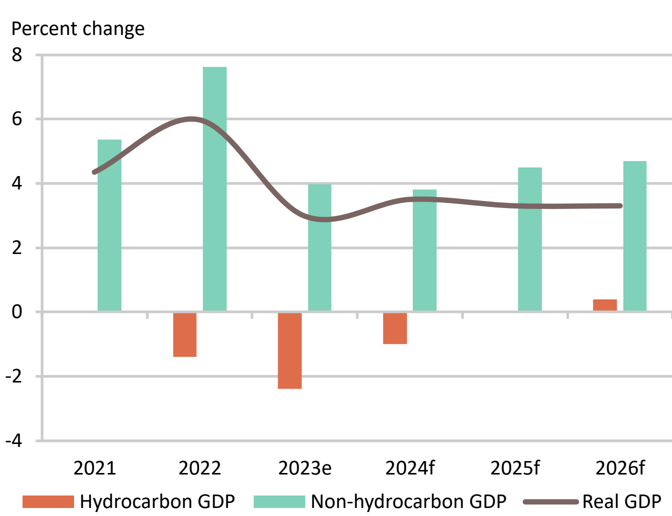
Despite the limited oil wealth, Bahrain has one of the most diversified economies in the GCC region, led by construction and manufacturing activities, and robust services sector. The non-oil sector remains the driving force of the economy. The four-year (2023-26) government plan prioritizes several objectives that aim to raise standards of living, improve infrastructure, and accelerate digital transformation, among others. On the fiscal side, efforts under the Fiscal Balance Program (FBP) have focused on revenue mobilization, in addition to controlling government spending. Key reforms include the doubling of VAT rate to 10 percent in 2022, and most recently the adoption in September 2024 of the domestic minimum top-up tax (DMTT) to levy a minimum 15 percent rate of tax on the profits of multinational enterprises with global revenue exceeding €750 (US$828 million), effective January 1, 2025. The new law marks a significant milestone, with Bahrain being the first Gulf Cooperation Council (GCC) country to legislate the implementation of a DMTT in line with its commitment to the OECD/G20's Inclusive Framework on BEPS 2.0 project. Efforts are also underway to address labor market frictions, supported by the National Labor Market Plan approved in 2023, aiming at encouraging employment in the private sector and reducing public sector fiscal pressures. The national energy strategy, adopted in November 2023, supports the Kingdom's sustainability goals and aims for a 30 percent reduction in emissions by 2035 and net-zero emissions by 2060 while ensuring reliable and affordable access to energy.

However, fiscal challenges remain as public debt stays stubbornly high and the reserves low, highlighting the remaining fiscal and external vulnerabilities over the medium term. Absent additional fiscal reforms and amid expected low commodity prices and monetary tightening, fiscal and external accounts will remain under pressure. Lack of reporting high frequency data regarding the fiscal stance is another challenge considering its importance for macroeconomic monitoring and transparency. More ambitious fiscal reforms would boost external buffers and ensure an adequate level of reserves to support the exchange rate peg. Climate challenges, including the depletion of underground water resources as the only natural water source, amid, rising population and high consumption patterns, could have serious long-term growth implications.

## Recent developments

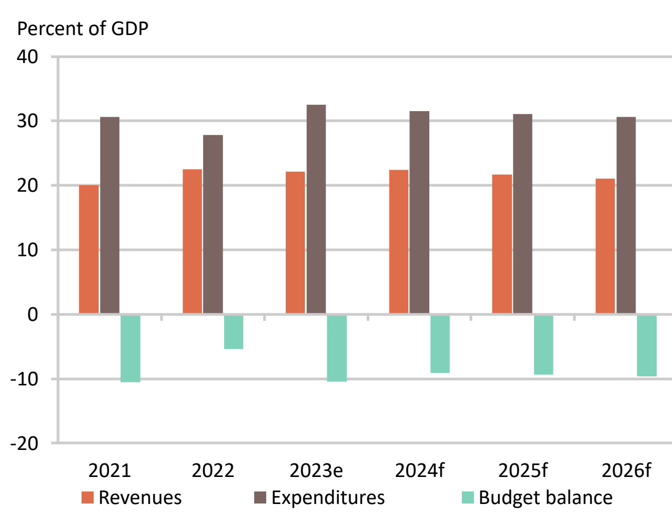
Having moderated to 3 percent last year amid tighter financial conditions and negative oil sector growth, preliminary data reveals that the economy grew by 3.3 percent y-o-y in Q1-2024. Oil sector picked up by 3.4 percent y-o-y supported by the return online of the offshore Abu Safah oil field. Non-oil sector maintained its

**FIGURE 1 Bahrain** / Real annual GDP growth




Sources: Bahrain authorities and World Bank staff estimates.

**FIGURE 2 Bahrain** / General government operations




Sources: Bahrain authorities and World Bank projections.

strong expansion, growing by 3.3 percent and driven by ongoing diversification efforts. Services, manufacturing, government services, and construction, are the largest contributors to overall growth. Inflation remains contained at 1.2 percent in H1-2024, despite a slight acceleration owing to higher food prices.

Official fiscal data for 2024 have not been released yet. However, the fiscal deficit is estimated to slightly narrow in 2024, amid fiscal consolidation efforts.

Despite higher imports in Q1-2024, the current account balance posted a surplus of US$0.6 billion (4.9 percent of GDP), reflecting higher oil and non-oil exports (up by 14.2 and 2.8 percent y-o-y), respectively. In addition, the value of non-oil exports (national origin excluding re-exports) increased by 4 percent in July 2024 y-o-y. This helped boosting official reserves which reached US$4 billion in Q1-2024—an increase of US$476 million compared to Q1-2023.

Employment increased by about 1.4 percent in 2023 relative to 2022 and is projected to continue increasing at roughly the same rate in 2024, according to ILO estimates. Employment growth continues to be twice as fast among women compared to men, possibly thanks to the Riyadat program aimed at providing access to financing for Bahraini women entrepreneurs to grow their businesses. The unemployment rate is expected to decrease to around 1.1 percent in 2024, with the rate among women estimated at 3.7 percent and among men at 0.4 percent. Young women ages 15-24 continue to face more challenges in securing a job relative to young men: the unemployment rate is projected at 12.3 percent among young women and at 2.6 percent among young men.

## *Outlook*

Bahrain's economic outlook hangs on oil prospects developments and accelerated implementation of structural reforms. Growth is estimated to pick up to 3.5 percent in 2024 largely driven by a diverse range of non-oil activity. The hydrocarbon sector is expected to witness a marginal improvement in 2024 attributed to higher oil production in Abu Safah oilfield. A stronger expansion of 3.8 percent in the non-oil sector is underpinned by tourism and the service sectors, in addition to the continuation of infrastructure projects. Growth is expected to moderate, hovering around 3 percent in the medium-term, impacted by the still elevated interest rates and fiscal consolidation. Inflation is estimated to remain low at 1.3 percent in 2024 and to converge to less than 2 percent in the medium term on strong domestic demand, but the positive impact of tighter monetary policy in line with the currency peg to the U.S. dollar will contain a higher price surge.

Limited spending growth under the FBP and higher oil revenues are expected to result in a lower fiscal deficit of 9 percent of GDP in 2024, down from over 10 percent of GDP in 2023, while achieving fiscal balance would likely require higher oil prices. Non-hydrocarbon revenues are expected to increase in 2025-26 along with the implementation of the newly announced corporate tax and the expanding capacity of Sitra oil refinery. However, declining oil prices and high interest burden will continue to pressure fiscal balances and public debt in 2025-26.

The current account surplus is forecast to expand to over 7 percent of GDP in 2024, helped by higher oil export prices, but would narrow down during 2025-26, in line with the oil price outlook. This will boost foreign reserves and strengthen resilience against future external shocks.

Key downside risks to the outlook stem from oil price volatility and elevated spending which could undermine ongoing fiscal consolidation, and lead to higher external financing costs. Pressing ahead with climate mitigation is crucial to address climate risks and the needed energy transition. Spillover from escalating conflict in the Middle East could undermine investor confidence, disrupt trade, and impede growth. However, more ambitious fiscal reforms to boost external buffers and support the exchange rate peg, higher oil prices and a stronger than expected payoff from economic reforms are key upside risks.

**TABLE 2 Bahrain** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 4.4 | 6.0 | 3.0 | 3.5 | 3.3 | 3.3 |
| Private consumption | 5.8 | 6.9 | 4.9 | 5.1 | 5.3 | 4.1 |
| Government consumption | 7.0 | 2.1 | 7.3 | 4.4 | 4.1 | 3.5 |
| Gross fixed capital investment | -3.3 | 18.7 | 2.1 | 4.1 | 5.0 | 5.5 |
| Exports, goods and services | 29.5 | 9.2 | -9.1 | -6.0 | 4.2 | 4.2 |
| Imports, goods and services | 15.2 | 11.9 | 2.6 | 2.4 | 3.1 | 2.7 |
| **Real GDP growth, at constant factor prices** | 4.2 | 4.5 | 3.0 | 3.5 | 3.3 | 3.3 |
| Agriculture | 7.2 | 4.4 | 4.7 | 2.2 | 3.1 | 2.8 |
| Industry | 3.9 | 1.7 | -0.4 | 2.4 | 3.9 | 4.1 |
| Services | 4.5 | 6.7 | 5.4 | 4.3 | 2.8 | 2.8 |
| **Inflation (consumer price index)** | -0.6 | 3.6 | 0.1 | 1.3 | 1.5 | 2.0 |
| **Current account balance (% of GDP)** | 6.4 | 14.6 | 5.9 | 7.3 | 6.7 | 5.5 |
| **Net foreign direct investment inflow (% of GDP)** | -4.2 | 0.0 | -12.4 | -2.6 | -2.7 | -2.7 |
| **Fiscal balance (% of GDP)** | -10.6 | -5.4 | -10.4 | -9.1 | -9.4 | -9.6 |
| **Revenues (% of GDP)** | 20.1 | 22.5 | 22.1 | 22.4 | 21.6 | 21.0 |
| **Debt (% of GDP)** | 127.0 | 117.4 | 123.2 | 128.4 | 130.0 | 130.9 |
| **Primary balance (% of GDP)** | -6.0 | -1.2 | -4.1 | -4.5 | -4.5 | -4.9 |
| **GHG emissions growth (mtCO2e)** | 1.7 | 4.9 | 2.9 | 3.9 | 4.3 | 3.1 |
| **Energy related GHG emissions (% of total)** | 59.4 | 60.1 | 60.2 | 60.5 | 60.9 | 60.8 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# DJIBOUTI

| Table 1 | 2023 |
|---|---|
| Population, million | 1.1 |
| GDP, current US$ billion | 4.1 |
| GDP per capita, current US$ | 3606.4 |
| International poverty rate ($2.15)[a] | 19.1 |
| Lower middle-income poverty rate ($3.65)[a] | 43.8 |
| National poverty rate[a] | 21.1 |
| Gini index[a] | 41.6 |
| School enrollment, primary (% gross)[b] | 64.4 |
| Life expectancy at birth, years[b] | 62.9 |
| Total GHG emissions (mtCO2e) | 1.4 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2017), 2017 PPPs.
b/ Most recent WDI value (2022).

*Djibouti's economic activity showed modest improvement in 2024H1, leading to an upward revision of real GDP growth to 5.9 percent in 2024—0.8 percentage points higher than in the spring forecast. This improvement in economic activity and growth in real GDP per capita are expected to contribute to a reduction in poverty. Risks to the outlook are skewed to the downside, with heightened chances of a hard landing. Real GDP growth is projected to 5.1 percent in 2025-26, supported by increased transshipment as Ethiopia's imports rise.*

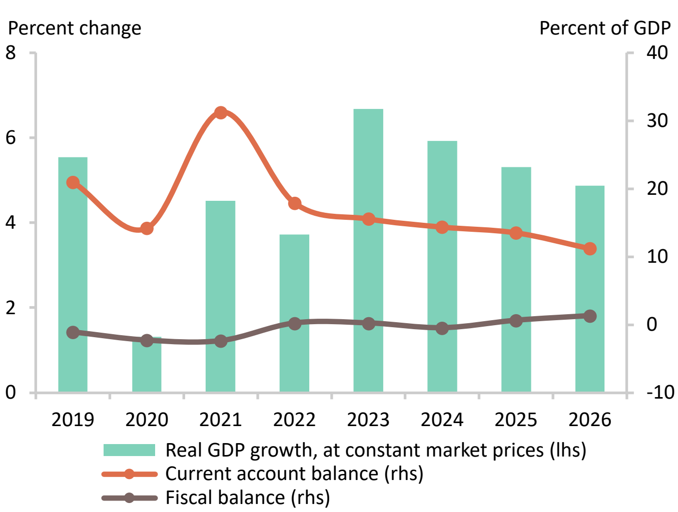
## Key conditions and challenges

Despite experiencing rapid economic growth over the past decade, Djibouti continues to grapple with macro-social challenges. Economic growth, averaged over 6.2 percent annually from 2011-19, largely driven by substantial investments (largely debt-financed) in transport and port infrastructure. However, this growth, fueled by increasingly costly borrowing, has heightened debt vulnerabilities, constraining fiscal space for critical social spending. High electricity costs continue to hamper private sector development, while weak economic fundamentals, including limited TFP, remain a significant concern for long-term growth. Human capital remains low. A large proportion of the population is poor: in 2017, 19.1 and 43.8 percent lived on less than the international poverty thresholds of $2.15 and $3.65 per person per day (in 2017 PPP), respectively. Djibouti is among the most unequal countries in the region (Gini of 41.6). This reflects regional disparities with significantly higher poverty and poorer access to basic services outside of the urban core as well as disparities in living standards within the capital city. Relative to its small population size, Djibouti hosts a large number of migrants, displaced, and undocumented people. The labor market is marked by low participation, high unemployment, and a small formal private sector. Overlapping crises including the COVID-19 pandemic, conflict in Ethiopia, and the Russian invasion of Ukraine worsened economic and fiscal pressures. These events triggered trade disruptions, financial instability, and commodity price fluctuations, rendering the country's debt unsustainable. While Djibouti aims to leverage its strategic location at the entrance of the Red Sea to emerge as a major transport and logistics hub, it faces considerable hurdles in achieving this goal amidst the current economic pressures. The economy's heavy reliance on imports makes it vulnerable to global price volatility. Additionally, the government's fuel subsidy strains public finances without effectively addressing poverty, as the benefits are mainly enjoyed by wealthier households. The Red Sea disruptions have led to a surge in transshipment services, straining the port's capacity.

## Recent developments

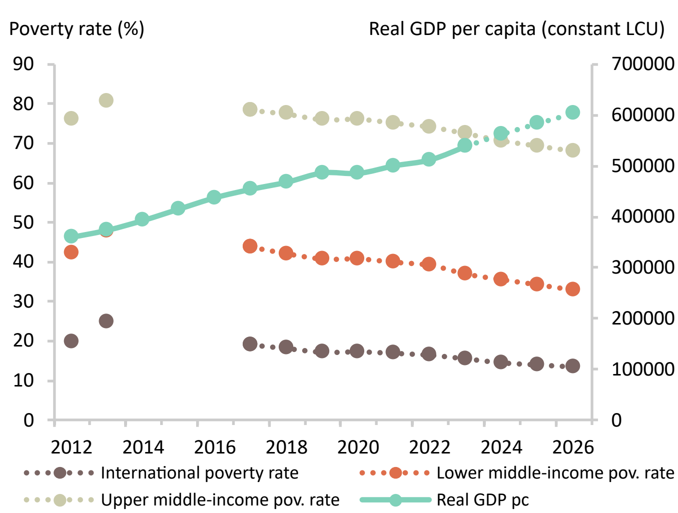
Djibouti's economic activity regained strength in 2024H1, mainly thanks to a significant increase in port activity, particularly container traffic. The port's activity grew by an impressive 70.3 percent year-on-year during this period, due to the growing transshipment sector. This growth reflects the strategic shifts in regional shipping patterns, as shipping companies increasingly opted to continue avoiding the conflict zones in the Red Sea. Energy production also experienced a substantial 17 percent y-o-y increase in 2024Q1, reflecting a significant boost in output. In contrast, the construction sector

**FIGURE 1 Djibouti** / Real GDP growth, fiscal, and current account balances




Sources: Government of Djibouti and World Bank staff projections.

**FIGURE 2 Djibouti** / Actual and projected poverty rates and real GDP per capita




Source: World Bank. Notes: see Table 2.

contracted by 10 percent in the same period, mainly due to disruptions in the supply chain. The rise in freight costs—soaring to US$4,500 per trip in June 2024, up from US$1,400 a year earlier amid the ongoing Red Sea crisis—contributed to domestic price increases in 2024H1. CPI inflation rose by 3.2 percent, y-o-y, in the first half of 2024, driven by higher food prices (3.6 percent) and energy costs (3.2 percent). The international poverty rate (living on below US$2.15/person/day in 2017 PPP) is estimated to have declined from 19.1 percent in 2017 to around 15.5 percent in 2023 thanks to continued economic growth. Similarly, poverty at the lower-middle-income threshold is also estimated to have fallen, from 43.8 percent in 2017 to around 36.9 percent in 2023, but this poverty level remains high. These positive trends are expected to continue into 2024. On the fiscal front, limited domestic resource mobilization coupled with the ongoing developments in the Djibouti Duty-Free Zone (DDID FTZ), in which the government holds a stake, have further strained fiscal buffers in the first half of 2024. These factors have contributed to keeping public debt at a high level. As of March 31, 2024, public debt remains above 63 percent of GDP, with 76.1 percent of this debt attributable to state-owned enterprises (SOEs). As of December 2023, Djibouti's debt arrears totaled US$311.34 million (7.74 percent of GDP). While the country secured a temporary moratorium on debt servicing from Exim Bank of China, negotiations with India are ongoing, and discussions with the Paris Club remain on hold. External sector developments were mixed in 2024H1. The trade balance registered a deficit of 2.3 percent, driven by a rise in imports related to ongoing major developments in the DDID FTZ. However, net foreign exchange reserves remained strong, covering four months of projected imports.

## *Outlook*

The medium-term outlook remains cautiously optimistic. Real GDP growth is now projected to reach 5.9 percent in 2024, a 0.8 percentage point increase from the spring forecast. This upward revision reflects stronger growth in transshipment activities and expectations of increased Ethiopian demand following the IMF's approval of a new funded program for Ethiopia in July. Growth is expected to moderate to 5.1 percent in 2025-26, supported by export earnings from logistics and re-exports to Ethiopia. Inflation is projected to rise to 3.0 percent in 2024 due to higher freight costs, before easing to an average of 1.7 percent in 2025-26 as global prices stabilize. Poverty in 2024 is estimated at 14.5 percent (international poverty line) and 35.5 percent (lower middle-income poverty line), subject to substantial risks given the high public debt and ongoing regional tensions. Debt-restructuring agreements expected by late 2024 will allow for fiscal consolidation, with the fiscal balance moving from a deficit of 0.5 percent of GDP in 2024 to a surplus of 1.0 percent in 2025-26. Public debt is projected to decrease to 58.4 percent of GDP by 2026 as external financing remains limited, while the robust implementation of the new public finance reforms strategy is expected to enhance fiscal sustainability. The current account is expected to maintain a surplus, at 14.4 percent of GDP in 2024 and 12.4 percent in 2025-26, as IMF and World Bank funding to Ethiopia is likely to restore some degree of financial stability to the country, boosting Ethiopian imports through Djibouti.

Risks to the outlook are tilted to the downside and include potential escalations in Red Sea tensions, an influx of refugees, and delays in implementing macro-fiscal reforms. Additionally, shifts in regional trade—particularly if Ethiopia redirects imports through Somaliland's Berbera port—and the normalization of the Red Sea shipping corridor could divert traffic to alternative routes or competing ports.

**TABLE 2 Djibouti** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 4.5 | 3.7 | 6.7 | 5.9 | 5.3 | 4.9 |
| Private consumption | 9.6 | -0.6 | 4.4 | 4.4 | 5.0 | 5.5 |
| Government consumption | -2.5 | -14.3 | 8.1 | 3.3 | 1.7 | 4.4 |
| Gross fixed capital investment | 4.9 | 2.7 | 12.4 | 7.9 | 6.8 | 7.1 |
| Exports, goods and services | 29.5 | -12.5 | 8.4 | 7.4 | 8.0 | 8.0 |
| Imports, goods and services | 18.2 | -6.2 | 10.4 | 8.0 | 9.0 | 10.0 |
| **Real GDP growth, at constant factor prices** | 4.1 | 4.0 | 6.7 | 5.9 | 5.3 | 4.9 |
| Agriculture | 16.5 | -0.5 | 5.9 | 5.9 | 5.9 | 5.9 |
| Industry | 11.4 | 7.2 | 10.0 | 9.7 | 9.2 | 8.7 |
| Services | 2.5 | 3.4 | 6.0 | 5.1 | 4.4 | 3.9 |
| **Inflation (consumer price index)** | 1.5 | 5.1 | 1.4 | 3.0 | 1.8 | 1.5 |
| **Current account balance (% of GDP)** | 31.2 | 17.9 | 15.6 | 14.4 | 13.5 | 11.2 |
| **Fiscal balance (% of GDP)** | -2.4 | 0.2 | 0.2 | -0.5 | 0.6 | 1.3 |
| **Revenues (% of GDP)** | 20.1 | 19.1 | 19.1 | 19.1 | 19.5 | 20.1 |
| **Debt (% of GDP)** | 71.3 | 66.5 | 69.4 | 63.8 | 59.9 | 58.4 |
| **Primary balance (% of GDP)** | -2.2 | 1.0 | 1.0 | 0.2 | 0.9 | 1.0 |
| **International poverty rate ($2.15 in 2017 PPP)**[a,b] | 16.9 | 16.5 | 15.5 | 14.5 | 14.0 | 13.5 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)**[a,b] | 39.9 | 39.1 | 36.9 | 35.5 | 34.1 | 32.8 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)**[a,b] | 75.2 | 74.2 | 72.5 | 70.6 | 69.3 | 67.9 |
| **GHG emissions growth (mtCO2e)** | 4.5 | 0.2 | 0.3 | 0.2 | 0.3 | 0.4 |
| **Energy related GHG emissions (% of total)** | 21.5 | 20.8 | 20.5 | 19.6 | 18.7 | 17.9 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2017-EDAM. Actual data: 2017. Nowcast: 2018-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2017) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

# ARAB REPUBLIC OF EGYPT

| Table 1 | 2023 |
|---|---|
| Population, million[a] | 112.7 |
| GDP, current US$ billion | 395.9 |
| GDP per capita, current US$ | 3512.6 |
| Lower middle-income poverty rate ($3.65)[b] | 17.6 |
| National poverty rate[b] | 29.7 |
| Gini index[b] | 31.9 |
| School enrollment, primary (% gross)[c] | 91.6 |
| Life expectancy at birth, years[c] | 70.2 |
| Total GHG emissions (mtCO2e) | 310.3 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Reflects the UN data.
b/ Most recent value (2019), 2017 PPPs.
c/ Most recent WDI value (2022).

*With the ongoing macroeconomic adjustment, growth is projected to recover to 3.5 percent in FY25 from an estimated 2.5 percent in FY24. Inflation remains in double digits with disproportionate implications for the poor. External financing provides near-term relief. Ensuring long-term stability (notably through wider fiscal consolidation, consistent with external sector sustainability) remains crucial to addressing human development needs, social protection, and enabling private activity for better growth, jobs, and exports.*

## Key conditions and challenges

Amidst rising geopolitical tensions, Egypt is pursuing macroeconomic stabilization and structural reforms, underpinned by the IMF Extended Fund Facility (EFF), large-scale UAE investment deal in Ras El-hekma, and development partners' financing including the World Bank and the European Union. Sovereign ratings and market sentiment have started to improve, contributing to a rebound of portfolio inflows, remittances, and gradually recovering non-oil private sector activity.

Notwithstanding the monetary tightening and exchange rate adjustment of March 2024 that helped ease the two-year-long foreign currency crisis, the escalation of the Middle East conflict continues to impact foreign income sources, especially the Suez Canal revenues. Scarring effects of the longstanding challenges that intersected with global shocks continue to manifest in key sectors. Notably, electricity generation and supply suffer from legacy energy sector inefficiencies, delayed price adjustments, as well as domestic gas production shortfalls (partly) due to the foreign currency arrears to International Oil Companies (IOC) accumulated over the past two years. Similarly, shortages in medicines persist, as the domestic pharmaceuticals sector grapples with the spike in costs and price controls. More broadly, productivity growth remains sluggish, reflecting ongoing business environment constraints.

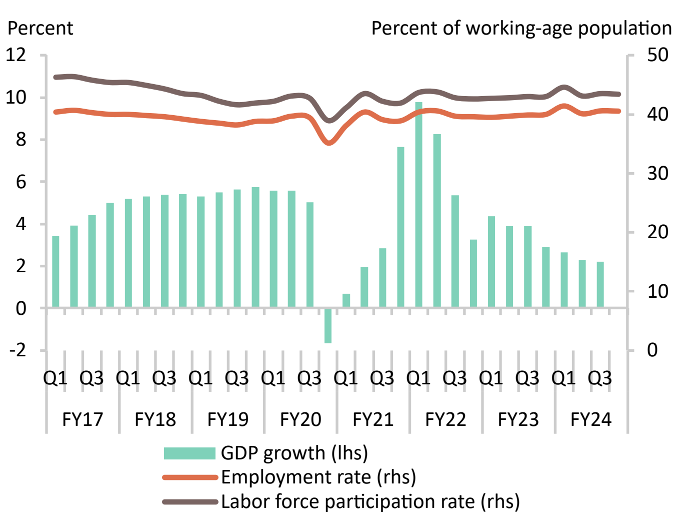
Poverty is expected to have increased substantially from the last officially reported poverty rate of 29.7 percent in 2019 at the national poverty line, due to the inflation spike over the past two years. Measured by the international poverty line for lower middle-income countries ($3.65/day in 2017 PPP), the poverty rate is estimated to have increased to 23.5 percent in 2024; about 4 percentage-points higher than its estimated level in 2022.

Key factors to unlock productivity growth, exports, and job-creation include: (i) Reorienting the role of the state as an enabler of private activity. This is critical for fiscal and external sustainability, and to reverse the trend favoring non-tradables; (ii) creating a conducive business environment; and (iii) addressing human development needs.

## Recent developments

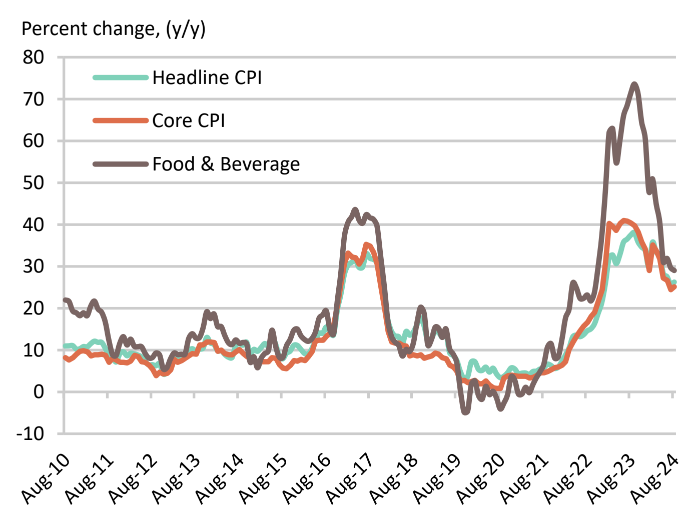
Growth declined to a projected 2.5 percent in FY24 (July 2023-June 2024) from 3.8 percent in FY23. The Industrial Production Index points to improved growth in recent months, although shockwaves from the Middle East conflict, as well as the scarring effects of the March 2022—2024 foreign exchange crisis, continue to soften the nascent recovery. Despite the recent drop in unemployment to 6.5 percent in Q4-FY24 (compared to 7 percent in Q4-FY23), labor market indicators reflect key challenges, including low quality job-creation and below-potential female labor force participation (15.9 percent in Q4-FY24).

**FIGURE 1 Arab Republic of Egypt** / Real GDP growth, employment and labor force participation rates




Sources: World Bank estimates based on Central Agency for Public Mobilization and Statistics (CAPMAS) and Ministry of Planning, Economic Development and International Cooperation (MoPEDIC).

**FIGURE 2 Arab Republic of Egypt** / Inflation rates




Sources: Central Bank of Egypt (CBE) and CAPMAS.

After averaging 33.6 percent in FY24 (from 24.1 percent in FY23), headline urban inflation declined somewhat but remained high at 26.2 percent in August 2024. Food inflation (54.7 percent in FY24), as well as revisions to administered prices—including energy tariffs, transport, and quadrupling the price of subsidized bread—are especially constraining the purchasing powers, notably among the poor, which thus underscores the importance of well-targeted social assistance. The CBE continues to tighten monetary policy through deposit auctions. With policy rates at 27.25 percent and 28.25 percent for overnight deposit and lending transactions, respectively (1,900 bps above the levels prevailing prior to March 2022), real interest rates turned positive in July 2024 for the first time in over two years.

External account buffers improved with the inflows received in March–July 2024. Of these, US$14.1 billion was used to replenish reserves, and the rest was used to repay debt, clear import backlogs, and start repaying arrears to IOC. As such, official (Tier 1) reserves and other foreign currency assets (Tier 2 reserves) jointly reached a historical high of US$59.4 billion at end-July 2024. The banking system's net foreign assets position surged into a surplus (LE626.6 billion or US$13.1 billion at end-June 2024). It however recently witnessed a downtick; affected by the outflows with the temporary turbulence in global financial markets and the flare up of the Middle East conflict.

The budget deficit declined sharply to an estimated 3.6 percent of GDP in FY24, from 6.0 percent of GDP in FY23, due to the one-off US$12 billion that was recorded as government revenues (half the fresh inflows from Ras Elhekma investments deposited in the CBE, with an equivalent amount transferred to the Treasury). This one-off transaction overcompensated for the increase in interest payments, estimated at 9.8 percent of GDP in FY24 (54.4 percent of government revenues).

## Outlook

Growth is expected to start a gradual recovery—to 3.5 percent and 4.2 percent in FY25 and FY26, respectively—driven by favorable base effects, as well as investment, notably that financed by the UAE deal, in addition to improved private consumption with the gradually abating inflation and projected pickup in remittances, although the latter may be moderated by the decline in international oil prices (as Egypt's diaspora is largely in the GCC).

The budget deficit is forecast to widen to 7.0 percent of GDP in FY25, mainly due to the higher interest payments and the vanishing impact of the (one-off) Ras Elhekma transaction, before starting to decline thereafter, supported by fiscal consolidation stemming from declining energy subsidies (due to tariff adjustments and the decline in international oil prices), as well as improving revenues. Off-budget borrowing is expected to be contained following the Prime Ministerial Decree capping public investments.

The government debt-to-GDP ratio is projected to reach 94.5 percent and 91.6 percent at end-FY24 and end-FY25, respectively.

External financing requirements remain substantial, but the financing gap is expected to be closed in the short-term. Principal external debt maturing during July-December 2024 is estimated at around US$20 billion and IOC arrears are estimated at US$5 billion. Further, the widened current account deficit may put pressure on foreign currency resources, if the Middle East conflict continues to cast a shadow on the economy.

Meanwhile, soft per capita growth and still high inflation constrain poverty-reduction; emphasizing the importance of growth-enhancing reforms and advancing the human capital agenda.

**TABLE 2 Arab Republic of Egypt** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 3.3 | 6.6 | 3.8 | 2.5 | 3.5 | 4.2 |
| Private consumption | 6.2 | 2.8 | 3.8 | 4.6 | 4.8 | 4.5 |
| Government consumption | 3.4 | 4.9 | -2.8 | 3.3 | 3.0 | 2.5 |
| Gross fixed capital investment | -3.2 | 18.5 | -21.7 | -11.9 | 6.5 | 9.7 |
| Exports, goods and services | -13.9 | 57.4 | 31.4 | 7.0 | 13.5 | 11.5 |
| Imports, goods and services | 0.5 | 24.3 | 1.1 | 0.5 | 19.5 | 13.7 |
| **Real GDP growth, at constant factor prices** | 2.0 | 6.2 | 3.6 | 2.5 | 3.5 | 4.2 |
| Agriculture | 3.8 | 4.0 | 4.1 | 4.4 | 4.0 | 4.0 |
| Industry | -1.2 | 6.9 | -0.6 | -2.2 | 2.0 | 4.0 |
| Services | 3.7 | 6.2 | 6.2 | 4.9 | 4.2 | 4.4 |
| **Inflation (consumer price index)** | 4.5 | 8.5 | 24.1 | 33.6 | 17.2 | 13.6 |
| **Current account balance (% of GDP)** | -4.3 | -3.5 | -1.2 | -5.3 | -3.9 | -4.3 |
| **Net foreign direct investment inflow (% of GDP)** | 1.1 | 1.8 | 2.5 | 11.7 | 2.8 | 2.3 |
| **Fiscal balance (% of GDP)** | -7.1 | -6.2 | -6.0 | -3.6 | -7.0 | -6.9 |
| **Revenues (% of GDP)** | 16.6 | 17.2 | 15.4 | 18.0 | 16.0 | 16.4 |
| **Debt (% of GDP)** | 87.9 | 88.3 | 95.2 | 94.5 | 91.6 | 87.0 |
| **External government debt (% of GDP)** | 19.0 | 19.5 | 25.1 | 29.6 | 28.3 | 25.3 |
| **Primary balance (% of GDP)** | 1.4 | 1.3 | 1.6 | 6.2 | 4.0 | 3.2 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]** | 19.9 | 19.7 | 21.9 | 23.5 | 23.4 | 23.2 |
| **GHG emissions growth (mtCO2e)** | 2.3 | 1.9 | 0.9 | 0.4 | 0.8 | 1.4 |
| **Energy related GHG emissions (% of total)** | 63.3 | 63.3 | 63.8 | 64.4 | 66.1 | 67.6 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2010-HIECS, 2015-HIECS, and 2019-HIECS. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2010-2015) with pass-through = 0.02 based on GDP per capita in constant LCU. Poverty estimates for 2020, 2023, and 2024 are based on microsimulations of the impacts of Covid, high inflation, and government mitigating measures.

# IRAN, ISLAMIC REPUBLIC

| Table 1 | 2023 |
|---|---|
| Population, million | 89.2 |
| GDP, current US$ billion | 478.4 |
| GDP per capita, current US$ | 5364.7 |
| Upper middle-income poverty rate ($6.85)[a] | 21.9 |
| Gini index[a] | 34.8 |
| School enrollment, primary (% gross)[b] | 104.5 |
| Life expectancy at birth, years[b] | 74.6 |
| Total GHG emissions (mtCO2e) | 991.9 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022), 2017 PPPs.
b/ WDI for School enrollment (2020); Life expectancy (2022).

*Economic growth is moderating after the rebound in the oil sector in 2023, but recent growth in the non-oil sector has reduced unemployment to a record low and tighter monetary policy has aided a deceleration in inflation. The outlook remains subject to significant risks, including a potential expansion of the conflict in the Middle East, global oil demand weakening, and the impact of climate change.*

## Key conditions and challenges

Iran's economy is on track to grow for the fifth consecutive year, buoyed by the recovery in the oil sector and the positive spillover to the rest of the economy. However, oil GDP growth has started to slow in 2024/25 (the Iranian calendar year ending March 20) with easing global demand. Despite a recent acceleration, non-oil growth also remains constrained in the medium term due to economic sanctions and consecutive years of stagnating capital stock. The labor market is recovering, but challenges persist, with only 37.9 percent of the working-age population employed and just 12.1 percent of women in the workforce in 2023/24. A gradually aging population and human capital flight pose additional constraints to economic growth and fiscal stability.

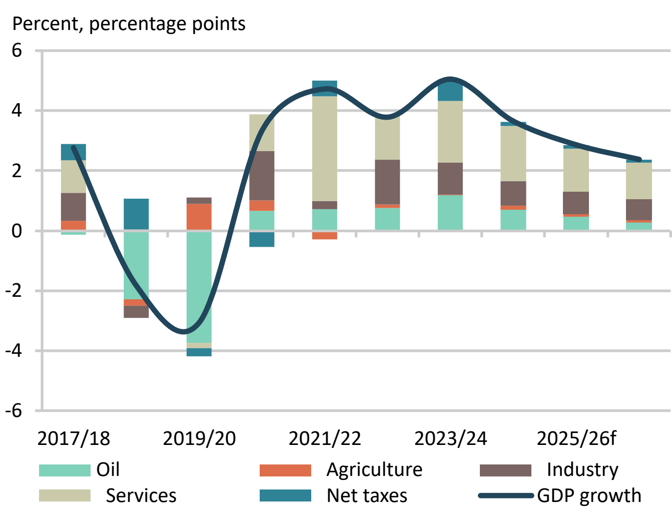
Discretionary fiscal policy, including via cash transfers, has supported vulnerable households and a consumption-led growth but has also added to the budget deficit and exacerbated inflation and procyclical fiscal policy. These fiscal pressures have prompted plans for a contractionary budget in 2024/25.

A comprehensive and well-sequenced package of reforms is needed to put the economy on a more sustainable path. Reforms need to prioritize the urgent challenge of energy and water shortages through a combination of demand and supply management such as upgrading to energy-efficient machinery and transportation vehicles, reducing electricity loss in the distribution network, water-efficient irrigation, and transition to a more resilient crop mix. Energy and water price rationalization, complemented by adequate social protection measures would also help reduce wasteful consumption and moderate the growing supply-demand mismatch. Reducing the structural fiscal deficit through rightsizing and improved targeting of transfers can help reverse the inflationary cycle and free up fiscal space for pro-growth expenditures. In the medium term, structural reforms aimed at improving the business environment by minimizing price interventions and other market distortions can help foster private sector growth, incentivize investment, and create jobs.

## Recent developments

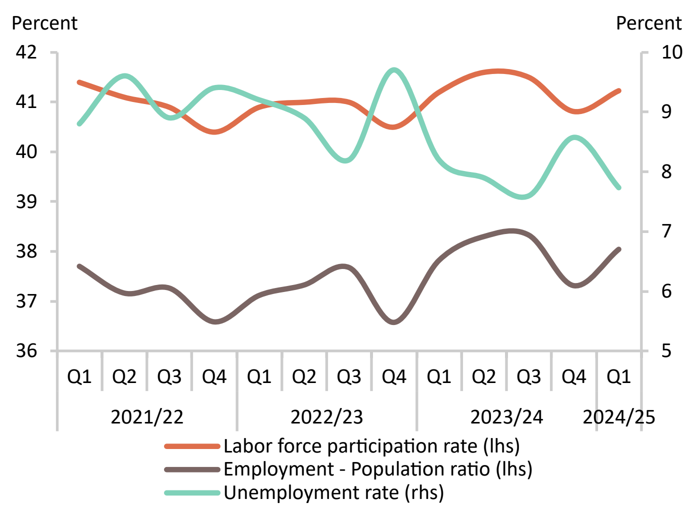
In 2023/24, GDP growth accelerated to 5 percent, driven by the oil sector and services. Oil GDP surged by 14.7 percent due to tighter global oil markets and improved crude oil export volumes, partly facilitated through price discounts. The non-oil sector grew by 3.6 percent, led by services. Economic activity has continued upward in 2024/25 with employment increasing by 1.8 percent in Q1-24/25 (April-June) year-over-year (Y-o-Y). While employment growth helped reduce unemployment to 7.7 percent, more jobs are needed to boost labor force participation, which remained low at 41.2 percent, with only 14.3 percent of working age women participating in the workforce.

**FIGURE 1 Islamic Republic of Iran** / Real GDP growth and supply-side contributions to real GDP growth




Sources: Central Bank of Iran and World Bank staff calculations.

**FIGURE 2 Islamic Republic of Iran** / Selected labor market indicators




Sources: Statistical Center of Iran and World Bank staff calculations.

Inflation decelerated in the first five months of 2024/25 (5M-24/25) with headline and core inflation reaching 31.6 percent and 34.7 percent (Y-o-Y) in August 2024, respectively, down by 23.9 and 12.2 percentage points from the recent peak in April 2023. Price pressures eased due to lower global commodity prices, moderating inflationary expectations, and tighter monetary policy, including restrictions on the growth in banks' balance sheets, stricter reserve requirements for riskier banks, and higher interbank interest rates.

Government finances in 2023/24 were constrained as oil revenues fell short of planned targets. Despite the realization of planned tax revenues, the budget deficit increased by 0.6 percentage points (Y-o-Y) to an estimated 3.4 percent of GDP. This deficit was further exacerbated by significant off-budget expenditures, including cash transfers from the Targeted Subsidies Program. The 2024/25 budget law adopts a more prudent fiscal stance with restrained expenditure growth and conservative revenue projections. As budget expenditures are expected to grow by 21 percent in nominal terms, which is below the anticipated inflation rate, this seems to signal contractionary policy.

Lower export prices and rising imports led to an almost halving of the current account surplus to US$6.3 billion or 1.6 percent of GDP in 9M-23/24. External account pressures were further exacerbated by a capital account deficit of US$15.3 billion, marking the seventh consecutive year of net capital outflows. Trade dynamics improved in 5M-24/25 (April-August 2024), with non-oil exports and imports growing by 10 percent and 5.5 percent (Y-o-Y), respectively, leading to a 13 percent reduction in the non-oil trade deficit.

## Outlook

GDP growth is projected to moderate in the medium term. Growth in 2024/25 is expected to ease due to tighter fiscal and monetary policy and the transitory effect of the oil-based rebound in 2023/24, influenced by global demand slowdown. Non-oil growth is forecast to be constrained by ongoing sanctions, energy shortages, and economic uncertainty. Extreme weather events and water scarcity will impact the agriculture sector, disproportionately affecting the poor. The current account balance is forecast to moderate in line with a projected decline in oil prices in 2025/26 and 2026/27. Inflation is expected to decelerate but remain elevated, adversely impacting low-income households. Tighter monetary policy is also expected to weigh on real sector growth, given that 90 percent of firms rely on the banking system for financing.

Several downside risks to the economic outlook are present, including geopolitical tensions. More severe water and energy shortages, in part due to climate change, would weigh on growth and livelihoods. Further sanctions and their stricter enforcement could disrupt trade and reignite inflationary pressures. A global slowdown, notably in China—Iran's key trading partner—would also negatively impact trade and growth. On the upside, significant sanctions relief or a favorable interim agreement as part of the nuclear negotiations could spur a new growth momentum and curtail economic uncertainties.

The pace of poverty reduction is projected to slow considerably as the bottom 20 percent of households are expected to benefit the least from the recent economic expansion. Poverty is projected to decrease only slightly, from 21.9 percent in 2022/23 to 20 percent in 2023/24 and 19 percent in 2024/25. Poor households are disproportionally rural, un-educated and female-headed, and historically have not benefited from periods of economic expansion. More narrowly targeted assistance, coupled with measures to reduce their vulnerability, would help accelerate poverty reduction.

**TABLE 2 Islamic Republic of Iran** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021/22 | 2022/23 | 2023/24 | 2024/25e | 2025/26f | 2026/27f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 4.7 | 3.8 | 5.0 | 3.7 | 2.9 | 2.4 |
| Private consumption | 3.9 | 8.7 | 4.1 | 3.1 | 2.5 | 2.1 |
| Government consumption | 8.3 | -3.6 | -1.7 | -0.2 | 1.7 | 2.0 |
| Gross fixed capital investment | 0.0 | 6.7 | 7.2 | 5.8 | 5.0 | 4.2 |
| Exports, goods and services | 5.2 | 8.2 | 17.1 | 7.9 | 4.2 | 3.1 |
| Imports, goods and services | 24.1 | 7.5 | 3.0 | 2.8 | 3.0 | 3.0 |
| **Real GDP growth, at constant factor prices** | 4.4 | 4.0 | 4.5 | 3.7 | 2.9 | 2.4 |
| Agriculture | -2.6 | 1.1 | 0.2 | 1.3 | 1.1 | 0.8 |
| Industry | 3.2 | 7.4 | 7.1 | 4.7 | 3.7 | 3.0 |
| Services | 6.5 | 2.7 | 3.8 | 3.4 | 2.7 | 2.3 |
| **Inflation (consumer price index)** | 46.2 | 46.5 | 52.3 | 31.9 | 30.0 | 28.0 |
| **Current account balance (% of GDP)** | 3.1 | 3.4 | 2.0 | 1.2 | 1.0 | 0.8 |
| **Fiscal balance (% of GDP)** | -3.2 | -2.8 | -3.4 | -2.1 | -2.5 | -2.6 |
| **Revenues (% of GDP)** | 11.0 | 11.0 | 10.4 | 10.7 | 10.7 | 10.8 |
| **Gross public debt (% of GDP)** | 42.4 | 30.1 | 29.5 | 30.1 | 31.5 | 33.6 |
| **Primary balance (% of GDP)** | -2.6 | -2.4 | -3.0 | -1.7 | -2.1 | -2.1 |
| **International poverty rate ($2.15 in 2017 PPP)[a,b]** | 0.7 | 0.5 | 0.4 | 0.4 | 0.4 | 0.3 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]** | 5.0 | 3.8 | 3.3 | 3.1 | 2.9 | 2.8 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]** | 24.8 | 21.9 | 20.0 | 19.0 | 18.2 | 17.6 |
| **GHG emissions growth (mtCO2e)** | 4.8 | 1.7 | 2.5 | 1.9 | 1.7 | 1.7 |
| **Energy related GHG emissions (% of total)** | 68.0 | 67.8 | 67.9 | 67.6 | 67.2 | 66.7 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2019-HEIS and 2022-HEIS. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2019-2022) with pass-through = 0.7 based on GDP per capita in constant LCU.

# REPUBLIC OF IRAQ

| Table 1 | 2023 |
|---|---|
| Population, million | 45.5 |
| GDP, current US$ billion | 250.8 |
| GDP per capita, current US$ | 5512.5 |
| Lower middle-income poverty rate ($3.65)[a] | 2.4 |
| Upper middle-income poverty rate ($6.85)[a] | 24.7 |
| National poverty rate[a] | 18.9 |
| Gini index[a] | 29.5 |
| School enrollment, primary (% gross)[b] | 103.7 |
| Life expectancy at birth, years[b] | 71.3 |
| Total GHG emissions (mtCO2e) | 246.7 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2012), 2017 PPPs.
b/ Most recent WDI value (2022).

*As the economy is stagnating due to extended OPEC+ production quotas, an expansionary fiscal stance and strong imports are expected to transform the surpluses of fiscal and external accounts into deficits. Recent large infrastructure projects could help overcome some growth bottlenecks. Risks to the outlook have increased with heightened tensions in the Middle East which are exacerbated by the economy's overreliance on oil.*

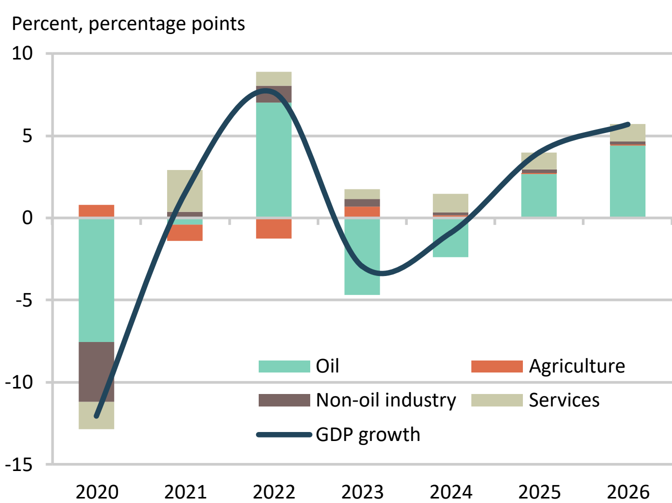
## Key conditions and challenges

Iraq's oil-dependent economy is contracting for a second consecutive year due to constrained crude oil production. The contraction in GDP reflects the OPEC+ production agreement from June 2024 that extends initial production cuts until end-2025 and prolongs additional voluntary cuts of 2.2 mbpd by selected countries, including Iraq, until end-November 2024. Oil exports through the oil pipeline in the Kurdistan Region of Iraq have further remained on hold since late March 2023. Expansionary fiscal policy has buoyed non-oil sector activity which has partially offset the contraction in the oil sector. Looser fiscal policy and dependence on volatile oil revenue have raised vulnerabilities to external shocks, amid the risks of spillover from the recent conflict in the Middle East. The 2024 budget law introduces further fiscal easing while the high wage bill and large social transfers of the 2023-2025 budget law have been maintained; this increases fiscal risks and exposure to oil sector developments. The lack of automatic adjustment mechanisms, such as fiscal rules, exposes public finances and the economy to significant fluctuations. The potential spillovers from a widening conflict in the Middle East could worsen preexisting security and welfare vulnerabilities. Implementing deeper reforms would be key for economic diversification and addressing structural challenges. A series of recent infrastructure projects in the energy and transport sectors can help create jobs, address key growth bottlenecks, and lay the foundations for a more diversified economy. By anchoring these projects in a well-designed medium-term plan, such as elaboration in the National Development Plan (2024-2029) with prioritization, coordination, and accurate budgeting, these projects can achieve more optimal outcomes. Implementation can also be improved with greater oversight mechanisms to ensure minimizing inefficiencies. Crucially, these measures need to be further complemented with policy reforms in key areas including the harmonization of the pension system, rightsizing the wage bill, improving targeting of social transfers, and policies that enable women to participate in the labor force. Banking sector reforms to improve credit intermediation and streamlining legal and administrative procedures for business registration and operations would create a more enabling business environment for private sector-led growth and much needed jobs.

## Recent developments

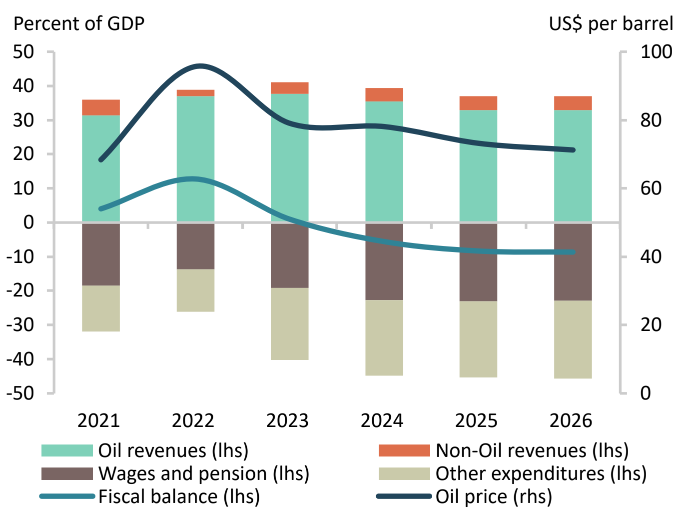
The oil-driven GDP contraction of 2023 has started to moderate in 2024. New OPEC+ production agreements, including Iraq's voluntary cuts and the halting of oil exports from the northern oil pipeline led GDP and oil GDP to contract by 2.9 percent and 7.7 percent, respectively, in 2023. The 5.6 percent y/y bounce back in the non-oil sector partly offset the full impact

**FIGURE 1 Republic of Iraq** / Real GDP growth and supply-side contributions to real GDP growth




Sources: Iraq's Authority of Statistics and Geographic Information Systems (ASGIS), Central Bank of Iraq, and World Bank staff calculations.

**FIGURE 2 Republic of Iraq** / Fiscal account outlook




Sources: Ministry of Finance, Ministry of Oil, and World Bank staff calculations.

of the oil sector-induced contraction but was driven by public services growth and improved agricultural production. These growth dynamics have continued into the first quarter of 2024 (Q1-24) where real GDP contracted by 2.4 percent year-on-year (y/y). Inflationary pressures have eased due to lower international food prices, an upward revaluation of the dinar in February 2023, and tighter monetary policy. Recent Central Bank of Iraq (CBI) measures, including raising the policy rate by 3.5 percentage points to 7.5 percent, helped curb inflationary pressures. As a result, headline and core inflation have eased to 2 and 2.4 percent y/y, respectively, in the first half of 2024 (H1-24). Securing FX supply and improved due diligence in CBI auctions helped reduce the gap between the official rate to 13 percent in June 2024 (from over 23 percent in November 2023); the gap, however, remains elevated compared to pre-November 2023 levels. Fluctuations in food prices, driven by global supply-chain and climate shocks, highlight the importance of maintaining nutritional adequacy and eliminating poverty. Higher revenues resulted in a fiscal surplus in H1-24 while rising imports pushed the current account into a deficit. Government revenues, 89 percent coming from oil revenues, increased by 21.4 percent y/y in H1-24 due to higher oil prices and marginally higher export volumes. Efforts on customs automation and streamlining tax procedure have contributed to a 22 percent y/y rise in tax revenues until early August 2024, a significant improvement in non-oil revenue mobilization. Total expenditures rose by 20.3 percent y/y but remained significantly below the planned target. As a result, the fiscal account recorded a surplus of 3.6 percent of GDP (on a cash basis). The current account also registered a deficit of 0.6 percent of GDP in Q1-24 given a surge in imports following the fiscal expansion. These trade dynamics reversed the recent accumulation in official reserves, although reserves have remained sizeable at US$98.5 billion or 10.7 months of imports in Q1-24.

## Outlook

Economic prospects in the medium-term are expected to be closely intertwined with global oil demand dynamics and the government's discretionary fiscal policy stance. Over 2024-2026, real GDP growth is expected to recover to an average of 2.9 percent, driven by the oil sector and under the assumption of compliance with the September 2024 OPEC+ agreement in September 2024 until end-2025, and growing production capacity in 2026. Non-oil GDP is forecast to ease with the moderation in government expenditure growth and other growth bottlenecks. Inflation is expected to remain in check partly due to subsidized imports. Even at substantially lower execution relative to the planned budget, the fiscal easing is projected to lead to a widening fiscal deficit and an upward trend in the debt-to-GDP ratio. Rising imports are expected to push the current account to a sustained deficit over the medium term. The recovery in economic growth in tandem with increased fiscal pressures is not expected to translate into sustained poverty reduction and equitable outcomes. Disparities in resource distribution continue to persist, with poverty and limited access to services concentrated in rural and southern governorates of Iraq.

The country is gradually turning a corner from a legacy of fragility and recent conflict towards reconstruction and stability, while risks to the outlook remain. Domestically, the upcoming elections (planned for October 2025) could soften the drive for implementing reforms, while a return of political tensions and factionalism could set back ongoing infrastructure projects and the economy. Domestic revenue-sharing disputes between the federal government and the Kurdistan Regional Government (KRG) could destabilize the KRG economy and could put on hold collaboration on key issues including customs integration. External shocks such as the ongoing conflict in the Middle East and a sharper slowdown in the global economy and oil demand could significantly impact the economic outlook. Climate change shocks further pose significant risks to the agriculture sector and the rural poor.

**TABLE 2 Republic of Iraq** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | -0.9 | 4.7 | -2.9 | -0.9 | 4.0 | 5.7 |
| Private consumption | 2.6 | 2.7 | 6.0 | 9.5 | 2.1 | 4.0 |
| Government consumption | 4.6 | 15.1 | 7.6 | 12.2 | 1.1 | 2.0 |
| Gross fixed capital investment | 32.2 | 3.3 | 13.8 | 6.8 | 3.6 | 4.0 |
| Exports, goods and services | -15.0 | 7.2 | -7.7 | -4.1 | 4.8 | 7.8 |
| Imports, goods and services | 7.7 | 27.9 | 11.3 | 16.0 | 1.2 | 3.6 |
| **Real GDP growth, at constant factor prices** | 1.5 | 7.6 | -2.9 | -0.9 | 4.0 | 5.7 |
| Agriculture | -20.6 | -33.3 | 28.9 | 5.0 | 3.0 | 2.0 |
| Industry | -0.1 | 12.7 | -6.3 | -3.4 | 4.6 | 7.3 |
| Services | 8.4 | 2.7 | 1.9 | 3.5 | 3.0 | 3.2 |
| **Inflation (consumer price index)** | 6.0 | 5.0 | 4.4 | 3.7 | 3.3 | 3.1 |
| **Current account balance (% of GDP)**[a] | 11.9 | 19.1 | 10.4 | -1.5 | -4.7 | -5.3 |
| **Net foreign direct investment inflow (% of GDP)**[a] | -1.3 | -0.8 | -2.3 | -2.2 | -2.2 | -2.2 |
| **Fiscal balance (% of GDP)**[a] | 4.0 | 12.7 | 0.9 | -5.6 | -8.4 | -8.7 |
| **Revenues (% of GDP)** | 35.9 | 38.9 | 41.1 | 39.3 | 37.1 | 37.0 |
| **Debt (% of GDP)**[a] | 58.0 | 39.5 | 45.5 | 50.4 | 57.3 | 62.9 |
| **Primary balance (% of GDP)**[a] | 4.4 | 13.2 | 1.8 | -4.5 | -7.0 | -7.1 |
| **GHG emissions growth (mtCO2e)** | 2.0 | -6.7 | 4.5 | 4.0 | 5.0 | 6.1 |
| **Energy related GHG emissions (% of total)** | 49.8 | 48.1 | 47.3 | 47.2 | 47.5 | 48.0 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Share of factor cost GDP.

# JORDAN

| Table 1 | 2023 |
|---|---|
| Population, million | 11.3 |
| GDP, current US$ billion | 51.0 |
| GDP per capita, current US$ | 4502.0 |
| National poverty rate[a] | 15.7 |
| School enrollment, primary (% gross)[b] | 87.6 |
| Life expectancy at birth, years[b] | 74.2 |
| Total GHG emissions (mtCO2e) | 36.7 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2017/8).
b/ Most recent WDI value (2022).

*Jordan has maintained macroeconomic stability despite regional turmoil. Growth slowed to 2.0 percent in the first quarter of 2024, while headline inflation averaged 1.7 percent over the first seven months. The fiscal deficit widened slightly due to higher interest payments and reduced tax revenue from imports and corporate income. Growth is projected to average 2.6 percent over the medium term. To reduce poverty and promote shared prosperity, Jordan needs to enhance productivity, foster investment, and encourage private sector-led and export-driven growth.*

## Key conditions and challenges

Prudent fiscal and monetary policies have allowed Jordan to maintain resilience and stability despite a volatile regional and external environment. From 1992 to 2003, Jordan's economy grew at an average annual rate of 5.1 percent, accelerating to 7.5 percent between 2004 and 2009. However, external shocks, including the collapse of oil prices, the war in Iraq, the Arab Spring, the Syrian conflict and subsequent refugee crisis, the COVID-19 pandemic, the repercussions of Russia's invasion of Ukraine, and the ongoing conflict in the Middle East, have adversely impacted the economy, leading to increased risks and logistical disruptions. These challenges, coupled with domestic constraints on investment and exports, have suppressed growth, with the economy expanding by only 2.2 percent between 2012 and 2022. In response, the government launched the Economic Modernization Vision (EMV) in 2022, aiming to improve economic performance, enhance quality of life, and strengthen government effectiveness and accountability.

Prolonged periods of low growth have adversely impacted job creation, straining the labor market where employment opportunities are scarce amid a rapidly growing population. The limited capacity of the private sector to generate jobs, combined with segmented labor markets, high levels of informality, and low labor productivity, in turn, suppresses the real income growth of households.

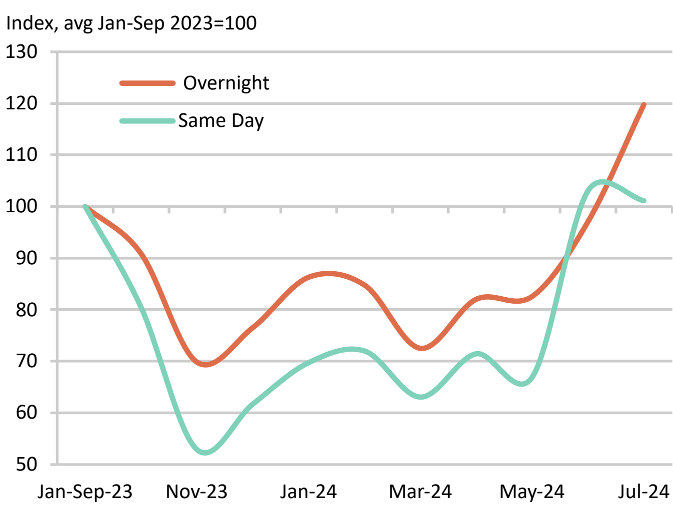
Jordan's limited natural resources, particularly water scarcity, present acute challenges, which have been exacerbated by a population that has doubled in the past 20 years including due to refugee influx. The Government of Jordan has begun implementing a multi-year plan to reduce water losses, expand water supply, and reform tariffs to address Jordan's high levels of non-revenue water losses, overconsumption, and to promote water sector efficiency and sustainability. Climate change is projected to further affect per capita water availability, leading to broader detrimental effects. The increasing frequency of natural hazards, coupled with concerns over food and energy security, underscores the urgent need to enhance domestic water, energy, and food security through key policy reforms.

According to estimates from 2017-2018, approximately one-third of Jordan's population is at risk of falling into poverty if exposed to adverse shocks. The refugee population remains particularly vulnerable, with the latest estimates from the World Bank and UNHCR indicating that the poverty rate among refugees has increased from 57 percent in 2021 to 67 percent in 2023.

## Recent developments

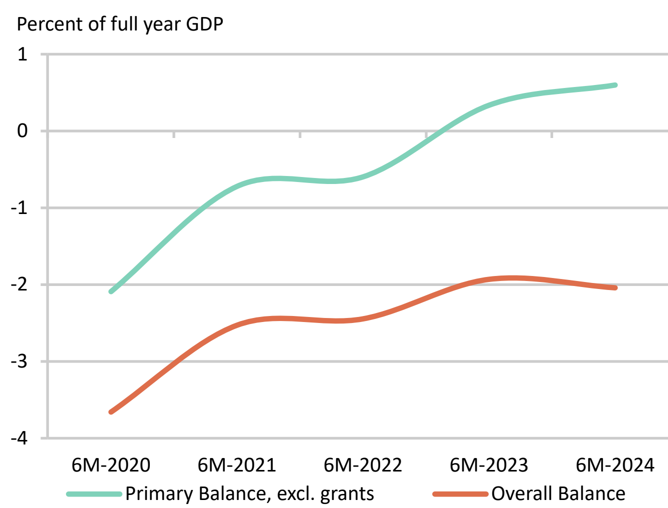
The impact on economic growth from the ongoing conflict in the Middle East has been relatively contained, with the

**FIGURE 1 Jordan** / Tourist arrivals have rebounded to pre-conflict average level




Sources: Ministry of Tourism and Antiquities and World Bank staff calculations.

**FIGURE 2 Jordan** / Fiscal consolidation slowed slightly in the first half of 2024, impacted by the conflict




Sources: Ministry of Finance and World Bank staff calculations.

economy expanding by 2.0 percent in the first quarter of 2024, down from 3.0 percent in the same quarter of 2023 and 2.3 percent in the fourth quarter of 2023. The slowdown was driven by reduced contributions from sectors more exposed to the conflict and trade disruptions in the Red Sea. Transport, communication, manufacturing, and tourism were particularly affected, with tourism experiencing a 7.2 percent annual decline in arrivals from October 2023 to July 2024. However, by July 2024, tourist arrivals recovered to pre-conflict levels, largely due to increased visitors from Gulf Cooperation Council countries.

Inflationary pressures eased in the first seven months of 2024, with headline inflation falling to 1.7 percent, from 2.7 percent in 2023. The Central Bank of Jordan maintained its policy rate at 7.25 percent, following a cumulative increase of 525 basis points since March 2022. The real effective exchange rate appreciated in the first five months of 2024, driven by the US dollar's strength.

Efforts to expand economic opportunities have shown results, albeit from a low base. The Department of Statistics reported that 34.1 percent of the working-age population was economically active in the Q1-2024, up from 33.1 percent during the same period last year. Women's labor force participation rose by almost two percentage points, from 13.7 percent to 15.5 percent, marking the first time that female participation has surpassed 15 percent since Q1-2019.

The central government's fiscal deficit widened by 10.3 percent year-on-year in the first half of 2024, driven by higher interest payments and lower tax revenues from imports and corporates income. The conflict's impact on trade through Aqaba port reduced tax collections, as the Government granted temporary exemptions on customs duties and sales taxes. However, stable primary expenditure and reduced capital spending led to the highest primary surplus (excluding grants) since 2008.

## Outlook

The economy is expected to grow by 2.4 percent in 2024, with an average growth of 2.6 percent expected over the medium term. Inflation is projected to stay contained, supported by the lagged effects of monetary policy tightening, with annual headline inflation at 2.0 percent in 2024 and 2.1 percent in 2025, stabilizing at 2.4 percent thereafter.

Fiscal consolidation is anticipated to progress, with revenue-enhancing measures and potential monetary easing bolstering domestic revenues. The primary fiscal deficit is expected to narrow in 2024, shifting to a small surplus by 2025, although the overall deficit may widen due to elevated interest payments. Persistent fiscal pressures from the water and electricity sectors are likely to keep unconsolidated general government debt elevated in the short to medium term, while consolidated debt is projected to decrease due to surpluses in the Social Security Investment Fund. The government has also committed to expanding social protection through the National Aid Fund.

The current account deficit is expected to widen in 2024, driven by reduced tourism receipts and declining international phosphates prices, but it should gradually narrow as imports are contained and foreign tourist arrivals recover. The external sector outlook remains sensitive to the ongoing Middle East conflict, posing significant risks to Jordan's economy and adding uncertainty to an otherwise broadly positive outlook.

To reduce poverty and promote shared prosperity, focus should be on developing sectors that support inclusive, private sector-driven job creation. Investing in green infrastructure is crucial for securing water and energy resources while creating employment opportunities for high- and low-skilled workers. Maintaining macroeconomic stability and effective debt management is essential for sustainable growth and resilience. Additionally, a robust safety net is necessary to protect the poorest and most vulnerable populations from potential economic shocks.

**TABLE 2 Jordan** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 3.7 | 2.6 | 2.7 | 2.4 | 2.6 | 2.6 |
| **Real GDP growth, at constant factor prices** | 3.7 | 3.0 | 2.9 | 2.4 | 2.7 | 2.7 |
| Agriculture | 6.6 | 3.9 | 5.9 | 3.8 | 2.4 | 2.4 |
| Industry | 2.7 | 4.4 | 3.5 | 3.0 | 2.5 | 2.4 |
| Services | 4.0 | 2.3 | 2.4 | 2.0 | 2.8 | 2.8 |
| **Inflation (consumer price index)** | 1.3 | 4.2 | 2.1 | 2.0 | 2.2 | 2.4 |
| **Current account balance (% of GDP)** | -8.0 | -7.8 | -3.7 | -4.8 | -4.6 | -4.3 |
| **Net foreign direct investment inflow (% of GDP)** | 1.3 | 2.6 | 1.5 | 1.4 | 1.6 | 1.9 |
| **Fiscal balance (% of GDP)[a]** | -6.2 | -5.6 | -5.1 | -5.3 | -5.0 | -4.6 |
| **Revenues (% of GDP)** | 24.7 | 25.7 | 25.3 | 25.9 | 26.2 | 26.5 |
| **Expenditures (% of GDP)[a]** | 30.9 | 31.4 | 30.4 | 31.2 | 31.2 | 31.1 |
| **Consolidated Debt (% of GDP)[b]** | 87.5 | 88.6 | 89.2 | 89.1 | 88.4 | 87.1 |
| **Unconsolidated Debt (% of GDP)[b]** | 108.8 | 111.2 | 113.8 | 113.9 | 114.9 | 115.0 |
| **Primary balance (% of GDP)[a]** | -1.9 | -1.5 | -0.4 | -0.1 | 0.4 | 0.9 |
| **GHG emissions growth (mtCO2e)** | 3.8 | 3.1 | 0.8 | 0.9 | 1.8 | 2.0 |
| **Energy related GHG emissions (% of total)** | 59.1 | 58.5 | 57.2 | 57.1 | 56.6 | 56.2 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Including the Adjustment on receivables and payables (use of cash) as per IMF Country Report No. 23/49.
b/ Consolidated debt coverage excludes the SSC's investment arm holdings. Projections indicate that SSC's financial surplus will gradually decline, turning into a deficit, causing the consolidated debt to converge to the unconsolidated debt over time.

# KUWAIT

| Table 1 | 2023 |
|---|---|
| Population, million | 4.3 |
| GDP, current US$ billion | 149.9 |
| GDP per capita, current US$ | 34770.0 |
| School enrollment, primary (% gross)[a] | 101.9 |
| Life expectancy at birth, years[a] | 80.3 |
| Total GHG emissions (mtCO2e) | 155.0 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2015); Life expectancy (2022).

*As one of the world's smallest yet richest countries, a comprehensive fiscal and economic reform is necessary to support sustainable growth and address structural challenges. With oil and gas comprising over 90 percent of exports and government revenue, Kuwait's economy is lagging in diversification and FDI attraction. A further moderation in economic activity is anticipated in 2024, with stabilization expected over the medium term. OPEC+ production cuts, weaker global conditions, and subdued domestic demand weigh on growth. Key risks to the outlook include global uncertainties, oil market volatility, and the ongoing political deliberations on critical reforms, where progress is anticipated as efforts toward resolution continue.*

## Key conditions and challenges

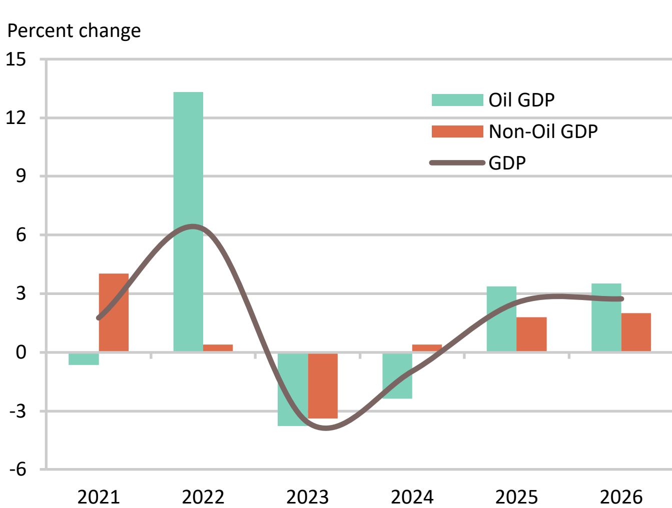
Kuwait's long-term economic outlook remains heavily reliant on hydrocarbon revenues. While the Kuwait Investment Authority's (KIA) substantial foreign assets safeguard macroeconomic stability, they are insufficient to fully mitigate the impact of global oil market volatility and the expected decline in long-term oil demand. Key challenges include the risks from fluctuating oil production and prices, potential global economic slowdown, and increasing climate-related shocks. Historically, frequent governmental changes and tensions between Kuwait's executive and legislative branches weighed on the investment environment and hindered the reform process. With the appointment of a new government in May 2024, resolving the political gridlock will be crucial for advancing economic diversification and reform efforts. Kuwait's government is navigating those challenges amid oil receipts fluctuations and increasing expenditures, with ongoing non-oil revenue generation playing a critical role. Prudent fiscal management remains crucial in navigating the uncertainties of the global economic environment, and in achieving a resilient and diversified economic structure. Environmental priorities, including water resource management and energy efficiency, are being addressed through investments in sustainable infrastructure and renewable energy. Although favorable oil receipts may provide short-term fiscal relief.

## Recent developments

Economic activity contracted moderately, with GDP declining by 2.7 percent year-on-year in Q1-2024, following a 4.4 percent contraction in the previous quarter. The oil sector has further contracted by 9.8 percent year-on-year, compared to a 6.8 percent decline in Q4-2023, largely due to OPEC+ production cuts implemented in January 2024. In contrast, the non-oil sector demonstrated a robust rebound, growing at 4.7 percent in Q1-2024 after a contraction of 2.3 percent in the previous quarter driven by recoveries in key sectors such as manufacturing, transport, and services. The S&P Global Kuwait PMI indicates improvement in non-oil private-sector activities, reaching 52.2 in Q2-2024, up from an average of 50.8 in 2023, driven by increases in output and new orders.

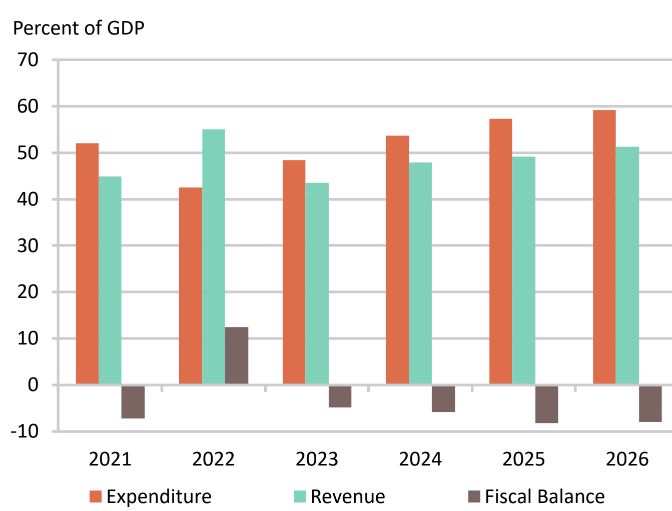
Oil revenue fluctuations also influenced the fiscal position, with the deficit reaching 1.56 billion dinars in March 2024 (12.6 percent of Q1 2024 GDP), highlighting the fiscal challenges linked to reduced oil receipts. Rising government expenditures across various sectors have also contributed to the deterioration. The reliance on oil revenues remains a key vulnerability in the fiscal framework, exposing it to external shocks. Proceeding with the introduction of a Value Added Tax (VAT), in line with GCC practices, alongside other fiscal measures, is essential to broadening

**FIGURE 1 Kuwait** / Annual real GDP growth




Sources: Kuwait CSB, IMF WEO, and World Bank staff estimates.

**FIGURE 2 Kuwait** / Public finances




Sources: World Bank and IMF WEO.
Notes: Exclude investment income and FGF transfers.

the revenue base and addressing current fiscal risks. Structural reforms, particularly in public financial management and private sector development, are crucial to reduce the dependence on hydrocarbons.

Inflationary pressures are easing to 2.8 percent In June 2024 down from 3.6 percent in 2023, reflecting the impact of tighter monetary policy. The deceleration is further supported by a slower pace of increases in food and housing prices, marking the lowest rate in the past three years.

Sound macroprudential policies and strong financial sector oversight by the Central Bank of Kuwait (CBK) have ensured continued financial stability. The CBK maintains a discount rate of 4.25 percent, ensuring financial sector stability through strong capital and liquidity buffers. Nonperforming loans remain low at 1.7 percent as of Q2 2024, reflecting sound banking sector fundamentals. Reserves remained at a comfortable level, equivalent to 4.6 months of imports as of Q1 2024.

The labor market posted a strong performance in 2023 relative to 2022: total employment increased by 9 percent, corresponding to a net addition of about 173,000 employed. The positive trends are driven by the employment of non-Kuwaiti nationals in the private sector which posted an employment growth by almost 17 percent. By contrast, Kuwaiti nationals were largely absorbed by the government sector, whereas their employment declined in the private sector, particularly among Kuwaiti women (-2.5 percent). The ILO projects a virtually stable employment-to-population ratio and unemployment rate in 2024 relative to 2023. The unemployment rate is projected at 2.1 percent overall, and at 0.9 percent among men and 5.8 percent among women. Youth are projected to face the highest unemployment rates at 9.1 percent among men ages 15-24 and 29.8 percent among their female counterparts.

The external sector continues to face pressures, with, the trade balance contracted by 12 percent year-on-year in Q1 2024. Consequently, the current account surplus continued to moderate, following its decline to 32.9 percent of GDP in the previous year. In contrast, refined fuel production is increasing, supported by the full commissioning of the Al-Zour refinery, which became fully operational in late 2023.

## Outlook

In 2024, GDP is projected to contract by 1 percent, reflecting a 2.4 percent reduction in oil production due to extended OPEC+ output cuts, with a gradual phase-out expected after September. With the gradual recovery of oil output and stable external conditions, overall GDP is projected to grow by 2.5 percent in 2025 and 2.7 percent in 2026. The non-oil sector is expected to grow by 0.4 percent, underpinned by rising domestic demand and supported by infrastructure development and (assumed implementation of) structural reforms, while risks associated with power supply disruptions remain.

Inflation is projected to further moderate to an average of 3.1 percent in 2024 helped by continued monetary policy tightening. Monetary tightening is also expected to keep credit growth subdued, while the CBK's robust regulatory framework will safeguard financial stability and ensure the persistence of financial sector resilience within evolving global monetary conditions. Inflation is expected to moderate to an average of 3.1 percent in 2024, supported by prudent monetary policy measures and moderate further to 2.7 and 2.5 percent in 2025 and 2026 respectively. Credit growth is expected to remain subdued, reflecting these policies, while the CBK's strong regulatory framework will continue to uphold financial stability and reinforce the resilience of the financial sector amid shifting global monetary conditions.

The fiscal deficit is estimated to reach 5.8 percent of GDP in 2024 and continue to widen over the medium term as current policies lead to an expansionary fiscal stance. The reliance on oil as the primary revenue source challenges fiscal predictability. Targeted policies to diversify the economic base and increase non-oil revenues are essential for strengthening fiscal resilience. Long-term fiscal stability depends on the timely and effective implementation of these reforms to mitigate risks from oil price volatility.

In 2024, the current account surplus is projected to reach 21.6 percent of GDP, primarily affected by lower oil exports and is expected to further narrow to 17.8 percent of GDP by 2026. Oil production is expected to decline through the remainder of 2024 due to the extension of OPEC+ production cuts until end-September, but a recovery is anticipated from 2025 as these cuts are gradually lifted.

**TABLE 2 Kuwait** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 1.8 | 6.3 | -3.6 | -1.0 | 2.5 | 2.7 |
| Private consumption | 3.2 | 1.8 | 1.1 | 1.8 | 2.5 | 2.4 |
| Government consumption | 2.9 | 3.9 | 1.2 | 1.5 | 2.4 | 2.5 |
| Gross fixed capital investment | 3.9 | 2.2 | 0.6 | 2.9 | 2.6 | 2.6 |
| Exports, goods and services | 2.2 | 12.0 | -3.6 | -2.5 | 2.9 | 3.0 |
| Imports, goods and services | 5.7 | 6.3 | 5.7 | 2.8 | 2.9 | 2.6 |
| **Real GDP growth, at constant factor prices** | 1.8 | 6.3 | -3.6 | -1.0 | 2.5 | 2.7 |
| Agriculture | 0.5 | 1.1 | 0.1 | 0.5 | 1.2 | 1.2 |
| Industry | 2.2 | 7.9 | 0.1 | 0.7 | 2.9 | 2.6 |
| Services | 1.4 | 4.2 | -8.8 | -3.6 | 2.1 | 3.0 |
| **Inflation (consumer price index)** | 3.4 | 4.0 | 3.6 | 3.1 | 2.7 | 2.5 |
| **Current account balance (% of GDP)** | 23.9 | 32.4 | 26.2 | 21.6 | 20.2 | 17.8 |
| **Fiscal balance (% of GDP)**[a] | -7.2 | 12.5 | -4.8 | -5.8 | -8.1 | -7.9 |
| **GHG emissions growth (mtCO2e)** | 6.4 | 3.9 | 0.4 | 3.4 | 6.2 | 6.8 |
| **Energy related GHG emissions (% of total)** | 66.7 | 66.5 | 64.8 | 64.1 | 64.3 | 64.7 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Based on fiscal year cycle (April to March 31). Fiscal balances exclude investment income and FGF transfers.

# LEBANON

| Table 1 | 2023 |
|---|---|
| Population, million | 5.8 |
| GDP, current US$ billion | 20.1 |
| GDP per capita, current US$ | 3477.7 |
| National poverty rate[a] | 27.4 |
| Gini index[a] | 31.8 |
| Life expectancy at birth, years[b] | 74.4 |
| Total GHG emissions (mtCO2e) | 23.2 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2011).
b/ Most recent WDI value (2022).

*Since October 2023, and as a direct spillover of the conflict in the Middle East, military confrontation on the southern border with Israel has been escalating, adding strain to Lebanon's crisis-ridden economy. The conflict has damaged key sectors like tourism and agriculture, caused infrastructure destruction, and triggered a consumption shock from mass displacement, driving a GDP contraction of 0.8 percent in 2023. Before the significant escalation of conflict in September 2024, real GDP was projected to contract by 1 percent in 2024. The ongoing conflict is inflicting a heavy human toll and widespread destruction, leaving its impact on Lebanon's economy severe and uncertain.*

## Key conditions and challenges

Military confrontation between Lebanon and Israel has been steadily escalating in South Lebanon since October 2023, resulting in hundreds of deaths and thousands of injuries. By August 2024, 102,523 individuals were displaced from Southern Lebanon. Tens of thousands of households in South Lebanon have lost their livelihoods, and hundreds of houses have been destroyed amid massive destruction to local infrastructure.

The conflict has introduced another shock to Lebanon's already crisis-ridden economy. While the economic contraction was anticipated to bottom out in 2023, following five years of sustained sharp contraction totaling 34 percent of real GDP, the conflict and its spillovers have had negative knock-on effects on economic growth in 2023, continuing into 2024. The primary channel of impact in 2023 and 2024 H1 has been the fall in receipts from tourism services due to a sharp decrease in tourist arrivals, the main remaining pillar of economic growth. The prolonged economic contraction undermines Lebanon's prospects for economic recovery, amidst continued institutional and political paralysis, and lack of political will for reforms.

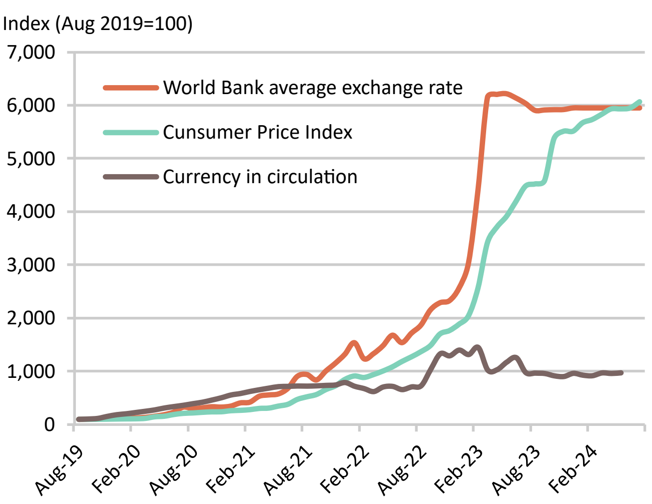
According to the 2024 Lebanon Poverty and Equity Assessment, monetary poverty among Lebanese households has tripled (from 11 percent in 2012 to 33 percent in 2022 across Akkar, Beirut, Bekaa, North Lebanon, and most of Mount Lebanon). The poverty gap—measuring how far the poor are below the poverty line—has also widened. Since 2019, rampant inflation and a depreciating currency have severely eroded purchasing power, leading to increased food insecurity and changing consumption habits. Income inequality has deepened, with wealthier households often shielded by dollarized incomes, while poorer families struggle to cope by cutting expenses, particularly on food, and relying on savings, borrowing, and external assistance.

## Recent developments

The conflict has led to a substantive shock to tourism receipts in 2023 Q4, following nine months of an upward trajectory, driving an estimated economic contraction of 0.8 percent in 2023. The conflict has caused significant destruction and internal displacement from South Lebanon and El Nabatieh governorates, which have weighed on consumption and economic activity.

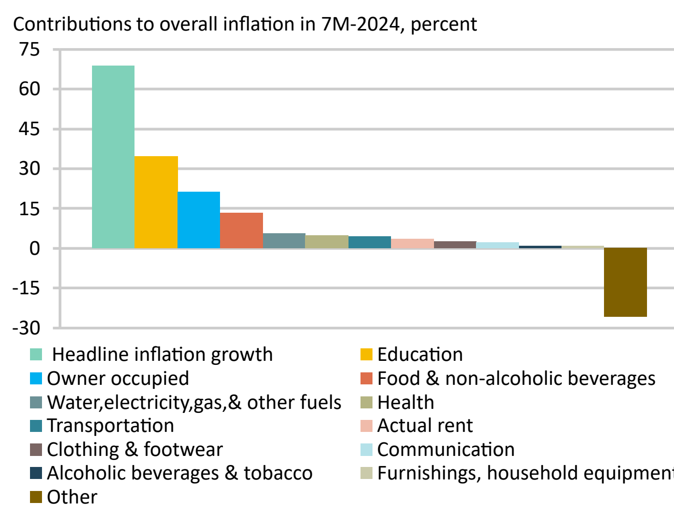
The fiscal surplus of 2023 is expected to extend into 2024. Increased revenues, resulting from the correction of exchange rate mis-valuations for customs and taxes, and expenditure restraints in part driven by the lack of a ratified budget in 2023, resulted in an estimated fiscal surplus of 0.5 percent in 2023, with revenues and expenditures at 13.7 percent and 13.2 percent of GDP, respectively. In addition, monetary financing of the budget has been halted since July 2023, further supporting the overall fiscal and primary surplus. The 2024

**FIGURE 1 Lebanon** / Exchange rate depreciation drives the surge in consumer prices




Sources: Lebanese authorities and World Bank staff calculations.

**FIGURE 2 Lebanon** / Inflation of basic items propelled overall inflation, hurting the poor and the middle class




Sources: Lebanese authorities and World Bank staff calculations.

government budget, ratified in February 2024, projected a zero fiscal balance with revenues and expenditures at 13.6 percent of GDP (based on World Bank GDP estimates for 2024). 2024 revenues are expected to exceed estimations of the ratified government budget and reach about 15 percent of GDP. This is in part due to better-than-expected tax collection rates in 2024 H1. As expenditures are expected to remain below collected revenues, a fiscal surplus (on a cash basis) of 0.2 percent is projected for 2024. However, the fiscal balance does not take into account past accumulated arrears (including overdue invoices from certain line ministries and public institutions, arrears owed to bilateral and multilateral organizations, and more recently Iraqi fuel import dues).

The Lebanese pound has been stable at 89,500 LBP/US$ since July 2023, following years of rapid depreciation. The stabilization of the exchange rate is primarily supported by higher fiscal revenue from taxes and fees in LBP cash. Increased fiscal revenues coupled with the lack of need for monetary financing of the budget, has led to a decrease in currency in circulation by 31.2 percent in 2023, easing exchange rate pressures. Furthermore, the termination of the Sayrafa platform, coupled with caps on spending by line ministries—despite such spending being below the (monthly) spending ceiling approved in the budget—and exchange rate operations of State-Owned Enterprises, curbed money supply and the demand for $US. Central bank gross reserves (liquid reserves) have increased by US$546 million in the first five months of 2024, reaching US$10.2 billion. The increase in liquid reserves has been primarily driven by the halt of the Sayrafa platform and monetary financing of the government budget since July 2023, and BdL purchases of US$ supply from foreign currency inflows.

Exchange rate stabilization since the second half of 2023 has driven a steady deceleration in monthly inflation. The acceleration of inflation to 221.3 percent in 2023, was primarily on account of the steep depreciation of the LBP in the first half of 2023. Since then, the exchange rate stabilization has led to a steady decrease in month-to-month inflation, to an average of 1.2 percent between August and December 2023 (excluding October which witnessed a six-fold increase in the education CPI component). Year-on-year inflation has also started to decelerate in 2024, registering a double-digit figure for the first time in March after recording triple-digit figures since July 2020; annualized inflation has decreased to 35.4 percent in July 2024.

Despite the ongoing economic crisis and sovereign default, Lebanon continued to post a significant current account (CA) deficit in 2023, driven primarily by a trade-in-goods deficit. Following a dramatic increase to 34.6 percent of GDP in 2022, the current account deficit slightly decreased to 28.1 percent of GDP in 2023. Although the trade-in-services balance remained positive, its contribution to reducing the current account deficit diminished due to the shock to tourism receipts in 2023 Q4. That being said, historically weak BOP data and the prevalence of a pervasive dollarized cash economy are likely to skew official estimates of hard currency inflows to Lebanon, potentially overstating the current account deficit.

## *Outlook*

In 2024, the impact of the ongoing conflict has intensified, marked by escalating military confrontation, widespread destruction, displacement, and shocks to tourism and consumption. Before the significant escalation in September 2024, real GDP was projected to contract by 1 percent. However, this escalation, which has resulted in a severe human toll, further mass displacement, and substantial physical damage, is likely to drive a significantly steeper contraction that remains difficult to assess. As more components of the CPI basket become increasingly dollarized, and assuming exchange rate stability is maintained for the remainder of 2024, inflation is projected to decline to double digits, with an expected yearly average of 45 percent.

**TABLE 2 Lebanon** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e |
|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | -7.0 | -0.6 | -0.8 | -1.0 |
| Private consumption | 2.1 | 2.3 | 0.2 | -0.6 |
| Government consumption | -76.0 | 34.9 | -18.4 | 16.6 |
| Gross fixed capital investment | -67.6 | -88.6 | 4.5 | -31.6 |
| Exports, goods and services | 13.1 | 0.3 | -1.1 | -3.7 |
| Imports, goods and services | -12.2 | 3.5 | -0.3 | -0.1 |
| **Real GDP growth, at constant factor prices** | -5.3 | -0.6 | -0.8 | -1.0 |
| Agriculture | -7.1 | -0.8 | -0.2 | -1.0 |
| Industry | -6.9 | -0.6 | 0.1 | -1.0 |
| Services | -4.9 | -0.6 | -1.0 | -1.0 |
| **Inflation (consumer price index)** | 150.0 | 171.2 | 221.3 | 45.7 |
| **Current account balance (% of GDP)** | -14.7 | -34.6 | -28.1 | -20.0 |
| **Net foreign direct investment inflow (% of GDP)** | 8.5 | 2.2 | 2.9 | 1.2 |
| **Fiscal balance (% of GDP)** | 0.9 | -2.9 | 0.5 | 0.2 |
| **Revenues (% of GDP)** | 7.5 | 6.1 | 13.7 | 15.0 |
| **Debt (% of GDP)** | 172.5 | 179.7 | 179.7 | 142.0 |
| **Primary balance (% of GDP)** | 1.8 | -2.5 | 1.4 | 0.6 |
| **GHG emissions growth (mtCO2e)** | -16.6 | -6.1 | 2.7 | -4.8 |
| **Energy related GHG emissions (% of total)** | 68.5 | 68.6 | 73.1 | 72.1 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# LIBYA

| Table 1 | 2023 |
|---|---|
| Population, million | 6.9 |
| GDP, current US$ billion | 45.1 |
| GDP per capita, current US$ | 6544.3 |
| School enrollment, primary (% gross)[a] | 106.9 |
| Life expectancy at birth, years[a] | 72.2 |
| Total GHG emissions (mtCO2e) | 99.2 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2006); Life expectancy (2022).

*Libya continues to suffer from political divisions over the transparency, control, and benefits of the oil wealth. Tensions recently escalated over the appointment of the Governor and Board of Directors for the recently unified Central Bank after efforts to prepare a single Budget stalled. A prolonged or escalated crisis could disrupt oil and gas production and exports, fuel and food import, salary payments, and the security conditions. The key medium-term challenge for Libya is to peacefully rebuild and diversify the economy.*

## Key conditions and challenges

Libya is embroiled in a political dispute over the management and governance of the Central Bank of Libya (CBL). In August 2024, the Presidential Council issued a decision to change the Governor and renew the Board of Directors which was rejected by other political forces. In response to the heightening tensions, the United Nations Mission in Libya started to mediate between the parties in the search for peaceful solution to the CBL crisis.

On top of its monetary policy functions, the CBL plays a pivotal role in the country's oil wealth and fiscal management. It receives the oil revenues from the National Oil Company and pays the salaries of civil servants in the entire territory, which is controlled by the two parallel governments, the Tripoli-based Government of National Unity and the Benghazi-based Government of National Stability. Political tensions over the transparency and sharing of the oil wealth have been common since 2021 due to the alleged misappropriation of oil revenues, large fuel imports and contraband to neighboring countries, high public spending on wages and energy subsidies, and investment spending in the Eastern part of the country financed by unauthorized printing of money. Progress was made over the past years to reunify the Benghazi and Tripoli branches of the CBL, but criticism remained over the absence of a full and well-functioning Board of Directors. Efforts to prepare a unified 2024 Budget for the entire territory stalled.

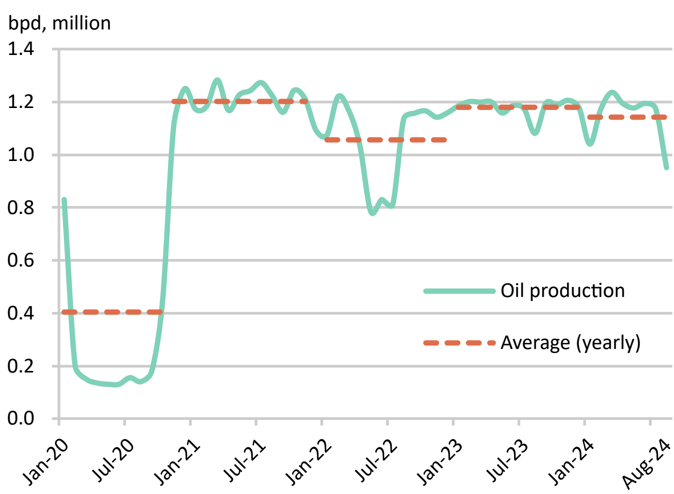
The Libyan economy is driven by the oil and gas sector and remains undiversified with a large public sector. In 2023, the oil and gas sector represented 60 percent of GDP, 94 percent of exports, and 97 percent of government revenues. The private sector is underdeveloped and employs less than 14 percent of the workforce.

Social conditions have deteriorated over the past years due to high unemployment, income disparities, and poor public infrastructure and services. The unemployment rate is estimated at 15.3 percent (National Labor Force Survey 2022) with higher rates among women and youth, estimated at 18.4 and 23.1 percent, respectively. Access to basic services, such as water, is becoming more challenging, particularly in the aftermath of the floods in Derna (2023) and Ghat and Tahala (2024), and the groundwater upsurge in Zliten.

## Recent developments

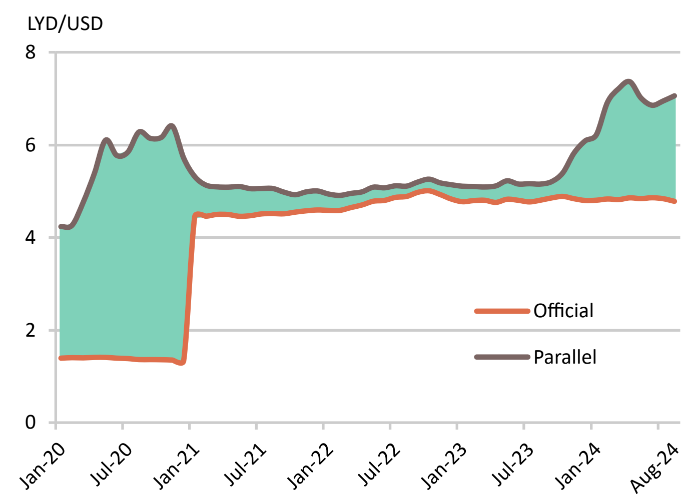
Oil production during the first seven months of 2024 hovered around the same level of the previous year or 1.2 million barrels per day (mbpd). With the closure of major oil fields announced by the East-based Government of National Stability on August 28 in the wake of the CBL crisis, oil production plummeted to 0.5 mbpd creating ripples in international oil markets. According to the National Oil Corporation, Libya

**FIGURE 1 Libya** / Crude oil production




Sources: Libyan authorities and World Bank staff calculations.

**FIGURE 2 Libya** / LYD/USD exchange rate in the official and parallel markets




Sources: Libyan authorities and World Bank staff calculations.

lost US$120 million of oil receipts during the first 3 days of the blockades.
Oil revenues were already declining prior to the CBL crisis due to lower energy prices. They reached US$10.5 billion in January-July 2024 or 5.4 percent lower than in 2023. Consequently, the fiscal surplus narrowed from 4.6 to 1.7 percent of GDP during the first seven months of 2023 and 2024 as spending also increased. According to official data, public spending increased by 9.7 percent during this period driven by higher wages and subsidies.
Although oil prices declined, the trade surplus widened during the first seven months of 2024 because Libyan firms found it more difficult to import. The trade surplus widened to 16 percent of GDP during the first five months of 2024, compared to 9 percent of GDP during the same period in 2023 due to a 12 percent contraction in imports. The latter is driven by the tighter access to foreign currencies and the implementation of foreign currency transaction fees in early March 2024. While the Libyan Dinar (LYD) was overall stable in nominal terms, the LYD to USD exchange rate gap between the official and parallel markets widened. During the first seven months of 2024, the gap averaged 43 percent compared to 7.2 percent during the same period in 2023 driven by the higher demand for foreign exchange fueled by high public spending, the reported money printing in the East to finance reconstruction projects, and higher fuel imports and contraband. The gap widened further to 53 percent during early September 2024 amid the CBL crisis.
The inflation rate, which is compiled for Tripoli region only, averaged 1.9 percent during the first seven months of 2024 compared to 2.7 percent during the same period in 2023 driven by lower food and housing prices. While not yet visible in the official data, the import financing constraints discussed above have likely increased inflationary pressures since Libya imports about 80 percent of its food consumption.

## Outlook

Assuming the opposing political forces agree to appoint a new central bank governor and a Board of Directors and end the ongoing dispute, oil production is expected to resume and average 1 mbpd for 2024. As a result, oil GDP will contract by 15 percent driving overall GDP to shrink by 10 percent during this year. Growth of non-oil GDP is expected to average 1.3 percent during the forecast period driven primarily by consumption. As oil output recovers in 2025 and 2026, GDP growth is anticipated to rebound to 12 percent in the medium term.
Using official data, inflation in Tripoli is likely to stay controlled at 2.5 percent in 2024 and 2025 assuming the CBL crisis is resolved promptly and reflecting moderating global commodity prices, as well as a generous subsidy system in Libya.
Furthermore, with the fall of oil receipts and relaxing foreign currency constraints by the CBL, both fiscal and external balances are expected to deteriorate in 2024 registering a deficit of 5.7 and 21 percent of GDP, respectively. Both balances should improve in the medium term as oil output recovers.
A prompt and effective resolution of the CBL crisis is critical for Libya's economic prospects and citizens' welfare. A prolonged or escalated crisis could disrupt the ability of institutions to manage the economy and maintain basic services such as oil and gas production and exports, fuel and food import and distribution, salary payments, and in the worst scenario, it could lead to a deterioration in the security conditions.

**TABLE 2 Libya** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 28.3 | -8.3 | 10.2 | -10.1 | 10.7 | 13.1 |
| Private consumption | -0.3 | -1.3 | 5.3 | 0.7 | 2.9 | 2.8 |
| Government consumption | -2.0 | -1.1 | 5.5 | 1.0 | 1.1 | 1.1 |
| Gross fixed capital investment | -6.9 | -1.3 | -10.7 | -23.9 | -24.9 | 16.7 |
| Exports, goods and services | 126.1 | -19.9 | 7.1 | -16.8 | 23.1 | 18.8 |
| Imports, goods and services | 46.6 | -13.9 | -16.5 | -2.4 | 2.0 | 2.0 |
| **Real GDP growth, at constant factor prices** | 30.6 | -11.8 | 11.7 | -10.1 | 10.8 | 13.0 |
| Agriculture | 6.0 | 10.0 | 6.8 | 4.0 | 6.0 | 4.0 |
| Industry | 45.0 | -17.0 | 17.8 | -13.8 | 18.0 | 15.2 |
| Services | 9.2 | -1.9 | 1.2 | -3.4 | -2.1 | 8.9 |
| **Inflation (consumer price index)** | 2.8 | 4.6 | 2.3 | 2.5 | 2.4 | 2.9 |
| **Current account balance (% of GDP)** | 16.1 | 21.2 | 3.0 | -21.8 | -5.7 | 4.8 |
| **Fiscal balance (% of GDP)** | 12.5 | 2.7 | -0.1 | -5.7 | 1.9 | 5.3 |
| **Revenues (% of GDP)** | 66.5 | 64.1 | 57.9 | 71.1 | 71.2 | 67.0 |
| **Debt (% of GDP)** | 98.3 | 74.5 | 61.0 | 90.4 | 83.2 | 64.3 |
| **Primary balance (% of GDP)** | 12.5 | 2.7 | -0.1 | -5.7 | 1.9 | 5.3 |
| **GHG emissions growth (mtCO2e)** | 51.0 | -4.9 | -4.0 | -5.6 | 4.0 | 3.9 |
| **Energy related GHG emissions (% of total)** | 38.5 | 37.3 | 36.9 | 28.8 | 30.1 | 31.6 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# MOROCCO

| Table 1 | 2023 |
|---|---|
| Population, million | 37.8 |
| GDP, current US$ billion | 144.4 |
| GDP per capita, current US$ | 3817.1 |
| National poverty rate[a] | 3.9 |
| Lower middle-income poverty rate ($3.65)[b] | 9.8 |
| Gini index[a] | 40.5 |
| School enrollment, primary (% gross)[c] | 114.2 |
| Life expectancy at birth, years[c] | 75.0 |
| Total GHG emissions (mtCO2e) | 93.0 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022).
b/ Most recent value (2013).
c/ Most recent WDI value (2022).

*Morocco weathered overall well the recent overlapping economic and climate shocks thanks to a strong macroeconomic policy framework and government response. Although a prolonged drought will decelerate the economy in 2024, non-agricultural GDP is expected to strengthen, driven by export-oriented sectors, construction, and domestic demand amid easing inflation. Ongoing reforms promise significant development gains, but additional structural changes are needed to create more good jobs in the private sector and enhance economic opportunities for youth and women.*

## Key conditions and challenges

Despite a confluence of severe shocks (the COVID-19 pandemic, a prolonged drought, a high commodity prices-led inflationary surge, and a devastating earthquake) Morocco has demonstrated remarkable economic resilience thanks to a strong macroeconomic policy framework and proactive government response.

The Moroccan authorities have also responded to this turbulent period by advancing reforms that hold the potential to set the economy on a stronger and more inclusive long-term development trajectory. In the human capital sphere, Morocco is expanding health insurance coverage, deploying a wide-ranging cash transfer program, and implementing an education reform to improve learning outcomes. On the fiscal and economic management front, the government is advancing a tax reform program to bolster domestic revenue mobilization, reducing butane gas subsidies, and implementing an SOE reform to improve their governance, competitive neutrality, and performance. On climate adaptation and mitigation, Morocco is deploying large infrastructure investments to cope with water scarcity and has committed to ambitious decarbonization targets in energy generation.

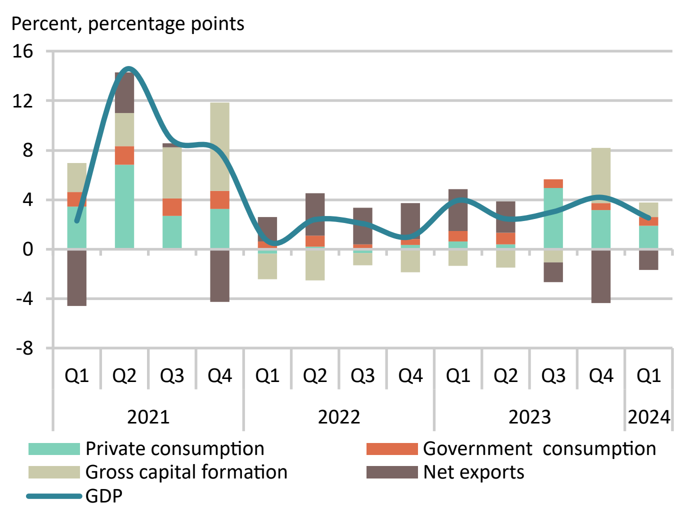
The government recently pledged to prioritize job creation in the years to come as the labor market remained weak. Reported inactivity rates have increased by over 8 percentage points over the past two decades and the unemployment rate remains 4 percentage points higher than its pre-pandemic level. Durably addressing this challenge would require a comprehensive strategy to improve the dynamism of the private sector and bolster productivity, address informality, overcome the low female labor force participation (19 percent in 2023), and raise the skills of the workforce.

## Recent developments

After expanding by 3.4 percent in 2023, real GDP growth moderated to 2.5 percent in Q1 2024 due to a 5 percent contraction of agriculture as cereal production fell by 43 percent amid the drought. At 3.5 percent, non-agricultural growth stayed more robust. Domestic demand is regaining momentum, with private consumption and gross capital formation expanding by 3 and 3.6 percent respectively in Q1 2024, facilitated by a sharp drop in annual inflation from a peak of 10.1 percent in early 2023 to 1.3 percent in July 2024. Inflation expectations have also declined, prompting the central bank to reduce the policy rate by 0.25 ppts to 2.75 percent in July.

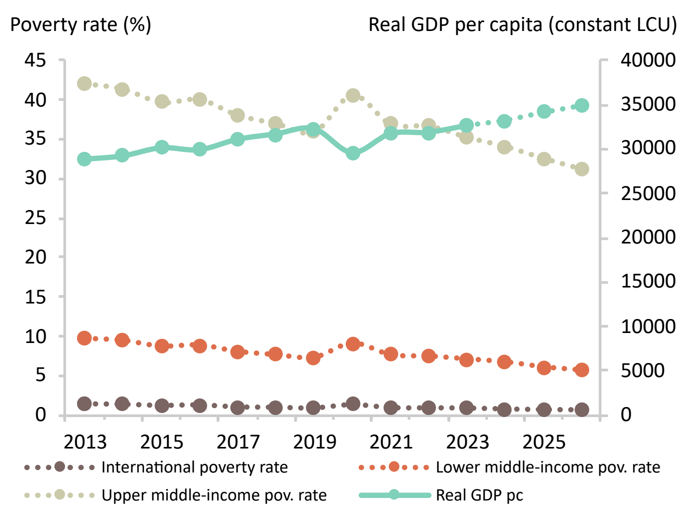
Morocco's external position continues to strengthen. The current account deficit narrowed from 3.5 to 0.6 percent of GDP in 2023 and recorded a surplus in Q1 2024 driven by lower energy prices, robust growth of phosphates and manufacturing

**FIGURE 1 Morocco** / Real GDP growth and contributions to real GDP growth




Sources: Haut Commissariat au Plan (HCP) and World Bank staff estimates.

**FIGURE 2 Morocco** / Actual and projected poverty rates and real GDP per capita




Source: World Bank. Notes: see Table 2.

exports, rebounding tourism inflows and strong remittances. After a weak 2023, net FDI flows have more than doubled in the first five months of 2024, and new large greenfield projects have been announced, especially in green hydrogen and the production of battery components for electric vehicles. The exchange rate was overall stable, and the dollar value of reserves increased by 3 percent in 2024, covering more than five months of imports.

Morocco has made gradual progress in improving its budgetary situation since the pandemic, and the fiscal deficit declined from 5.4 to 4.4 percent of GDP in 2022-2023. However, despite robust tax revenues, spending pressures have increased the budget deficit during the first seven months of 2024. The government has passed an additional budget appropriation of 0.9 percent of GDP to finance a salary increase for civil servants and support SOEs.

Recent shocks have had large welfare impacts, especially for poorer rural households. Official statistics indicate that, in 2022, poverty measured by the national line was only marginally lower than in 2014 (3.9 vs. 4.8 percent), while social and spatial welfare disparities increased. Nevertheless, the rise in per capita GDP and the fall in inflation (particularly for food) are estimated to have resulted in a modest reduction of poverty in 2023.

## Outlook

Real GDP growth is projected to decline to 2.9 percent in 2024, before accelerating to 3.9 percent in 2025. This fluctuation stems primarily from the agricultural sector, expected to contract by 4.6 percent in 2024 and rebound by 8.2 percent in 2025, assuming climatic conditions normalize. Non-agricultural growth is anticipated to moderately accelerate to 3.7 percent in 2024, driven by the strong performance of phosphates, export-oriented manufacturing, and a revitalized construction sector, supported by a new homebuyer assistance program and declining interest rates, ongoing post-earthquake reconstruction efforts, and preparation for major sport events (2025 African Cup of Nations and 2030 World Cup). Domestic demand should strengthen, as FDI and public infrastructure projects provide additional momentum for investment while private consumption continues to recover despite a temporary increase in inflation due to the butane gas subsidy reform.

The ongoing recovery of domestic demand and higher agricultural imports are expected to widen the current account deficit to 1 and 1.4 percent of GDP in 2024 and 2025, still significantly below historical averages. FDI inflows are expected to accelerate as announced greenfield projects continue to materialize. Spending pressures are expected to slow the ongoing fiscal consolidation process in 2024, but the budget deficit should fall over the medium-term, resulting in a moderate decline in the debt to GDP ratio by 2026.

Poverty is projected to continue declining in 2024-26 as the economy gains dynamism, inflation stabilizes and the government deploys the new cash transfer program, which could mitigate the impact of the drought in rural areas. However, enrollment of informal workers in the compulsory health insurance scheme is progressing slowly. As the government aims to enforce contributions to the system, some workers (particularly farmers) might be encouraged to misreport their employment status, further hindering formalization. The ability of Morocco to reduce poverty and inequality in the longer-term rests heavily on addressing the structural constraints to private sector dynamism and job creation.

**TABLE 2** **Morocco** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 8.2 | 1.5 | 3.4 | 2.9 | 3.9 | 3.4 |
| Private consumption | 6.8 | 0.0 | 3.7 | 2.6 | 3.1 | 2.8 |
| Government consumption | 7.2 | 3.0 | 4.1 | 4.5 | 4.1 | 3.6 |
| Gross fixed capital investment | 7.5 | -4.0 | 1.9 | 3.9 | 3.8 | 4.5 |
| Exports, goods and services | 7.9 | 20.5 | 8.8 | 8.7 | 7.9 | 8.3 |
| Imports, goods and services | 10.4 | 9.5 | 7.4 | 8.2 | 6.3 | 7.4 |
| **Real GDP growth, at constant factor prices** | 7.9 | 1.6 | 3.2 | 2.9 | 3.9 | 3.4 |
| Agriculture | 19.0 | -11.8 | 1.6 | -4.6 | 8.2 | 0.7 |
| Industry | 7.8 | -2.7 | 1.3 | 3.8 | 3.3 | 3.4 |
| Services | 5.7 | 6.8 | 4.4 | 3.6 | 3.4 | 3.7 |
| **Inflation (consumer price index)** | 1.4 | 6.6 | 6.1 | 1.5 | 2.7 | 2.4 |
| **Current account balance (% of GDP)** | -2.3 | -3.6 | -0.6 | -1.0 | -1.3 | -1.9 |
| **Net foreign direct investment inflow (% of GDP)** | 1.1 | 1.2 | 0.2 | 1.5 | 1.6 | 1.7 |
| **Fiscal balance (% of GDP)** | -6.0 | -5.4 | -4.4 | -4.2 | -3.8 | -3.4 |
| **Revenues (% of GDP)** | 25.3 | 28.7 | 28.3 | 28.8 | 27.0 | 26.3 |
| **Debt (% of GDP)** | 69.4 | 71.5 | 70.0 | 68.6 | 68.2 | 67.6 |
| **Primary balance (% of GDP)** | -3.7 | -3.2 | -2.3 | -2.1 | -1.7 | -1.4 |
| **International poverty rate ($2.15 in 2017 PPP)**[a,b] | 1.0 | 0.9 | 0.9 | 0.8 | 0.7 | 0.7 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)**[a,b] | 7.7 | 7.5 | 7.1 | 6.7 | 6.1 | 5.7 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)**[a,b] | 36.9 | 36.7 | 35.3 | 34.1 | 32.6 | 31.2 |
| **GHG emissions growth (mtCO2e)** | 7.8 | -0.4 | 0.3 | 2.3 | 2.5 | 2.9 |
| **Energy related GHG emissions (% of total)** | 73.5 | 73.6 | 73.5 | 74.1 | 74.6 | 75.3 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2013-ENCDM. Actual data: 2013. Nowcast: 2014-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2013) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

# OMAN

| Table 1 | 2023 |
|---|---|
| Population, million | 4.6 |
| GDP, current US$ billion | 108.8 |
| GDP per capita, current US$ | 23428.5 |
| School enrollment, primary (% gross)[a] | 90.1 |
| Life expectancy at birth, years[a] | 73.9 |
| Total GHG emissions (mtCO2e) | 114.6 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2022).

*Economic activity continues to perform well despite OPEC+ oil production cuts, driven by the expansion of nonhydrocarbon activities, notably in construction, manufacturing, and services, but fiscal revenues and exports proceeds remain tied to oil market developments. However, a commitment to economic diversification continues to shore up fiscal and external positions, keeping them in surplus over the medium term. Employment growth is driven by female employment, which is estimated to increase twice the rate observed among men. Downside risks to the outlook include oil market volatility, climate change risks, and potential spillovers from the escalating of conflict in the Middle East.*

## Key conditions and challenges

Under its Vision 2040 development plan, Oman is determined to diversify its income sources and achieve sustainable development. The expansion of nonhydrocarbon activities has helped supporting economic activity despite OPEC+ oil production cuts, notably in construction, manufacturing, and services.

The utilization of windfall savings to reduce public debt in 2023 was an important step to bring it down by almost a half of its peak of nearly 68 percent of GDP in 2020, thereby improving Oman's credit rating, but more efforts are needed to decouple fiscal revenue from oil proceeds. In January 2024, Oman Investment Authority (OIA) launched the "Future Fund Oman", worth of US$5.2 billion, to invest in a wide range of industries, attract foreign investments, and support the private sector over the next five years, mainly in tourism, manufacturing, green energy, and logistics, among other.

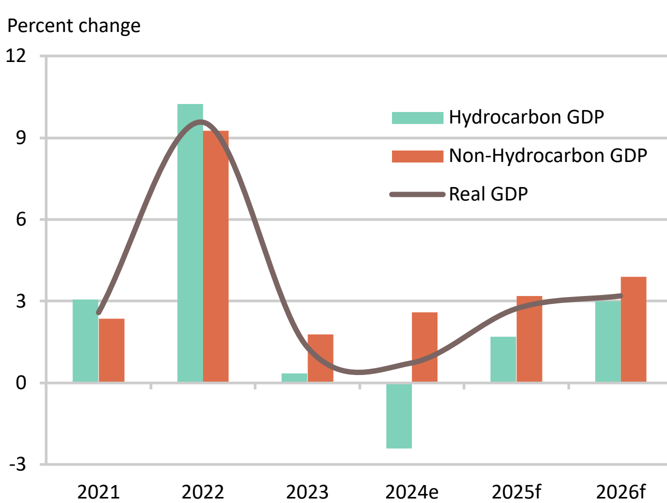
The new social protection law, which has become effective in January 2024, introduced a range of non-contributory social benefits, underscoring Oman's commitment to supporting its vulnerable population despite its increased fiscal burden. In addition, a series of new measures were announced in July 2024 to regulate the labor market and boost private-sector employment among nationals. Key measures include adding 30 new professions to the list of jobs reserved for Omani citizens and providing financial incentives to companies hiring Omanis, with potential government contributions to salaries. This is expected to help contain the public wage bill, alleviate budgetary pressures, and address the high youth unemployment challenge.

## Recent developments

Real GDP growth reached 1.7 percent y-o-y during Q1 2024 supported by non-oil activities, which grew by 4.5 percent, reflecting strong performance of agriculture, refined petroleum products, and services sector (particularly transportation and storage). However, oil activity contracted by 3.3 percent reflecting the adjustment to OPEC+ quotas. Average headline inflation slightly inched up by an average of 1.6 percent y-o-y during the first seven months of 2024, signaling higher prices of food and non-alcoholic beverages groups and miscellaneous goods and services, up by 3 and 3.2 percent y-o-y, respectively.

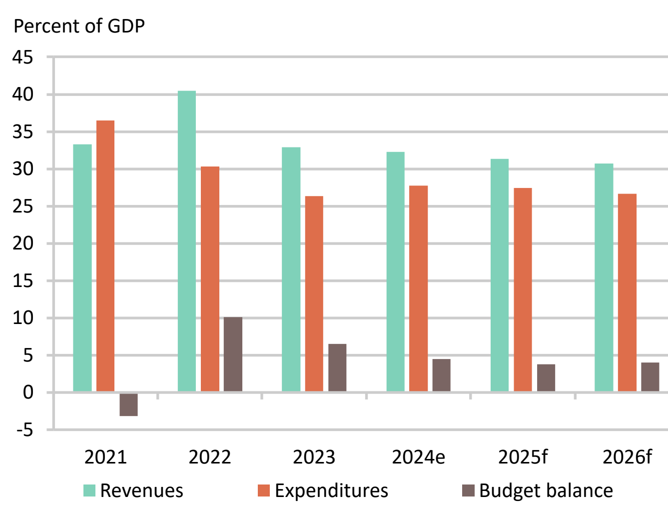
Fiscal revenues declined by 0.4 percent in July-2024 y-o-y, largely attributed to the decline in gas revenue (down by 18 percent). The latter is due to the adopted for collecting gas revenue starting from 2023. It is now reported net of the cost of gas purchase and transportation, as gas-related operations were hived off to Integrated Gas Company. This contraction in gas activity was partially offset by a 9 percent rise in oil revenues. On the other hand, public spending increased by

**FIGURE 1** **Oman** / Real annual GDP growth




Sources: Oman authorities, World Bank staff projections, and IMF projections.

**FIGURE 2** **Oman** / General government operations




Sources: Oman authorities and World Bank staff projections.

4.3 percent during the same period, reflecting a 33 percent and 46 percent y-o-y increase in development expenditures and other expenses, respectively. Accordingly, Oman's overall fiscal surplus narrowed to 0.9 percent of GDP in July-2024, down from 1.7 percent of GDP during the same period of 2023. Public debt stood at RO14.4 billion (US$37.5 billion) by end of June-2024, declining from 36.5 percent of GDP by end 2023 to 33.9 percent of GDP during the first half of 2024, and underscoring the authorities' commitment to containing public debt.

The trade balance recorded a surplus of US$9.5 billion (8.6 percent of GDP) during H1-24, as hydrocarbon and non-hydrocarbon exports increased by 5.3 and 8.1 percent y-o-y, respectively. Gross foreign assets remain sizable at US$18.2 billion by end-June 2024 (up by US$1.1 billion y-o-y). Overall, employment increased by about 2.5 percent in 2023 y-o-y, and is projected to increase at about the same rate (2.4 percent) in 2024. Past and projected employment growth is driven by female employment that is estimated to increase at twice the rate observed among men. The National Strategy for the Advancement of Omani Women aims to support women in the workforce and includes measures to promote women's education, skills training, and career development, as well as initiatives to support women entrepreneurs and business owners. The rate of job seekers is estimated at 3.1 percent in May 2024, down from 3.6 percent in May 2023. Although the rate among women ages 25-29 was the highest at 22.2 percent in May 2024, it posted a reduction of almost 4 percentage points relative to the same month of 2023.

## Outlook

Oman's economic growth is expected to decelerate in the short-term but later accelerate. More specifically, real GDP growth is projected to reach 0.7 percent in 2024, impacted by the extension of oil production cuts. Nonhydrocarbon growth will remain robust expanding at an estimated 2.6 percent on continued reforms and investment projects but remains insufficient to drive an overall acceleration in GDP growth. Growth is however expected to accelerate during 2025-26 (to 2.7 and 3.2 percent, respectively), driven by a recovery in oil and gas production as Duqm refinery reaches its full capacity, and supported by a rebound in agricultural and construction activities and a robust services sector. Inflation will remain contained at an average of 1.3 percent over 2024-26, reflecting the peg to a strong U.S. dollar, and the cap on fuel prices.

Comfortable hydrocarbon revenues, increased nonhydrocarbon revenues, and prudent fiscal discipline are expected to keep fiscal balance in surplus in the medium-term. Overall fiscal balance is expected to record a surplus of 4.5 percent of GDP in 2024, marking a decline from the previous year due to higher social spending. The fiscal surplus will remain around 4 percent of GDP during 2025-26, in line with oil prices projections. Accordingly, public debt is expected to continue its downward trajectory over the medium term with continued net repayments.

Similarly, the current account is estimated to register a surplus of 1.7 percent of GDP in 2024, mainly supported by non-hydrocarbon export revenues. It is expected to remain in surplus in 2025-26 supported by solid nonhydrocarbon exports. This will help Oman rebuild its foreign reserves and improve the country's resilience against external shocks.

Downside risks for Oman stem from the volatility of oil prices, and global energy transition which could pose significant challenges to fiscal and external balances, increase gross financing needs, and disrupt the government's reform program. The implementation of the new social protection law which includes large benefits of some programs, will entail a fiscal burden on the budget in 2024. Geopolitical risks associated with a potential escalation of the conflict in the Middle East add new uncertainties related to oil price volatility and disruptions in supply chains. On the upside, additional fiscal and diversification measures, accelerating production at the Duqm refinery project, and increased foreign direct investments from regional partners, would spur growth and strengthen fiscal and external positions.

**TABLE 2 Oman** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 2.6 | 9.6 | 1.3 | 0.7 | 2.7 | 3.2 |
| Private consumption | 1.7 | 9.0 | 2.8 | 2.4 | 3.3 | 3.1 |
| Government consumption | 5.3 | 4.0 | 1.7 | 2.1 | 2.3 | 2.1 |
| Gross fixed capital investment | -15.7 | 2.5 | 3.1 | 3.7 | 4.2 | 4.4 |
| Exports, goods and services | 12.2 | 16.5 | 1.1 | 0.7 | 3.3 | 3.0 |
| Imports, goods and services | 13.3 | 19.6 | 3.8 | 3.3 | 3.7 | 3.3 |
| **Real GDP growth, at constant factor prices** | 2.7 | 9.6 | 1.7 | 0.7 | 2.7 | 3.2 |
| Agriculture | 9.5 | -8.5 | 6.9 | -4.5 | 1.5 | 1.4 |
| Industry | 1.2 | 9.4 | 0.1 | -2.3 | 2.1 | 2.3 |
| Services | 4.2 | 10.8 | 3.4 | 4.5 | 3.5 | 4.2 |
| **Inflation (consumer price index)** | 1.7 | 2.5 | 0.9 | 1.0 | 1.4 | 1.6 |
| **Current account balance (% of GDP)** | -5.5 | 5.1 | 1.4 | 1.7 | 2.7 | 2.3 |
| **Net foreign direct investment inflow (% of GDP)** | 4.2 | 3.9 | 5.6 | 3.5 | 3.6 | 3.8 |
| **Fiscal balance (% of GDP)** | -3.2 | 10.1 | 6.6 | 4.5 | 3.8 | 4.0 |
| **Revenues (% of GDP)** | 33.3 | 40.5 | 32.9 | 32.3 | 31.3 | 30.7 |
| **Debt (% of GDP)** | 61.3 | 40.1 | 36.5 | 35.6 | 35.0 | 34.7 |
| **Primary balance (% of GDP)** | 0.0 | 12.6 | 9.1 | 7.1 | 6.4 | 6.6 |
| **GHG emissions growth (mtCO2e)** | 6.6 | 6.3 | 4.7 | 3.4 | 4.3 | 0.5 |
| **Energy related GHG emissions (% of total)** | 68.1 | 69.3 | 70.2 | 70.7 | 71.5 | 71.2 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# PALESTINIAN TERRITORIES

| Table 1 | 2023 |
|---|---|
| Population, million | 5.2 |
| GDP, current US$ billion | 17.4 |
| GDP per capita, current US$ | 3372.3 |
| National poverty rate[a] | 32.8 |
| Gini index[a] | 32.5 |
| School enrollment, primary (% gross)[b] | 91.8 |
| Life expectancy at birth, years[b] | 73.4 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2023).
b/ Most recent WDI value (2022).

*One year since the outbreak of the Middle East conflict, centered in Gaza, the Palestinian territories have experienced a historic economic decline. In Gaza, the economy has plunged into the deepest recession ever recorded for the Strip, as the conflict has led to a near complete halt of economic activity. The knock-on effects in the West Bank have been severe due to massive job losses, shrinking consumption, and a deepening fiscal crisis for the Palestinian Authority (PA). The outlook heavily hinges on the conflict's evolution and extent of movement and access restrictions imposed by Israel.*

## Key conditions and challenges

Between 2017 and 2022, the Palestinian real GDP grew by a mere 0.6 percent annually. Economic potential has been heavily curtailed by the restrictions relating to the Israeli occupation of the West Bank and a near-blockade of Gaza. According to the Government of Israel, restrictions are in place to enhance the security of Israel and its citizens. A combination of depressed aid inflows, COVID-19, low private capital attraction, incomplete reform efforts by the PA, and the divide between the West Bank and Gaza, further stifled the economy. Amid sluggish growth, high unemployment, dwindling aid, and lack of traditional economic policy instruments, the fiscal situation in the Palestinian territories has progressively deteriorated.

The conflict has worsened income per capita disparities across the territories. In 2023, GDP per capita in Gaza was US$1,087–a fifth of the West Bank's at US$5,081. Recent World Bank data show an 11 percent drop in the Palestinian Gross National Income (GNI) per capita in 2023, which shifted the territories' income classification from higher-middle income status–prior to the conflict–to lower-middle income. Poverty has followed a similar trend as according to the national household survey from 2016/17, almost half of the Gaza population lived below the upper-middle income poverty line ($6.85 2017 PPP a day), compared to less than 10 percent in the West Bank.

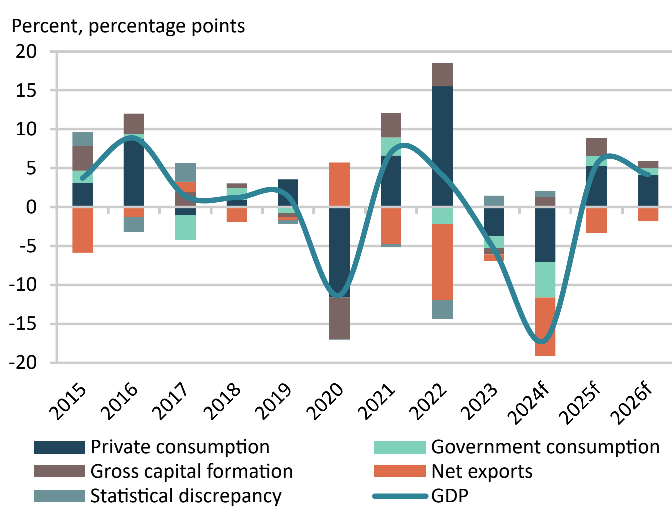
## Recent developments

Since the conflict's outbreak, the Palestinian economy has dramatically plummeted. According to the Palestinian Central Bureau of Statistics (PCBS), after a 29 percent year-on-year (y-o-y) contraction in Q4 of 2023, the territories registered their largest decline on record in Q1 of 2024, with real GDP declining by 35 percent.

In Gaza, an almost complete halt to economic activity is reflected in a staggering 86 percent GDP drop in Q1 2024. Consequently, the share of the Strip's economy in the Palestinian economy has fallen from 17 percent (prior to the conflict) to less than 5 percent currently. In parallel, the shock in the West Bank was largely triggered by tighter restrictions on movement within cities and denied access for Palestinian commuters to the Israeli labor market and more recently an Israeli military operation in the North of the West Bank. This, coupled with increased withholdings by Israel on clearance revenues payable to the PA, escalated an already dire fiscal crisis, and contributed to causing a 25 percent GDP contraction in the West Bank in Q1 2024 (y-o-y).

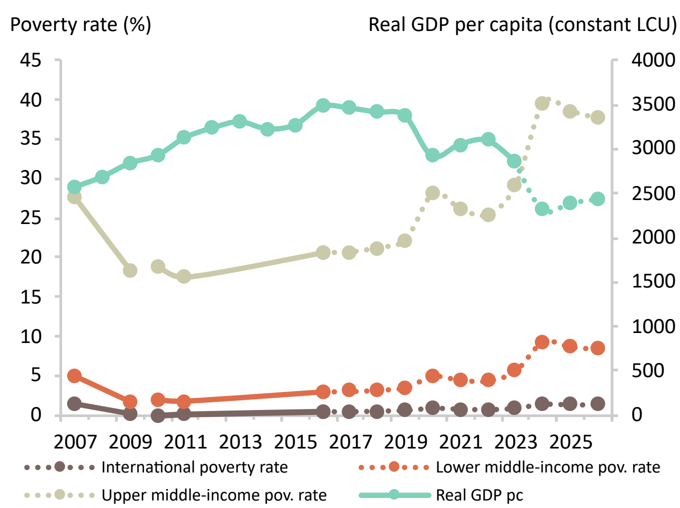
In August 2024, prices in Gaza almost stabilized with the consumer price inflation (CPI) increasing by 2.0 percent only,

**FIGURE 1 Palestinian territories** / Real GDP growth and contributions to real GDP growth




Sources: Palestinian Central Bureau of Statistics and World Bank estimates.

**FIGURE 2 Palestinian territories** / Actual and projected poverty rates and real GDP per capita




Source: World Bank. Notes: see Table 2.

month-on-month, due to larger aid provisions. But, on a yearly basis, it soared by 248 percent, reflecting major supply chain disruptions. In the context of widespread essential goods shortages, most Gazan households have experienced a massive crunch in their purchasing ability, regardless of their financial means. In the West Bank, price trends continue to be relatively stable, with the CPI for August 2024 being only 1.6 percent higher than the previous month.

The PA's fiscal crises escalated in 2024, as Israel increased deductions from revenues that are payable to the PA (clearance revenues), which represent the PA's main source of income. Since October 2023, these transfers have roughly halved, and were fully halted for a couple of months in mid-2024 until being resumed on June 30, 2024. This, on top of the natural decline in revenues given the economic contraction and the low levels of aid, forced the PA to further delay and reduce salary payments to an average of 60-70 percent, since October 2023. Official data by the PA Ministry of Finance (MoF) for the first six months of 2024 indicate that their financing need, after aid and considering clearance revenue deductions, reached US$803 million. This gap was mostly filled with borrowing from domestic banks and arrears to the private sector, public employees, and the pension fund. On the upside, various development partners–especially the EU and the World Bank–recently signaled large increases in financial aid flows, over the short term, which could help cover a portion of the fiscal deficit.

The ongoing conflict in Gaza and the economic contraction in the West Bank have had a severe impact on an already weak labor market. Based on a recent report by the PCBS and the International Labor Organization (ILO), it is estimated that unemployment in the Palestinian territories exceeded 50 percent in June 2024–the highest on record. In Gaza, unemployment soared to 79 percent, while in the West Bank it was estimated at 35 percent due to the abrupt loss of commuters' jobs in Israel and the settlements as well as job losses in the local economy.

The sharp contraction of GDP per capita will result in a rapid increase in the poverty rate. The national poverty rate at the international line of $6.85 a day is estimated to have stood at around 25.5 percent in 2022. The conflict pushed this up to almost 30 percent in 2023, with the expectation that this will have increased further to around 35.5 percent in 2024–by far the highest it has been in at least 20 years.

## Outlook

Fixed asset losses will limit economic activity in Gaza at least for the medium term. Workers' mobility within the West Bank and to the Israeli market will largely shape growth outcomes in the West Bank. The Palestinian economy is expected to contract by 17 percent in 2024. Assuming that reconstruction efforts start in 2025, growth should start its rebound, while GDP levels are not anticipated to recover to the pre-conflict baseline any time soon. Consequently, the poverty rate is expected to remain high, exceeding 30 percent, in the outlook. On the fiscal front, an increase in clearance revenue transfers to pre-conflict levels is assumed, as well as a gradual uptick in domestically managed taxes, reflecting rebounding economic activity. This will drive revenues up, improving the fiscal deficit over the medium term. However, these assumptions are subject to extreme uncertainty.

Downside risks remain elevated. The severity of the economic contraction will hinge on the evolution of the conflict and the resolution of the clearance revenues dispute. Absent a cessation of the hostilities and a substantial increase in external aid, the risks of disorderly fiscal adjustments cannot be excluded.

**TABLE 2 Palestinian territories** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 7.0 | 4.1 | -5.4 | -17.1 | 5.5 | 4.2 |
| Private consumption | 7.5 | 17.7 | -3.8 | -7.0 | 4.6 | 3.7 |
| Government consumption | 10.3 | -9.3 | -7.0 | -22.4 | 6.5 | 4.3 |
| Gross fixed capital investment | 13.7 | 12.2 | -3.4 | 5.0 | 7.0 | 2.7 |
| Exports, goods and services | 17.3 | 5.9 | 5.7 | 4.6 | 5.0 | 2.7 |
| Imports, goods and services | 14.8 | 19.7 | 3.0 | 12.4 | 5.0 | 2.7 |
| **Real GDP growth, at constant factor prices** | 6.2 | 1.4 | -6.0 | -17.1 | 5.5 | 4.2 |
| Agriculture | -0.7 | -5.6 | -11.5 | -15.0 | 7.0 | 8.0 |
| Industry | 4.5 | 3.5 | -8.6 | -13.0 | 2.8 | 2.7 |
| Services | 7.5 | 1.6 | -4.7 | -18.4 | 6.1 | 4.2 |
| **Inflation (consumer price index)** | 1.2 | 3.7 | 5.9 | 35.8 | 2.5 | 2.2 |
| **Current account balance (% of GDP)** | -9.8 | -10.6 | -16.6 | -18.1 | -17.9 | -16.7 |
| **Net foreign direct investment inflow (% of GDP)** | 1.6 | 2.0 | 0.6 | -1.5 | -1.2 | -1.2 |
| **Fiscal balance (% of GDP)** | -5.8 | -1.8 | -3.9 | -12.0 | -8.7 | -8.5 |
| **Revenues (% of GDP)** | 25.0 | 27.2 | 26.9 | 17.9 | 21.2 | 21.5 |
| **Debt (% of GDP)** | 56.0 | 53.1 | 58.4 | 68.8 | 72.7 | 76.9 |
| **Primary balance (% of GDP)** | -5.1 | -1.1 | -3.3 | -11.2 | -7.9 | -7.6 |
| **International poverty rate ($2.15 in 2017 PPP)[a,b]** | 0.8 | 0.8 | 1.0 | 1.5 | 1.4 | 1.4 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]** | 4.5 | 4.5 | 5.7 | 9.4 | 8.8 | 8.5 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]** | 26.1 | 25.4 | 29.1 | 39.6 | 38.6 | 37.7 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2016-PECS. Actual data: 2016. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2016) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

# QATAR

| Table 1 | 2023 |
|---|---|
| Population, million | 3.1 |
| GDP, current US$ billion | 213.0 |
| GDP per capita, current US$ | 69542.5 |
| School enrollment, primary (% gross)[a] | 102.1 |
| Life expectancy at birth, years[a] | 81.6 |
| Total GHG emissions (mtCO2e) | 125.4 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2020); Life expectancy (2022).

*Qatar's non-hydrocarbons sector continues to spearhead diversification efforts, bolstered by the implementation of the Third National Development Strategy (NDS3) and the promotion of services, including tourism and knowledge-based sectors. Nevertheless, economic growth is expected to be modest in 2024-25, affected by the hydrocarbon output that is expected to remain stagnant until a significant liquefied natural gas (LNG) expansion in 2026. External and fiscal surpluses are projected to persist in the medium term, supported by the North Field LNG expansion. Key challenges emanate from the escalating geopolitical tensions and volatile energy prices.*

## Key conditions and challenges

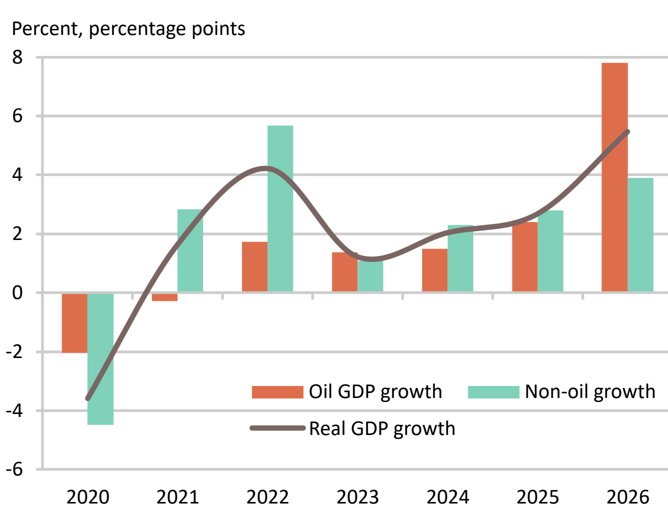
A rapidly expanding non-hydrocarbons sector underscores Qatar's commitment to long-term economic diversification, supported by the Third National Development Strategy (NDS3) launched in January 2024 to accelerate progress toward Qatar National Vision 2030. Tourism plays a pivotal role in this diversification, with a rapid annual increase in visitor numbers. Additionally, Qatar is prioritizing the information technology sector, targeting a 50 percent growth by 2024, supported by near-comprehensive broadband and 5G coverage. The imminent launch of the National Health Strategy 2024-2030 will further reinforce the goals of NDS3. The Qatar Investment Authority (QIA), the world's eighth-largest sovereign wealth fund, is expanding investments in technology, healthcare, aerospace, and energy transition while shifting focus to India, China, and Southeast Asia, driven by Asia's strong growth projections for 2024.

However, challenges persist, including volatile hydrocarbon prices, geopolitical tensions, and risks associated with growing reliance on China as a principal trade partner, which could expose Qatar to economic disruptions if China's economy weakens.

## Recent developments

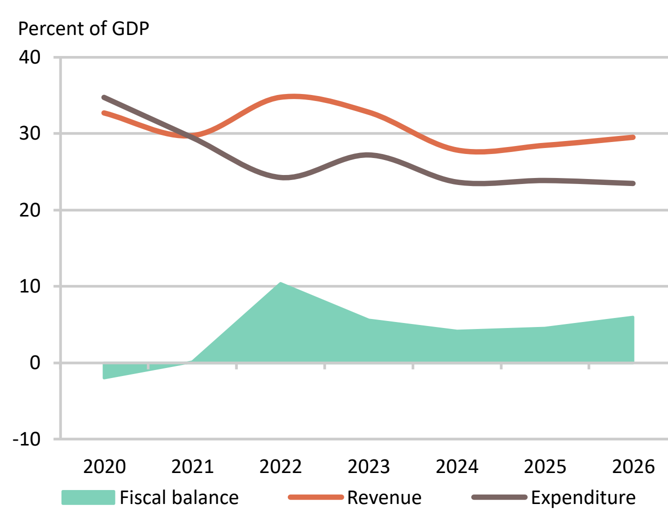
Economic growth in Qatar has remained muted following the fading impact of the 2022 FIFA World Cup, with a 1.2 percent increase in 2023. The hydrocarbon sector expanded by 1.4 percent, while the non-hydrocarbon sector grew by 1.1 percent, with notable gains in transportation, accommodation, and food services, highlighting the lasting benefits of the World Cup on tourism. High-frequency data indicates a strong start for non-hydrocarbon activities in 2024, with the PMI reaching 55.9 in June—the highest since July 2022—underpinned by a thriving tourism sector. Bolstered by the AFC Asian Cup, visitor numbers surged by 28 percent in the first half of 2024, reaching 2.6 million in H1-2024. A simplified visa regime and diverse offerings also contributed to Qatar's record-high tourist numbers. Additionally, Qatar has expressed its intention to bid for the 2036 Summer Olympic Games, reinforcing its global sporting ambitions. In the hydrocarbon sector, despite global challenges in the natural gas market due to disruptions from shipping attacks in the Red Sea and the ongoing Russia-Ukraine conflict, Qatar's LNG production expansion is expected to yield long-term benefits. Qatar has secured offtake agreements with firms in Germany, France, and Italy, with several contracts extending to mid-century. Additionally, Qatar is forging new trade relations with growth markets in East and South Asia, exemplified by two new 10-year naphtha supply agreements with

**FIGURE 1 Qatar** / Annual real GDP growth




Source: World Bank.

**FIGURE 2 Qatar** / Fiscal balance




Source: World Bank.

Japan and India signed in June 2024. Inflation has decelerated to 1.5 percent in H1-2024, the lowest since 2020, supported by government subsidies, the delayed impact of past interest rate hikes, and lower global food prices.

Lower global LNG prices resulted in a shrinking fiscal surplus as oil and gas revenue dropped by 15 percent y-o-y in H1-2024, coupled with lower non-oil receipts. However, the large influx of tourists continues to boost services export revenues, resulting in a slightly wider current account balance from US$7 billion in Q4 2023 to US$9.4 billion in Q1 2024. International reserves and foreign currency liquidity remain robust, reaching QAR 252.3 billion (US$69.3 billion) in August 2024—covering 15.5 months of imports and growing by 4 percent compared to August 2023.

Key labor market indicators remained stable in 2023 relative to 2022: the unemployment rate was stable at 0.13 percent and the employment-to-population ratio at 88.7 percent with modest improvement among both men and women (ILO). In 2024, total employment is projected to increase by 1 percent relative to 2023 on average, with the largest growth expected to take place among women (2.4 percent compared with 0.8 percent among men). The total number of unemployed is also expected to rise by 4.5 percent in 2024 and to reach 0.134 percent as a share of the labor force. The overall increase is ascribable to the dynamic projected for women that will further contribute to widen the gender gap, particularly among the youth.

## *Outlook*

Economic growth in Qatar is expected to be subdued in 2024-25 as output in the hydrocarbons sector remains flat ahead of a planned major (85 percent) expansion in LNG production by 2026. This expansion is set to reestablish Qatar as the world's leading LNG producer, making the energy sector a key long-term growth driver. Real GDP growth in Qatar is expected to strengthen slightly, to an average of 2.4 percent in 2024-25, until it jumps to 5.5 percent in 2026, primarily on account of the increased gas capacity. Non-hydrocarbon growth is projected to stay strong at 2.3 percent in 2024, supported by new infrastructure projects, an expanding manufacturing sector, and a rapidly growing tourism industry. The hydrocarbon sector is expected to remain at 1.5 percent in 2024 due to capacity constraints, but a significant boost is anticipated between Q4 2025 and 2027 with the North Field expansion. Inflation is expected to remain stable at around 1.6 percent in 2024-25, contained by generous fuel and food subsidies, cheaper imports, and monetary tightening.

Despite further moderation in global energy prices, Qatar's fiscal and current account balances are expected to remain in surplus over the coming years. The fiscal surplus is projected to narrow to 4.4 percent of GDP in 2024-25, influenced by capacity constraints in LNG production and declining energy prices. The long-delayed implementation of value-added tax (VAT), anticipated in 2025, can help mitigate some reductions in hydrocarbon revenues and support fiscal stability. Similarly, the current account surplus is expected to narrow in the short to medium term but should remain robust at 14.5 percent in 2024, buoyed by strong energy and services (tourism) exports.

**TABLE 2 Qatar** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 1.6 | 4.2 | 1.2 | 2.0 | 2.7 | 5.5 |
| Private consumption | 3.4 | 5.2 | 1.8 | 3.5 | 3.5 | 4.3 |
| Government consumption | 2.8 | 4.1 | 1.2 | 1.2 | 1.8 | 2.3 |
| Gross fixed capital investment | 2.3 | 3.1 | 1.4 | 2.2 | 2.1 | 2.4 |
| Exports, goods and services | 2.4 | 4.7 | 2.0 | 2.7 | 3.6 | 7.2 |
| Imports, goods and services | 4.7 | 6.5 | 4.1 | 4.7 | 3.9 | 3.8 |
| **Real GDP growth, at constant factor prices** | 1.6 | 4.2 | 1.2 | 2.0 | 2.7 | 5.5 |
| Agriculture | 0.5 | 6.7 | 1.5 | 2.1 | 2.4 | 2.9 |
| Industry | 0.7 | 4.2 | 1.2 | 2.0 | 3.3 | 7.0 |
| Services | 3.5 | 4.1 | 1.3 | 2.0 | 1.3 | 2.4 |
| **Inflation (consumer price index)** | 2.3 | 5.0 | 3.1 | 1.3 | 1.9 | 1.9 |
| **Current account balance (% of GDP)** | 14.6 | 26.8 | 17.1 | 14.5 | 14.1 | 15.5 |
| **Net foreign direct investment inflow (% of GDP)** | -0.7 | -1.0 | -0.1 | -0.7 | -0.6 | -0.5 |
| **Fiscal balance (% of GDP)** | 0.2 | 10.4 | 5.6 | 4.2 | 4.6 | 6.0 |
| **Revenues (% of GDP)** | 29.7 | 34.7 | 32.8 | 27.8 | 28.5 | 29.5 |
| **Debt (% of GDP)** | 58.6 | 42.5 | 44.2 | 37.1 | 35.7 | 32.2 |
| **Primary balance (% of GDP)** | 1.5 | 11.7 | 6.9 | 5.3 | 5.7 | 7.1 |
| **GHG emissions growth (mtCO2e)** | 1.4 | 3.3 | 0.9 | 1.9 | 2.2 | 4.0 |
| **Energy related GHG emissions (% of total)** | 71.1 | 71.9 | 72.1 | 72.6 | 73.2 | 74.3 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# SAUDI ARABIA

| Table 1 | 2023 |
|---|---|
| Population, million | 36.9 |
| GDP, current US$ billion | 1069.0 |
| GDP per capita, current US$ | 28934.7 |
| School enrollment, primary (% gross)[a] | 102.7 |
| Life expectancy at birth, years[a] | 77.9 |
| Total GHG emissions (mtCO2e) | 790.4 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2022).

*Economic growth continues to be suppressed by the extended oil output cuts but is projected to gradually pick up in FY2025 given a likely increase in oil production starting in 2025. The non-oil sector is estimated to grow at a stable rate. The fiscal, monetary, and external sectors are healthy with low fiscal deficit and inflation, and a current account surplus. Geopolitical uncertainty (and the impact on oil demand and prices), lack of productivity growth, and fiscal risks of domestically financed megaprojects are the main downside risks.*

## Key conditions and challenges

Saudi Arabia is implementing a bold economic diversification agenda of Vision 2030 to reduce its dependence on oil. As a result, the share of non-oil activities in GDP has increased from around 65 to 67 percent between 2016 and 2023. However, this improvement has been partly driven by reduced oil production rather than exceptional non-oil growth. Since 2016, the oil sector has not grown on average while the non-oil sector grew by an average of 2.2 percent.

Three key challenges can impede the country's goals of economic diversification. First, Saudi Arabia witnessed a decline in economic productivity levels in recent years, implying a decline in the efficiency of using factors of production (labor and capital) for production. Since 2016, Total Factor Productivity has declined by 1.6 per annum on average. Firm-level data from the World Bank Enterprise Survey reveals even larger productivity gaps, underscoring a substantial drag on growth.

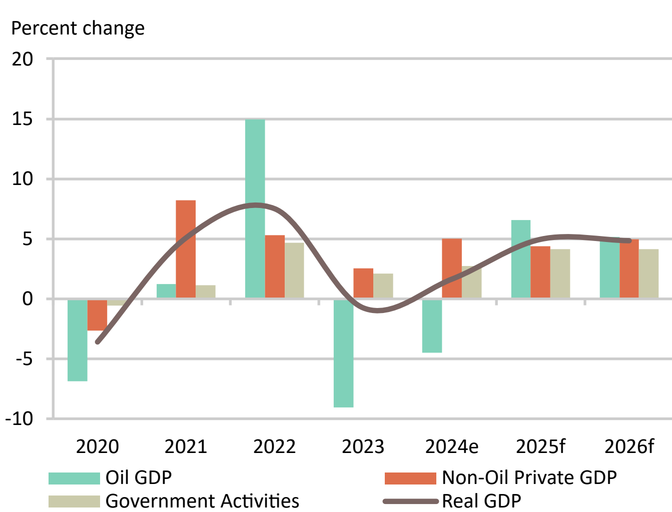
Second, the economic diversification agenda relies heavily on domestic financing through its US$925 billion Sovereign Wealth Fund (SWF)—the Public Investment Fund (PIF)—which has seen a sharp increase in domestic investments from 67 to 76 percent of total assets between 2022 and 2023. While utilizing the PIF to finance development helps offsetting the weak foreign direct investment (FDI) inflows, it introduces fiscal risks in the form of (i) undermining the SWF core macro-stabilization function, and (ii) a potential misallocation of capital towards projects that may not yield an adequate risk-adjusted return on investment. Finally, the uncertain regional context with the conflict in the Middle East, carries a risk of spillover into a broader regional conflict. While a broader conflict could drive up oil prices and generate fiscal windfalls, a negative impact could materialize through other channels including a likely increase in logistics costs, economic downturn in trading partners, and deterred foreign investment.

## Recent developments

Economic activity contracted in real terms by 0.4 percent (y/y) in Q2-2024, driven by a contraction of the oil sector by 8.5 percent. Oil production averaged at 8.9 million bpd during January-July, driving down overall growth forecasts. Conversely, and a testament to the diversification efforts undertaken over the past few years, the non-oil private sector experienced strong growth of 4.4 percent (y/y), driven primarily by a robust service sector growth (+5 percent). The wholesale, restaurant, and hotel sector led with 5.9 percent (y/y) growth, reflecting robust tourism, followed by the transport and communication sector at 4.9 percent (y/y).

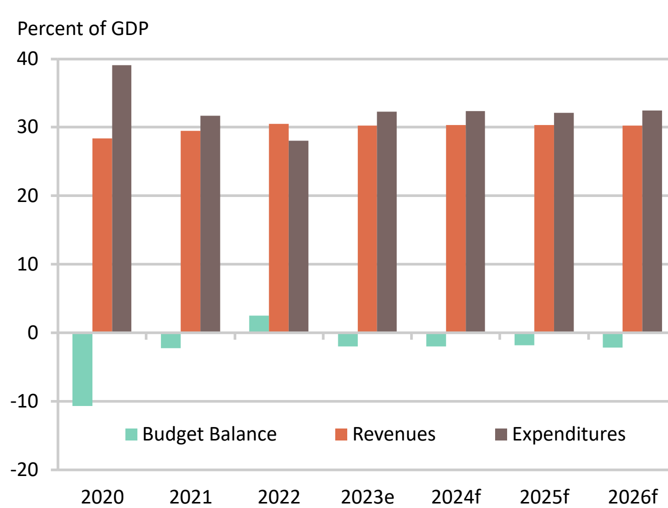
On the fiscal side, ample fiscal buffers exist despite a widening deficit during Q1 and Q2-2024, respectively. The deficit

**FIGURE 1 Saudi Arabia** / Annual real GDP growth




Sources: GASTAT Saudi Arabia and World Bank staff estimates.

**FIGURE 2 Saudi Arabia** / Central government operations




Source: World Bank.

expansion is primarily due to increased government spending, with municipal services seeing the largest rise at 116 percent in H1 2024, driven by Saudi Arabia's enhanced financial support for local services and infrastructure. Public administration followed with a 30 percent increase in spending.

On the monetary side, CPI inflation remains contained at 1.5 percent in July 2024 (down from 2.5 percent in 2022), supported by the local currency peg to the U.S. dollar and despite large public spending. However, while overall inflation is subdued, the housing sector witnessed much higher inflation at 9.3 percent in July. The food and beverage sector recorded a modest increase of 0.4 percent, and the transport sector experienced the largest deflation, at 3.5 percent.

The trade balance deteriorated owing to investment-driven increases in imports. This, in addition to lower proceeds and heightened volatility in oil exports resulted in a narrower current account surplus of 2.8 percent of GDP in Q1-2024, down from 5.6 percent of GDP in Q1-2023.

Labor market outcomes remain stable but mixed, with a decline in both the unemployment rate and the labor force participation rate. The unemployment rate declined to 3.5 percent in Q1-2024 (relative to 4.2 percent in Q1-2023). The overall labor force participation rate declined to 66 percent in Q1-2024, down from 66.9 percent in Q1-2023, with the decline largely ascribable to non-Saudi women. The decline among non-Saudi women is also explaining the lower employment-to-population ratio between Q1-2023 and Q1-2024, while the ratio among Saudi women increased to 30.7 percent (+1 percentage point) over the same period. The number of Saudis working in the private sector in Q1-2024 is estimated at 2.3 million up from 2.2 million in Q1-2023, while employment of non-Saudi nationals increased to 8.5 million relative to 7.7 million a year before.

## Outlook

GDP growth forecast for 2024 has been revised downward to 1.6 percent due to lower-than-expected oil production but is still an improvement from the contraction of 0.8 percent in 2023. Growth is expected to rebound to an average of 4.9 percent in 2025-2026 as oil production increases. The oil production quota is expected to increase from the current cap of 8.9 million bpd to 9.98 million bpd during 2025 as announced by OPEC+. This is forecast to boost oil GDP growth by 6.6 and 5.1 percent for 2025 and 2026 respectively, reversing an estimated contraction of 4.5 percent in 2024.

The non-oil sector is estimated to maintain steady growth in the coming years. The services sector, critical to Saudi Arabia's economic diversification agenda, is expected to grow at a stable average rate of 5.8 percent in 2024-2026. The anticipated increase in oil production is also expected to strengthen the external sector in 2025-2026. The current account surplus is projected to increase from 3.0 percent of GDP in 2024 to 4.8 and 6.7 percent of GDP in 2025 and 2026, respectively. The fiscal and monetary sectors are estimated to stay stable over the next two years, assuming no significant external shocks. The planned increase in oil production in 2025-26 is likely to keep the fiscal deficit within reasonable bounds between -1.8 and -2.2 percent of GDP and a low average debt-to-GDP ratio of 28.1 percent over the period. Inflation is also projected to remain stable in the coming years.

**TABLE 2 Saudi Arabia** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 5.1 | 7.5 | -0.8 | 1.6 | 4.9 | 4.8 |
| Private consumption | 9.5 | 4.9 | 5.3 | 3.3 | 3.0 | 3.1 |
| Government consumption | 0.8 | 9.3 | 5.7 | 0.7 | 4.9 | 3.5 |
| Gross fixed capital investment | 10.5 | 21.3 | 5.3 | 5.0 | 5.0 | 5.0 |
| Exports, goods and services | 5.6 | 20.5 | -6.5 | -3.8 | 7.0 | 6.7 |
| Imports, goods and services | 8.3 | 12.4 | 9.9 | 4.3 | 5.0 | 4.0 |
| **Real GDP growth, at constant factor prices** | 4.6 | 8.2 | -1.4 | 1.7 | 5.0 | 4.9 |
| Agriculture | 2.2 | 4.0 | 4.1 | 2.0 | 2.0 | 2.0 |
| Industry | 1.7 | 12.4 | -6.0 | -2.3 | 3.7 | 3.5 |
| Services | 7.6 | 4.5 | 2.9 | 5.3 | 6.1 | 6.1 |
| **Inflation (consumer price index)** | 3.1 | 2.5 | 2.3 | 2.1 | 2.3 | 2.2 |
| **Current account balance (% of GDP)** | 4.8 | 13.7 | 4.0 | 3.0 | 4.8 | 6.7 |
| **Net foreign direct investment inflow (% of GDP)** | -0.2 | 0.1 | -1.2 | -1.1 | -1.1 | -1.1 |
| **Fiscal balance (% of GDP)** | -2.2 | 2.5 | -2.0 | -2.0 | -1.8 | -2.2 |
| **Revenues (% of GDP)** | 29.5 | 30.5 | 30.2 | 30.3 | 30.3 | 30.2 |
| **Debt (% of GDP)** | 26.9 | 23.8 | 26.2 | 27.7 | 27.6 | 29.1 |
| **Primary balance (% of GDP)** | -1.4 | 3.2 | -1.1 | -1.1 | -0.9 | -1.2 |
| **GHG emissions growth (mtCO2e)** | 3.1 | 3.6 | 4.4 | -1.7 | 0.2 | 3.2 |
| **Energy related GHG emissions (% of total)** | 68.6 | 68.5 | 68.6 | 66.8 | 65.4 | 65.1 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

# SYRIAN ARAB REPUBLIC

| Table 1 | 2023 |
|---|---|
| Population, million | 23.2 |
| GDP, current US$ billion | 17.5 |
| GDP per capita, current US$ | 753.6 |
| International poverty rate ($2.15)[a] | 24.8 |
| Lower middle-income poverty rate ($3.65)[a] | 67.0 |
| School enrollment, primary (% gross)[b] | 79.6 |
| Life expectancy at birth, years[b] | 72.3 |
| Total GHG emissions (mtCO2e) | 48.6 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022), 2017 PPPs.
b/ Most recent WDI value (2022).

*Macroeconomic conditions in Syria have worsened further due to prolonged armed conflict, low crop production, soaring food prices, and diminished humanitarian aid and fiscal subsidies. Subject to extraordinarily high uncertainty, real GDP is projected to contract by 1.5 percent in 2024 and 1.0 percent in 2025, extending the 1.2 percent decline in 2023. Consistent with a continued decline in per-capita GDP, extreme poverty is forecast to increase to 28.8 percent in 2023, 33.1 percent in 2024 and 37.4 percent in 2025.*

## Key conditions and challenges

The Syrian Conflict continues to be the deadliest conflict of this century. Between 2011 and 2023, Uppsala Conflict Data Program (UCDP) recorded more than 409,000 battle-related deaths in Syria—more than any other conflict of the past three decades. With no prospects of an imminent political settlement, the Syrian conflict has become one of the most protracted conflicts in recent history.

A decade of conflict has had devastating economic and social consequences for Syria. According to official statistics, Syria's gross domestic product (GDP) shrank by 53 percent between 2010 and 2022. Nighttime light (NTL) data, a proxy of economic activity, suggests a significantly larger impact from the conflict: an 84 percent contraction in economic activity from 2010 to 2023. The Syrian conflict has further triggered one of the largest waves of displacement since World War II. By the end of 2023, more than half of Syria's pre-conflict population remains displaced, including 7.2 million internally displaced persons (IDPs) and 6.5 million refugees abroad.

The conflict has weakened Syria's capacity to absorb external economic shocks. In recent years, the economy has faced multiple external shocks, including spillover effects from economic crises in neighboring Lebanon and Turkiye starting in late 2019; the COVID-19 pandemic and subsequent cholera outbreak; the spike in global commodity prices following the war in Ukraine; the February 2023 earthquakes in Syria and Turkiye; and more recently, the increased attacks and trade disruptions related to the ongoing Middle East conflict since October 2023.

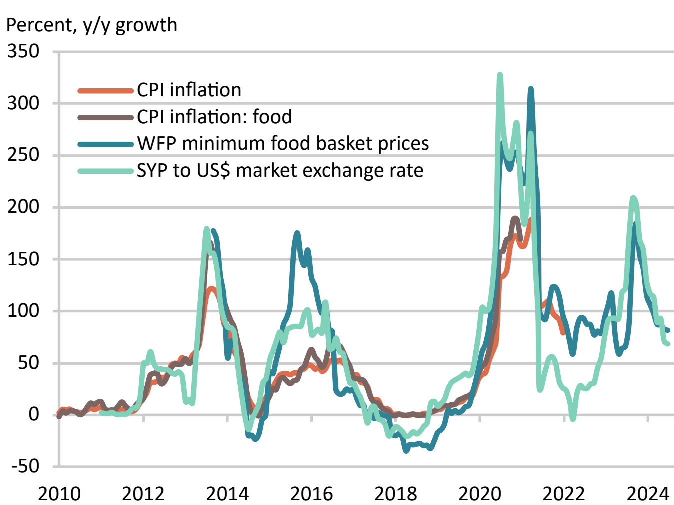
In 2022, almost 25 percent of the Syrian population lived in extreme poverty. This increase in extreme poverty, which was almost non-existent before the war, has been driven by significant increases in the cost of living coupled with continued deterioration in economic conditions. A full two-thirds of the population (67 percent) lived under the lower middle-income poverty line in 2022, equivalent to approximately 14.5 million Syrians.

## Recent developments

The conflict in Syria has intensified further. The Armed Conflict Location and Event Data Project (ACLED) recorded 3,429 conflict-related deaths and 8,065 violent events in the first seven months of 2024, an increase of 7 and 38 percent, respectively, compared to the same period in 2023. The intensified conflict in Syria includes an escalation of military operations in northeast Syria that have targeted critical infrastructure, as well as increased attacks and airstrikes in the Syrian desert, southern Syria, and the Damascus region.

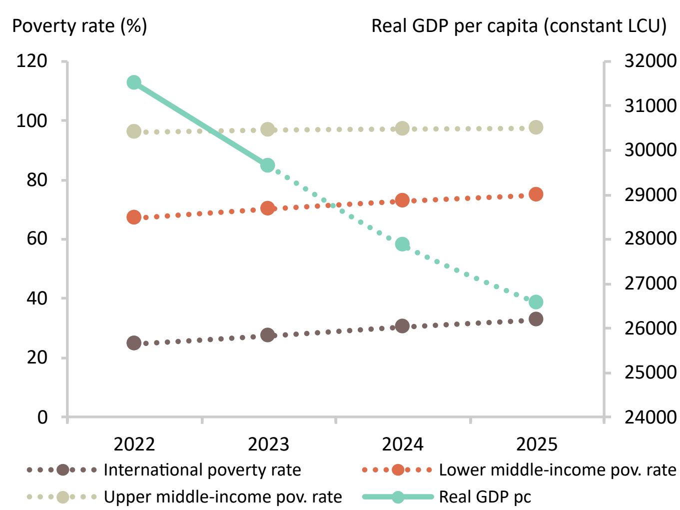
Macroeconomic conditions in Syria continue to deteriorate. Wheat and olive crop production, two of Syria's most vital agricultural products, has fallen by around a quarter in 2024, driven by heatwaves,

**FIGURE 1 Syrian Arab Republic** / Inflation and exchange rate




Sources: Central Bureau of Statistics of Syria, WFP Market Price Watch Bulletin, and World Bank estimates.

**FIGURE 2 Syrian Arab Republic** / Actual and projected poverty rates and real GDP per capita




Source: World Bank. Notes: see Table 2.

droughts, and shortages of agricultural inputs. Although the Syrian pound has stabilized somewhat after years of sharp depreciation, by June 2024, it had lost nearly 69 percent of its value in the parallel market compared to one year ago. Over the same period, food prices, as proxied by the World Food Programme's (WFP) minimum food basket price index, were 82 percent higher than in the previous year, reflecting the combined impact of local currency devaluation and cuts in food and fuel subsidies.

Aid flows to Syria have declined, and access to humanitarian assistance has become more challenging. According to the UN Financial Tracking Service (FTS), only US$767 million in funding was received for humanitarian assistance within Syria during the first eight months of 2024—a 66 percent drop compared to the same period last year. As of August 2024, the Humanitarian Response Plan for Syria is just 26 percent funded, falling far short of the required US$4 billion. According to the REACH Humanitarian Situation Overview in Syria (HSOS) surveys, by June 2024, humanitarian aid access, especially for food, has notably declined in northern Syria compared to a year ago.

## Outlook

Syria's protracted economic contraction is projected to extend into 2025 due to a multitude of challenges stemming from conflicts both within Syria and across the region. Subject to extraordinarily high uncertainty, real GDP is projected to contract by 1.5 percent in 2024 and 1.0 percent in 2025, extending the 1.2 percent decline in 2023; this projection assumes that the regional conflict will remain largely contained over the coming year. Consistent with a continued decline in per-capita GDP, extreme poverty is forecast to increase to 28.8 percent in 2023, 33.1 percent in 2024, and 37.4 percent in 2025, pushing over a third of the population into extreme poverty.

Heightened regional tensions pose considerable downside risks to the economy. Escalating cross-border attacks and the growing threat of a resurgence of the Islamic State, marked by increased assaults in Syria, could severely damage infrastructure, further disrupting supply chains and driving up logistics costs. A broader regional conflict could elevate commodity prices, negatively affecting Syria as a net food and fuel importer. Syria may also face further challenges in securing international assistance due to increased humanitarian disasters in the region, which may divert resources from donors, potentially worsening malnutrition, exacerbating poverty, and increasing the likelihood of disease outbreaks.

**TABLE 2 Syrian Arab Republic** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f |
|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices[a]** | 1.9 | 0.7 | -1.2 | -1.5 | -1.0 |
| **Inflation (consumer price index)** | 118.8 | 63.7 | 92.5 | 37.7 | 11.3 |
| **Fiscal balance (% of GDP)** | -6.0 | -4.6 | -4.3 | -4.1 | -3.8 |
| **International poverty rate ($2.15 in 2017 PPP)[b,c]** | .. | 24.8 | 28.8 | 33.1 | 37.4 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)[b,c]** | .. | 67.0 | 71.4 | 75.1 | 78.6 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)[b,c]** | .. | 96.0 | 97.1 | 97.6 | 97.9 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
a/ Projections based on nighttime light data.
b/ Calculations based on 2022-HNAP. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.
c/ Projection using neutral distribution (2022) with pass-through = 1 (High (1)) based on GDP per capita in constant LCU.

# TUNISIA

| Table 1 | 2023 |
|---|---|
| Population, million | 12.5 |
| GDP, current US$ billion | 51.1 |
| GDP per capita, current US$ | 4103.6 |
| National poverty rate[a] | 16.6 |
| Lower middle-income poverty rate ($3.65)[a] | 2.2 |
| Upper middle-income poverty rate ($6.85)[a] | 16.2 |
| Gini index[a] | 33.7 |
| School enrollment, primary (% gross)[b] | 103.9 |
| Life expectancy at birth, years[b] | 74.3 |
| Total GHG emissions (mtCO2e) | 40.0 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2021).
b/ Most recent WDI value (2022).

*Tunisia's economic outlook remains challenging and uncertain. Economic growth and job creation stagnated in 2024 amid a persistent drought and low demand. With tighter external financing, the government has increasingly relied on domestic borrowing from the Central Bank and commercial banks. Containing the inflation and raising capital inflows are important near-term challenges. Stabilizing the economy and accelerating its recovery will require the implementation of ambitious fiscal policy, state-owned enterprises, and pro-competition reforms.*

## Key conditions and challenges

Tunisia faces challenging economic conditions and slow reform implementation. As growth and private job creation stagnated after the 2011 revolution, the State stepped in as an employer of last resort and price stabilizer through subsidies. This caused a deterioration of the fiscal and the current account deficits, public debt, and contingent liabilities. The COVID-19 pandemic, inflation, and the ongoing drought have exacerbated these longstanding vulnerabilities. While the current account has recently improved, the authorities have relied more on domestic borrowing to finance the Budget in recent years, including Central Bank financing in 2020 and 2024.

Tunisia's growth prospects hinge on decisive structural reforms to address economic distortions and fiscal pressures. The priority reforms include rationalizing public expenditures, making the tax system fairer, improving the public administration and state-owned enterprises, and reducing the barriers to the entry of new firms and foreign direct investment (FDI). Progress in these reforms is critical to stabilize the macroeconomic situation, accelerate the recovery, and lay the foundation for a more sustainable economic growth.

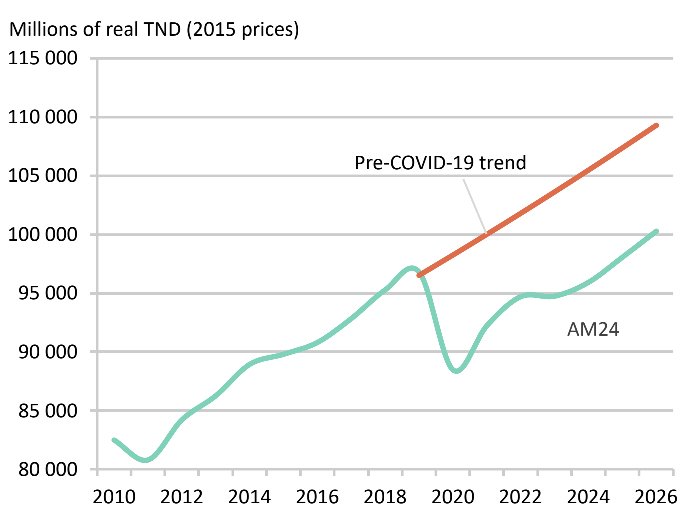
## Recent developments

Tunisia's growth has been modest and volatile since the sharp COVID-related contraction in 2020 (-8.6 percent). That is due to a drought, uncertain external financing conditions, the low domestic and external demand, and the slow pace of economic reforms. After a moderate rebound in 2021 (4.3 percent) and in 2022 (2.7 percent), the economy stalled in 2023 (0 percent growth) and failed to gain momentum in the first half of 2024 (+0.6 percent on an annual basis).

The merchandise trade deficit narrowed to 6.4 percent of GDP in the first 7 months of 2024, down 5.6 percent a year before, amidst more benign global prices and robust olive oil exports. As a result, the current account deficit in the first semester declined to 1.4 percent of GDP between 2023 and 2024, also aided by the moderate growth in tourism receipts (+6.7 percent in the first 8 months of 2024).

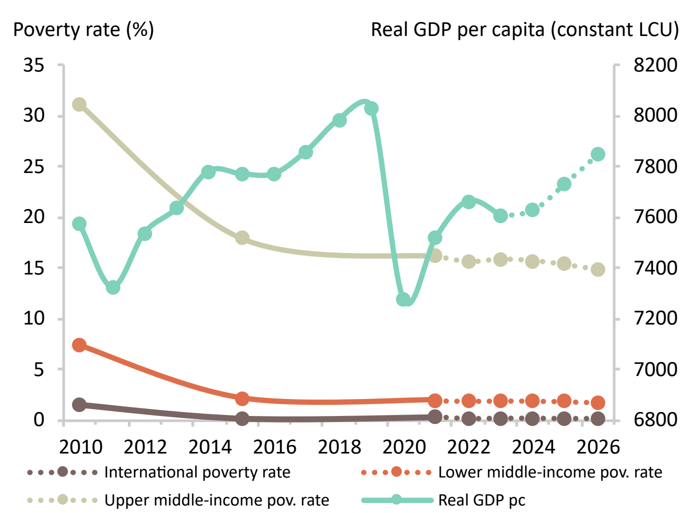
While the decline in commodity prices and the energy and food subsidy bill provide some respite, the pressure on public finances remains elevated as public expenditure reforms continue to falter amid low growth. The fiscal deficit continues to be considerably higher than in the pre-COVID period (6.7 percent of GDP in 2023 up from 2.9 percent in 2019). This contributes to the challenges in financing the public debt, which between 2019 and 2023 increased from 67.8 to 80.1 percent of GDP (excluding government guarantees and SOE debts). Gross financing needs have

**FIGURE 1 Tunisia** / Real GDP: Actual, forecast and pre-COVID-19 trend




Sources: World Bank estimates and National Institute of Statistics.

**FIGURE 2 Tunisia** / Actual and projected poverty rates and real GDP per capita




Source: World Bank. Notes: see Table 2.

also increased from 7.9 percent of GDP in 2019 to 11.9 percent of GDP in 2023 with four-fifths due to debt amortization, up.

Tunisia's access to international financing remains limited and FDI—while increasing by 26.7 percent in the first half of 2024—covers less than a quarter of the current account deficit and external debt reimbursement combined. As a result, the authorities have increasingly relied on domestic sources to cover the external financing needs. These include a TND 7 billion (US$ 2.3 billion) from the Central Bank financing facility established in February 2024 (equivalent to 4 percent of GDP and a quarter of 2024 financing needs) and a syndicated loan from domestic banks for US$ 185 million (in both US$ and Euro).

Inflation continued to moderate since the peaks of February 2023 (10.4 percent), declining to 6.7 percent in August 2024 (from 7 percent in July). The decline appears to be driven by both lower global prices and weak domestic demand. However, while the economy is operating below potential, supply-side issues continue to keep inflation above both the pre-COVID average (5.3 percent) and food inflation is higher (9.4 percent), which presents a particular challenge for lower-income households.

With the current rate of economic growth, the unemployment rate increased to 16 percent in Q2 2024 from 15.6 percent a year before as the labor force participation rate also declined, hovering 1.5 percentage points below the pre-COVID rate, which suggests a higher number of discouraged workers.

## *Outlook*

Given the underperformance of key sectors, including agriculture, oil and gas and garments, the economy in 2024 is expected to grow by 1.2 percent, half the rate forecast at the beginning of the year. If financing conditions and external demand eventually improve, growth is expected to reach 2.2 and 2.3 percent in 2025 and 2026 respectively. With this growth rate, real GDP in 2024 would still be below its pre-COVID-19 level, a full four years after the pandemic.

The budget deficit is expected to decline somewhat to 6.0 percent of GDP in 2024 (compared to 6.7 percent of GDP in 2023) as subsidies and the wage bill are contained in real terms and tax revenues increase moderately. Gross financing needs are expected to rise to 16.1 percent of GDP in 2024 (from 13.8 percent in 2023) due to significant external debt service.

The current account deficit is projected to decline slightly to 2.3 percent of GDP in 2024 with moderate growth in tourism and improving terms of trade. With FDI projected to increase, albeit from a low base, and minimal portfolio investments, external borrowing would remain an important source of financing of the current account as well as of debt reimbursement.

The 2024-26 growth forecast is subject to significant downside risks. In the near term, more persistent or severe drought, weak demand in Europe, elevated inflation, and tight external financing conditions would significantly raise growth and macroeconomic stability challenges for Tunisia. Medium-term prospects would improve markedly should Tunisia implement fiscal and pro-competition reforms.

Poverty using the Lower Middle Income Poverty Line (US$3.65/person/day line in 2017 PPP term) is projected to continue its gradual decline, reaching 2.0 percent in 2024, 1.9 percent in 2025 and further decreasing to 1.8 percent in 2026. Similarly, poverty at the Upper-Middle Income Poverty Line (US$6.85 per person per day in 2017 PPP terms) is projected to decrease to 15.7 percent in 2024 (down from 15.9 percent in 2023) and is expected to decline to 14.9 percent by 2026.

**TABLE 2 Tunisia** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 4.3 | 2.7 | 0.0 | 1.2 | 2.2 | 2.3 |
| Private consumption | 2.4 | 2.2 | -0.6 | 2.4 | 3.8 | 3.5 |
| Government consumption | 1.5 | -1.2 | -2.4 | 1.9 | 1.9 | -1.8 |
| Gross fixed capital investment | 3.2 | 1.8 | -7.7 | 6.0 | -0.5 | 3.4 |
| Exports, goods and services | 11.9 | 17.3 | 10.4 | 0.0 | 4.0 | 4.0 |
| Imports, goods and services | 10.9 | 11.5 | 5.7 | 3.7 | 5.0 | 4.5 |
| **Real GDP growth, at constant factor prices** | 4.3 | 2.6 | -0.1 | 1.2 | 2.2 | 2.3 |
| Agriculture | -2.3 | 1.9 | -16.1 | 8.5 | 5.9 | 5.9 |
| Industry | 9.8 | 0.7 | -1.0 | -3.5 | -0.2 | -0.3 |
| Services | 3.5 | 3.4 | 2.7 | 1.9 | 2.6 | 2.6 |
| **Inflation (consumer price index)** | 5.7 | 8.3 | 9.3 | 7.0 | 6.0 | 5.0 |
| **Current account balance (% of GDP)** | -6.0 | -8.7 | -2.6 | -2.3 | -2.0 | -1.8 |
| **Net foreign direct investment inflow (% of GDP)** | -1.1 | -1.3 | -1.3 | -1.5 | -1.5 | -1.5 |
| **Fiscal balance (% of GDP)** | -7.6 | -6.7 | -6.8 | -6.0 | -4.3 | -2.5 |
| **Revenues (% of GDP)** | 25.7 | 28.5 | 27.2 | 28.6 | 27.8 | 28.1 |
| **Debt (% of GDP)** | 79.9 | 79.9 | 79.6 | 80.2 | 79.9 | 79.2 |
| **Primary balance (% of GDP)** | -4.7 | -3.5 | -3.1 | -2.3 | -0.3 | 1.3 |
| **International poverty rate ($2.15 in 2017 PPP)**[a,b] | 0.3 | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 |
| **Lower middle-income poverty rate ($3.65 in 2017 PPP)**[a,b] | 2.0 | 2.0 | 2.0 | 2.0 | 1.9 | 1.8 |
| **Upper middle-income poverty rate ($6.85 in 2017 PPP)**[a,b] | 16.2 | 15.6 | 15.9 | 15.7 | 15.4 | 14.9 |
| **GHG emissions growth (mtCO2e)** | 8.2 | 0.1 | 0.0 | 0.5 | 2.1 | 2.3 |
| **Energy related GHG emissions (% of total)** | 68.5 | 68.0 | 68.3 | 67.9 | 68.1 | 68.1 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on 2021-NSHBCSL. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2021) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

# UNITED ARAB EMIRATES

| Table 1 | 2023 |
|---|---|
| Population, million | 9.5 |
| GDP, current US$ billion | 477.6 |
| GDP per capita, current US$ | 50185.0 |
| School enrollment, primary (% gross)[a] | 115.8 |
| Life expectancy at birth, years[a] | 79.2 |
| Total GHG emissions (mtCO2e) | 256.9 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2020); Life expectancy (2022).

*The United Arab Emirates (UAE) maintains its status as a key regional hub for trade, finance, and tourism, supported by significant progress in economic diversification and reduced reliance on hydrocarbon revenues. Economic growth remains positive in 2024, although constrained by OPEC+ production adjustments, with a stronger recovery projected for 2025. Major risks to the outlook include heightened geopolitical tensions, substantial oil price fluctuations, and continued global financial tightening.*

## Key conditions and challenges

UAE's macroeconomic conditions are shaped by a robust non-oil sector, supported by prudent fiscal and monetary policies. Despite the recent contraction in oil production and the anticipated subdued output in 2024, the OPEC+ agreement to raise the UAE's quota signals a gradual shift, with voluntary production cuts being reversed over time. A phased increase in oil output is set to occur between January and September 2025, reinforcing external buffers and sustaining fiscal stability. Hydrocarbon revenues continue to underpin the fiscal framework, while ongoing structural reforms—including the introduction of Corporate Income Tax and the gradual phase-out of the business fee regime—are enhancing fiscal resilience and broadening the economic base. These reforms, alongside strong non-oil sector performance, provide a stable foundation for continued economic strength.

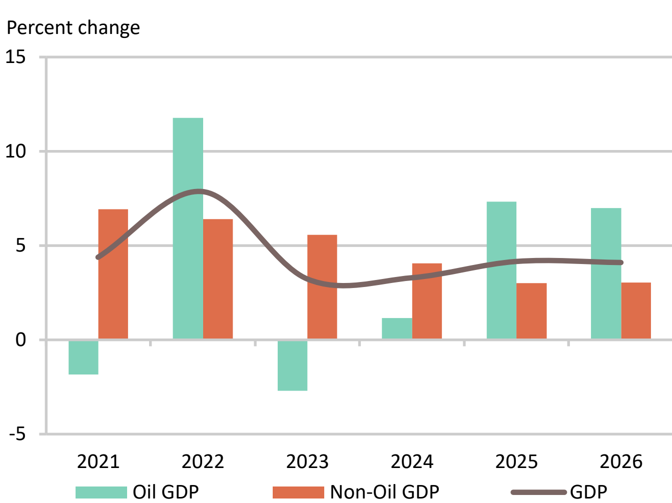
Key risks to growth are primarily linked to potential OPEC+ decisions to extend production quotas cuts, as well as the extension or escalation of the conflict in the Middle East conflict, given its adverse impact on oil price volatility and disruption in key sectors notably tourism and trade. Specifically, the disruption of Red Sea trade routes would lead to further increase in shipping costs and rerouting, particularly affecting the Asia-Europe trade corridor. This situation particularly poses substantial downside risks to the transport and logistics sectors, with the potential to negatively impact overall economic growth through the heightened supply chain cost and inefficiencies.

## Recent developments

Following a deceleration in real GDP growth to 3.2 percent in 2023, driven by subdued global demand and OPEC+ production adjustments, the UAE economy remains nonetheless resilient, supported by a strong non-oil sector performance. Overall, the non-oil private sector remained robust, as indicated by a rise in the PMI to 54 in August 2024, driven by increases in output, new orders, and employment. In particular, financial services, hospitality, and transportation sectors are witnessing significant growth. Tourism also expanded, with tourist arrivals increasing by 11 percent year-on-year in Q1 2024. Passenger traffic at Abu Dhabi's Zayed International Airport surged by 36 percent. In contrast, the oil sector saw a 4 percent decline in production compared to the same period in 2023, averaging 2.9 million barrels per day over the first four months of 2024. However, gas production grew by 14.3 percent in Q1 2024, helping to offset the lower oil output.

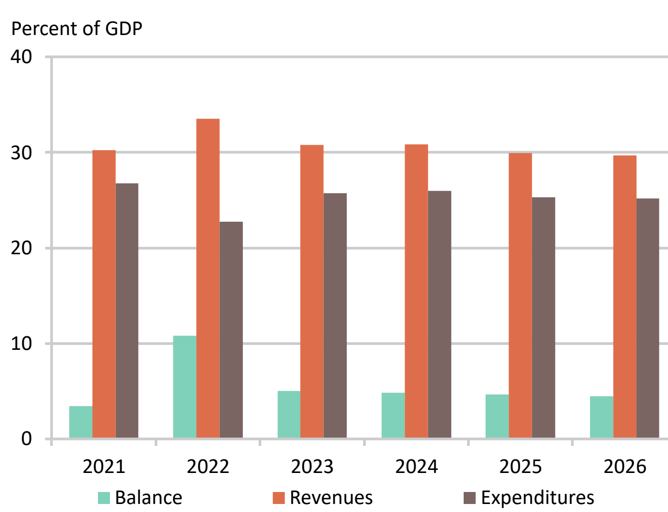
National inflation averaged 2.3 percent in H1 2024, with Dubai's inflation, consistent with the national trend, reaching 3.9 percent. This was primarily driven by elevated transport costs, while housing and utilities prices continued to

**FIGURE 1 United Arab Emirates** / Annual real GDP growth




Sources: UAE authorities, IMF WEO, and World Bank staff estimates.

**FIGURE 2 United Arab Emirates** / Public finances




Sources: UAE authorities, IMF WEO, and World Bank staff estimates.

rise, reflecting rapid population growth linked to recent visa reforms.

The banking sector remains robust, with non-performing loans ratio falling to 5 percent in Q1-2024, down from 6.4 percent in Q1-2023, and private sector credit growth sustained at 6.7 percent.

Public finances remain strong. The net fiscal balance remained positive at approximately 6 percent of GDP in Q1 2024, despite a narrowing of the fiscal surplus due to lower oil-related revenues. Total revenues contracted by 23 percent to 25,4 percent of Q1 2024 GDP. Government expenditure decreased by 20 percent to 19,3 percent of GDP, driven by declines in both current and capital spending. Overall, the fiscal accounts remain sustainable and have been further bolstered by the recent introduction of corporate income taxation.

The current account continues to maintain a surplus, driven by oil exports revenues and rising non-oil exports, helped by Free trade agreements with key Asian and African markets.

Employment growth remains robust in 2024, similar to 2023 trends (ILO estimates). The employment-to-population ratio is expected to reach 80.3 percent on average in 2024, with a stronger growth projected to be seen among women. This is possibly an effect of the gender balance strategy 2026 the country adopted to achieve gender balance by fostering, among other things, economic participation, financial inclusion. Total unemployment rate is projected to remain roughly stable y-o-y at about 2.7 percent in 2024. Youth unemployment rates remain substantially high, though on a downward trajectory since 2022. The gap in unemployment rates between youth and the whole labor force (15+) is especially wide among women, with projected rates of 21.7 percent among young women and 7.6 percent among women ages 15+ for 2024.

## Outlook

Real GDP growth is expected to accelerate in the short- to medium-term, with overall GDP projected to grow by 4.1 percent in 2025 and 2026, supported by the recovery in oil production and stable external conditions. Economic activity is estimated to reach 3.3 percent in 2024, driven by a sustained expansion of 4.1 percent in the non-oil sector, which remains a key driver of economic growth, underpinned by robust performance across sectors such as tourism, real estate, construction, transportation, and manufacturing, and supported by the recovery in global economic activity. Oil output growth is forecast at 1.2 percent in 2024, with voluntary production cuts expected to be gradually reversed, leading to a phased increase in output between January and September 2025. Despite this positive outlook, risks remain elevated, including potential delays in OPEC+ production increases, decisions by other member countries regarding oil output, and the adverse economic effects of ongoing geopolitical tensions in the Middle East, which could weigh on UAE's overall economic outlook.

In 2024, inflation is projected to reach 2.2, supported by earlier interest rate hikes and base effects, and is expected to remain contained at approximately 2.1 percent through 2025-26.

The fiscal surplus, while still supported by oil revenues and robust non-oil economic growth, is projected to continue its declining trajectory to 4.9 and 4.7 percent of GDP in 2024 and 2025 respectively. The expansion of non-oil revenues and the broadening of the tax base, driven by the introduction of a federal corporate tax, continue to play a central role. The ongoing implementation of fiscal revenue reforms, along with the maintenance of prudent and well-coordinated fiscal policies tailored to individual emirates, is expected to continue to support overall fiscal sustainability.

The current account surplus, estimated at 7.5 percent of GDP for 2024, is expected to decline further to 7.4 and 7.3 percent in 2025 and 2026 respectively, indicating a deterioration, despite continued efforts to diversify the external sector. Expansion into non-oil sectors and emerging markets in South Asia and East Africa is, however, expected to strengthen non-oil export revenues. However, export performance remains subject to fluctuations in the oil production level and price and is dependent on the re-establishment of secure trade corridors.

**TABLE 2 United Arab Emirates** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f | 2026f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 4.4 | 7.9 | 3.2 | 3.3 | 4.1 | 4.1 |
| Private consumption | 5.0 | 9.0 | 5.1 | 5.5 | 3.9 | 4.0 |
| Government consumption | 1.4 | 3.5 | 3.0 | 3.5 | 3.0 | 2.8 |
| Gross fixed capital investment | 9.6 | 6.0 | 5.9 | 4.3 | 3.5 | 3.3 |
| Exports, goods and services | 6.8 | 8.4 | 3.6 | 3.5 | 4.6 | 4.6 |
| Imports, goods and services | 8.8 | 7.4 | 5.3 | 4.8 | 4.1 | 4.1 |
| **Real GDP growth, at constant factor prices** | 4.4 | 7.9 | 3.2 | 3.3 | 4.1 | 4.1 |
| Agriculture | 3.8 | 3.4 | 3.5 | 3.5 | 3.0 | 3.0 |
| Industry | 1.3 | 8.8 | 1.2 | 1.2 | 4.6 | 4.5 |
| Services | 7.4 | 7.1 | 5.1 | 5.2 | 3.7 | 3.8 |
| **Inflation (consumer price index)** | -0.1 | 4.8 | 1.6 | 2.2 | 2.1 | 2.0 |
| **Current account balance (% of GDP)** | 11.5 | 11.7 | 9.2 | 7.5 | 7.4 | 7.3 |
| **Fiscal balance (% of GDP)**[a] | 3.5 | 10.8 | 5.1 | 4.9 | 4.7 | 4.5 |
| **Revenues (% of GDP)** | 30.2 | 33.6 | 30.8 | 30.8 | 30.0 | 29.7 |
| **Debt (% of GDP)** | 35.1 | 31.4 | 29.6 | 27.9 | 26.5 | 25.3 |
| **Primary balance (% of GDP)** | 3.7 | 11.1 | 5.3 | 5.1 | 4.8 | 4.7 |
| **GHG emissions growth (mtCO2e)** | 2.5 | 3.7 | -0.8 | 0.7 | 0.6 | 1.0 |
| **Energy related GHG emissions (% of total)** | 72.9 | 73.6 | 72.9 | 72.7 | 72.4 | 72.1 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Consolidated fiscal balance.

# REPUBLIC OF YEMEN

| Table 1 | 2023 |
|---|---|
| Population, million | 34.1 |
| GDP, current US$ billion | 18.8 |
| GDP per capita, current US$ | 552.0 |
| School enrollment, primary (% gross)[a] | 83.9 |
| Life expectancy at birth, years[a] | 63.7 |
| Total GHG emissions (mtCO2e) | 25.0 |

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2016); Life expectancy (2022).

*Amid the continued blockade of the IRG's oil exports by the Houthis and the escalating conflict in the Middle East, Yemen faces an increasingly grim reality. The modest economic rebound in 2022 was short-lived, with 2023 and 2024 witnessing new, sharp declines in GDP per capita. Food insecurity has reached a historic high, and poverty is more severe and widespread. The outlook remains bleak as stalled peace negotiations and regional conflicts continue to hinder immediate prospects for lasting peace and recovery. Yemen's future hinges on resolving these conflicts, securing donor support, and committing to peace, reconstruction, and reforms.*

## Key conditions and challenges

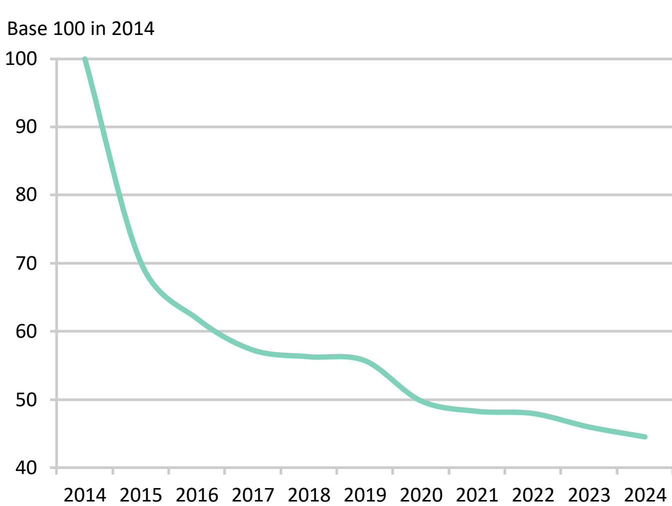
Yemen's humanitarian crisis is deeply rooted in its ongoing conflict and the highly fragmented political and economic landscape that has developed over the years. Since the onset of the conflict in 2015, the country has witnessed a staggering 54 percent contraction in real GDP per capita, plunging most Yemenis into poverty and severely eroding human capital. This is reflected in Yemen's precipitous drop in its score on the Human Development Index, where it ranked 186 out of 192 countries as of 2024. Indicators of wasting, stunting, and being underweight, collected in 2023, are also some of the highest in the world. The conflict has also intensified the country's fragmentation into two distinct economic zones, each governed by its unique set of institutions, resulting in increasing disparities.

Following some economic recovery in 2022 driven by the UN-sponsored truce, Yemen's economy contracted again in 2023 and 2024. The oil blockade has dampened growth and exacerbated IRG's fiscal and monetary challenges. Additionally, since October 2023, the escalation of the conflict in the Middle East and related Houthi involvement in the Red Sea has further undermined Yemen's economic and social conditions. As of end-August 2024, the ACLED Dashboard for Red Sea Attacks recorded around 355 incidents of violence linked to Houthi actions in the Red Sea. As a result, the volume of traffic through the strategic Suez Canal and Bab El-Mandeb Strait—carrying 30 percent of world container shipping—has dropped by half.

At the same time, Yemen continues to face deep structural challenges. Growth prospects in the oil sector depend on durable peace and financial and technical resources to restart oil production. Non-oil activity—mainly trade and agriculture—continues to be severely constrained by the conflict conditions, interruptions in essential service delivery, and acute input shortages. While remittances and aid help alleviate social conditions, these flows, too, are affected by conflict conditions. Critically, Yemen remains one of the most vulnerable countries to climate change impacts.

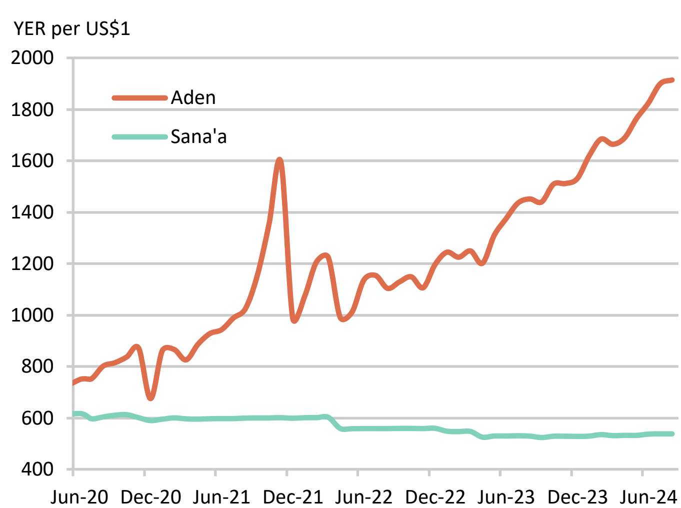
Living conditions for most Yemenis have become increasingly dire. In July 2024, 62 percent of households reported inadequate food consumption, representing a dramatic increase of 24 percent in IRG areas and 30 percent in Houthi areas since last year. In some governorates, severe food deprivation more than doubled. This is due to further depreciation of the Yemeni Riyal (YER) and reduced humanitarian food assistance. Phone surveys reveal that many households have resorted to extreme measures, with 19 percent turning to child labor or engaging in high-risk work. Those with poor food consumption are grappling with compounding vulnerabilities, including higher levels of acute and chronic health conditions, and symptoms of mental health disorders. These factors reinforce a vicious cycle of poverty and eroding human capital.

**FIGURE 1 Republic of Yemen** / Real GDP per capita




Source: World Bank staff calculations.

**FIGURE 2 Republic of Yemen** / Exchange rate trend: Sana'a and Aden




Sources: Telegram Exchange Market Group and World Bank staff calculations.

## Recent developments

The ongoing Houthi blockade on IRG's oil exports, escalating tensions in the Red Sea, and domestic unrest have negatively impacted Yemen's economy in 2024. Oil-GDP has remained stagnant after a sharp 60 percent drop in 2023. Meanwhile, the non-oil sector faces mounting challenges due to rising uncertainty, hostile actions, and widespread protests. Particularly concerning is the escalating tension between the Houthis and the IRG over the regulation of the banking sector. On April 2, 2024, the CBY-Aden issued a mandate requiring banks in Sana'a to relocate to Aden or risk disconnection from SWIFT. This directive escalated tensions until July 23rd, when the IRG and Houthis agreed to de-escalate by reversing recent actions against banks and expanding Yemenia Airways' international flights. This followed a dire warning from the World Food Programme about a looming liquidity crisis and threat of hunger in Yemen.

The IRG's fiscal revenues, excluding grants, continued to decline in the first half of 2024, although donor support helped decrease the fiscal deficit. According to the Ministry of Finance in Aden, IRG revenues, excluding grants, fell by 42 percent in H1-2024, following a sharp 50 percent drop in 2023. Meanwhile, fiscal expenditures continued to rise. However, external emergency support provided some relief, with Saudi Arabia extending budget support, including disbursements totaling US$550 million in the first half of 2024.

External pressures continued to mount, leading to a depreciation of the YER in the Aden market. The suspension of IRG oil exports, combined with continued dependance on imports, intensified external pressures, causing the YER to depreciate in the Aden market from 1,531 per US dollar at the end of 2023 to 1,915 by August 20, 2024.

## Outlook

Overall, the economy is expected to deteriorate further in 2024. National GDP is projected to contract by 1.0 percent in real terms, following a 2.0 percent decline in 2023. Oil-GDP is likely to remain stagnant, assuming the current conflict conditions continue and preclude oil exports in IRG-controlled areas from resuming. The ongoing blockade on IRG oil exports, coupled with persistent dependence on imported goods and services, is expected to widen the current account deficit to 25 percent of GDP, putting additional pressure on the YER. As a result, consumer prices across Yemen are anticipated to rise by 16.3 percent. However, donor support to the IRG and a reduction in expenditures are expected to decrease the IRG's fiscal deficit from 6.1 percent of GDP in 2023 to approximately 3.5 percent in 2024, despite the decline in revenues excluding grants.

The economic outlook for 2025 also remains grim. With stalled peace negotiations and ongoing regional and domestic tensions, our forecast assumes that there is no resumption of oil exports in 2025. Consequently, real GDP is projected to grow at a modest 1.5 percent, reflecting only marginal improvements in the non-oil sector. The services sector, particularly transportation, may see slight gains due expanded operations of Yemenia Airways under the UN-mediated agreement.

Significant downside risks could further destabilize Yemen's economy. This is attributed to the potential escalation of Houthi attacks in the Red Sea. While Yemen's imports and prices have remained relatively stable so far, the ongoing conflict increases risks of broader supply shortages and rising import costs due to increased shipping expenses, war premiums, and insurance costs. On the domestic front, tensions as those seen in 2024 within the banking sector could reemerge, posing serious threats to the economy by disrupting humanitarian aid, essential imports, remittances, and key sources of livelihood.

However, if a lasting truce or peace agreement is achieved, Yemen could experience large and sustained growth within months. Achieving a lasting truce or peace agreement could pave the way for rapid economic recovery, driven initially by the recovery of internal transport and trade, resulting in lower costs and increased employment and incomes. With additional external financial assistance and reconstruction efforts supported by development partners, and post-conflict reforms, Yemen could achieve accelerated and sustained growth within a short to medium time.

**TABLE 2 Republic of Yemen** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2021 | 2022 | 2023 | 2024e | 2025f |
|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | -1.0 | 1.5 | -2.0 | -1.0 | 1.5 |
| **Inflation (consumer price index)[a]** | 31.5 | 29.5 | 0.9 | 16.3 | 20.7 |
| **Current account balance (% of GDP)** | -14.2 | -17.7 | -20.3 | -25.0 | -25.7 |
| **Fiscal balance (% of GDP)** | -0.9 | -2.7 | -6.1 | -3.5 | -4.0 |
| **Revenues (% of GDP)** | 7.3 | 9.5 | 6.0 | 7.4 | 6.6 |
| **Debt (% of GDP)** | 93.6 | 77.9 | 100.4 | 106.4 | 102.1 |
| **Primary balance (% of GDP)** | 0.2 | -1.7 | -4.4 | -1.6 | -2.1 |
| **GHG emissions growth (mtCO2e)** | -0.1 | -2.6 | -3.4 | -1.5 | -0.3 |
| **Energy related GHG emissions (% of total)** | 32.0 | 31.3 | 30.3 | 29.7 | 29.2 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
a/ Inflation rates refer to end-of-period figures.

Macro Poverty Outlook

10/2024

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